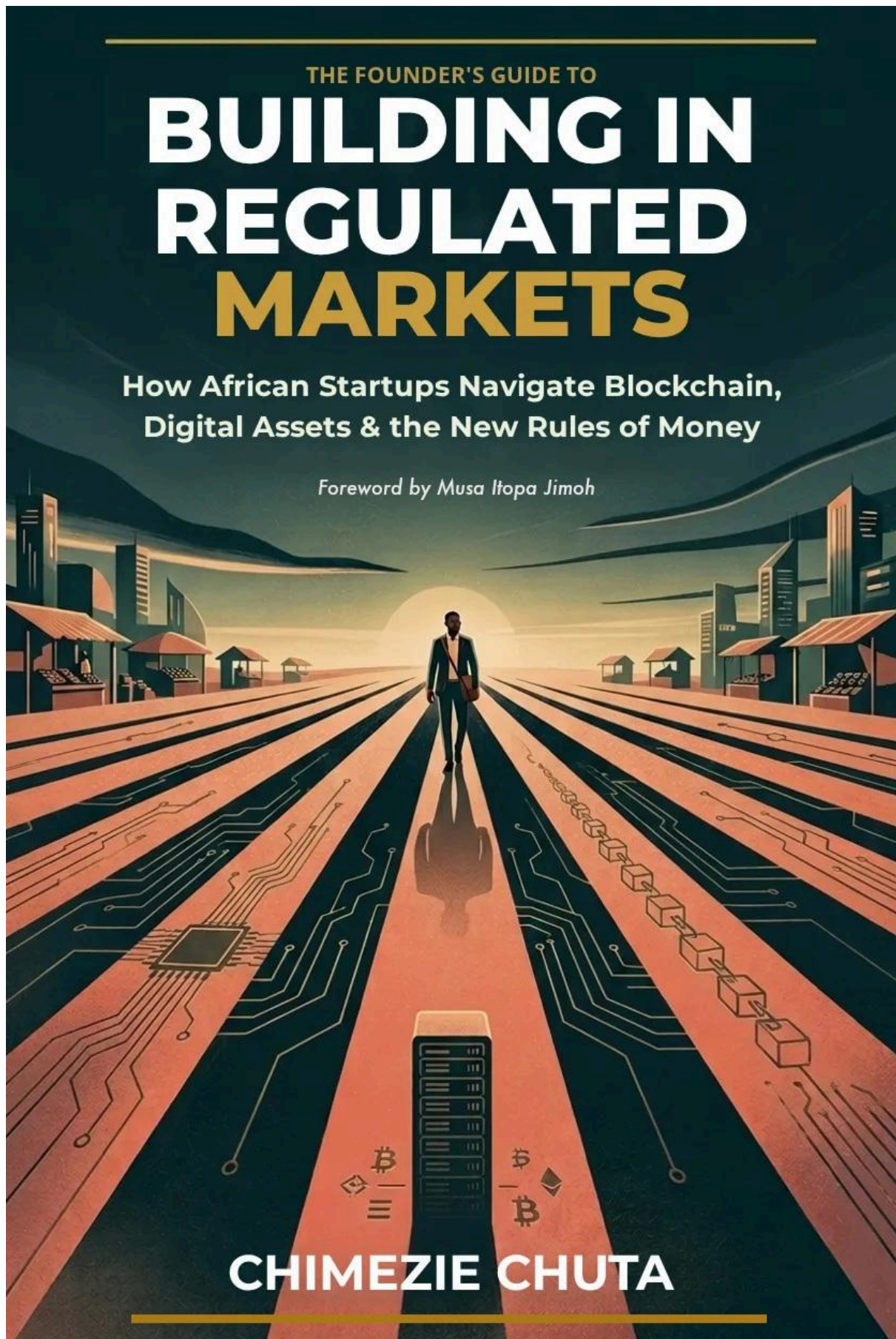




THE FOUNDER'S GUIDE TO

Building in Regulated Markets

*How African Startups Navigate Blockchain,
Digital Assets & the New Rules of Money*

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INTRODUCTION

The Letter, the Founder, and the Country We Are Building

Sometime in the middle of 2022, I sat across from a Nigerian fintech founder in his offices in Yaba. He had raised a seed round from a well-known international fund. His product was working. His team was lean and talented. His user numbers were growing.

On the desk between us was a letter from a regulator. He had received it three weeks earlier. He had read it perhaps a hundred times. He had paid two firms of lawyers to read it as well. And as he slid the letter across to me, he asked the question that has become the most common opening line of every advisory conversation I have had since:

"Chimezie, what does this actually mean, and what am I supposed to do?"

The letter, as it happened, was not catastrophic. It was a notice of inquiry, a routine instrument that any digital asset business operating in Nigeria today should expect to receive at some point in its life. With the right response, it could have been resolved in a fortnight. With the wrong response, it could have ended his business.

What troubled me was not the letter. It was the founder's face. Here was a man who had built a product good enough to attract international capital, scaled it to tens of thousands of users, and assembled a team that could compete with anything Silicon Valley was producing,... and yet the moment a regulator's letter arrived on his desk, he was entirely unequipped to interpret it, respond to it, or understand the institutional logic that produced it. He was, in his own words, *"flying blind"*.

In the years since that conversation, I have sat across from variations of that same founder more times than I can count. Sometimes the founder is in Lagos, sometimes in Accra, sometimes in Nairobi. Sometimes the letter is from the Central Bank of Nigeria, sometimes from the Securities and Exchange Commission, sometimes from the

Financial Intelligence Unit. Sometimes there is no letter at all,... only the founder's gnawing sense that one is coming and that he is not ready.

This book is for that founder.

It is also for the corporate innovation lead at a Tier-1 Nigerian bank, sitting in a meeting with her Managing Director, who has just instructed her to *"do something with blockchain"*, and who has no Web3 background, no compliance framework, and no idea where to begin. It is for the pan-African team building a cross-border stablecoin product who must operate under three different national regulatory regimes simultaneously, and who cannot afford to hire three different compliance counsels in three different countries. It is, in short, for everyone who is building, advising, or governing the next chapter of African finance, and who must do so inside a regulatory environment that is more complex, more consequential, and more rapidly evolving than at any point in our continent's history.

Why This Book Now

Africa is at a defining inflection point in its financial development. Between July 2024 and June 2025, Sub-Saharan Africa received over USD 205 billion in onchain value; a 52% year-on-year increase that placed the region among the world's fastest-growing digital asset markets. Nigeria's Investments and Securities Act 2025 formally recognised digital assets as securities, and later added that they might also be commodities. Just recently, the Central Bank of Nigeria launched an AML/CFT supervision pilot for Virtual Asset Service Providers. South Africa has issued its first crypto-asset service provider licences. Kenya, Ghana, Mauritius, and a dozen other jurisdictions are moving, at different speeds, in different directions, but unmistakably moving toward formal regulatory frameworks for digital assets, stablecoins, tokenisation, and programmable money.

This is the world African founders are now building in. And it is a world for which most of them are unprepared; not for lack of intelligence or ambition, but because nobody has yet written, in plain language and from inside the policy rooms, what it actually takes to build, scale, and survive in this environment.

The existing literature, where it exists at all, is one of three things. It is academic; thorough, exhaustive, and written for other academics. It is legal; accurate, conservative, and written for other lawyers. Or it is foreign; drawn from European or American frameworks that map only imperfectly onto the institutional realities of African regulation.

None of it is written by someone who has sat in the working groups where Nigerian blockchain policy actually gets made, built the infrastructure that those policies seek to govern, and advised the founders who must operate within them, all at the same time.

That is the gap this book seeks to fill.

What This Book Is, and What It Is Not

This is a handbook, not a treatise. It is written to be read by busy people who have neither the time nor the inclination to consume hundreds of pages of regulatory theory. Every chapter is designed to leave the reader with something they can act on; a framework, a checklist, a decision tree, a relationship map, or a way of thinking that they did not have before they opened the book.

It is not legal advice. It is not investment advice. It is not a substitute for engaging qualified counsel, licensed compliance professionals, or appropriate regulators at the right stages of a business's life. What it is, and what it aspires to be, is a practitioner's guide written by a practitioner, for practitioners. It is the book I wish someone had handed me ten years ago when I first began trying to navigate the intersection of technology, policy, virtual assets, and finance in Nigeria.

It is, above all, a book about a particular kind of skill: the skill of building a business in a regulated environment without being broken by that environment, and without abandoning the conviction that what one is building is genuinely worth building.

A Word About the Region

Although this book is written from the vantage point of Nigeria, and though Nigerian regulatory frameworks, institutions, and case studies appear throughout, its applicability is regional. The patterns of regulatory development across West and East Africa share more in common than they differ. The institutional logics that govern

how the Central Bank of Nigeria approaches stablecoin oversight are recognisable in the approaches of the Bank of Ghana, the Central Bank of Kenya, and the Bank of Tanzania. The questions that the Nigerian Securities and Exchange Commission is asking about virtual asset service providers are the same questions being asked, in slightly different forms, by the Capital Markets Authority in Nairobi and the Securities Commission of Mauritius.

This book, therefore, is written for a Pan-African audience. Where Nigerian specifics appear, they are intended as a detailed case study from which broader regional principles can be drawn. Dedicated chapters address Ghana, Kenya, and the emerging frameworks of the AfCFTA digital trade protocols. And throughout, the underlying logic is one of regional applicability, because the future of African finance will be a regional future, and the founders who succeed in it will be those who can navigate not one regulatory environment, but several.

My Position, and Why It Matters

I write this book from a particular vantage point, and the reader is owed an account of what that vantage point is, and what its limitations are.

I currently serve as Chairman of the Federal Government of Nigeria's National Blockchain Policy Implementation Steering Committee under the National Information Technology Development Agency (NITDA). I sit on the Blockchain and Virtual Asset Working Group of the Securities and Exchange Commission of Nigeria, having served in the Fintech Roadmap Committee of the Nigeria Capital Market in 2019-2020. I have contributed to knowledge-sharing sessions and consultations across the Central Bank of Nigeria, the National Insurance Commission, the Nigeria Deposit Insurance Corporation, and the Nigerian Fintech Association, where I currently serve as a domain leader. I founded and continue to coordinate the Blockchain Nigeria User Group, which today brings together over twenty-five thousand members of this country's blockchain community.

I have also built things. I have served as Regional Director for Africa at Paxful, the peer-to-peer Bitcoin marketplace that, at its peak, processed billions of dollars in transaction volume across our continent. I have advised companies, including

Kinesis.money, the BANTU Blockchain Foundation, and Adaverse VC. I have worked in various capacities with multiple Web3 companies, including Binance, Celo, Solana, Tezos, and the Ethereum Foundation. At some point, I operated a Bitcoin Lightning Network node, a lonely Bitcoin node in Nigeria at that time. I have spent over a decade writing software, designing systems, and shipping products in the same environment whose regulation I now help to shape.

These are not credentials offered for their own sake. They matter because this book is written from a position that almost no one else occupies: simultaneously inside the rooms where Nigerian digital asset policy is made, and inside the businesses that must operate under those policies. Most regulatory analysts have never built a product. Most founders have never sat in a working group. The gap between these two experiences is, in my observation, where most of the misunderstanding, mistrust, and missed opportunities in our ecosystem currently live.

This book is my attempt to bridge that gap.

Its limitations are real and ought to be stated. I am not a lawyer, and where this book touches on legal questions, the reader is encouraged to consult one. I am Nigerian, and my deepest knowledge is of the Nigerian institutional environment; my treatment of Ghana, Kenya, and other African jurisdictions is informed but not authoritative. And I am writing in a moment of rapid regulatory evolution. What is current at the time of this book's publication will, in some cases, have shifted by the time the reader holds it. Where possible, I have written about underlying principles and durable patterns rather than transient particulars. But the reader is asked to remember that this is a guide to navigating a moving target, and that the moving never stops.

What I Hope This Book Will Do

My hope for this book is modest and immodest at once. The modest hope is that some number of founders, somewhere in Africa, will read it and avoid a regulatory mistake that would have cost them their business. The immodest hope is that it will contribute, in a small way, to building the kind of institutional understanding between regulators and innovators that our continent's financial future will require.

Regulation is often spoken of as though it were the natural adversary of innovation. In my experience, there is no such thing. Good regulation is the precondition for serious innovation; the substrate on which durable businesses are built, the framework that distinguishes the credible from the speculative, the assurance that allows institutional capital to allocate to a category at scale. The founders who understand these are the founders who will build the next generation of African financial institutions. The founders who do not will continue to find themselves on the wrong end of letters they do not understand, written by institutions whose logic remains opaque to them, in a country whose digital financial future they could have helped to shape.

I have written this book because I believe African founders, Nigerian, Ghanaian, Kenyan, South African, all of them, are entirely capable of being the latter rather than the former. What has been missing is not the talent, the vision, or the ambition. What has been missing is the guidebook.

This is that guidebook.

Chimezie Chuta

Lagos, Nigeria

May 2026

A NOTE ON HOW TO USE THIS HANDBOOK

How to Use This Book

This book is structured as both a sequential argument and a reference document. It can be read cover to cover, and the reader who does so will, I believe, come away with the most coherent overall mental model of the regulated landscape we are operating in. But it has also been designed to be read in pieces, out of order, and according to the reader's immediate need.

Different readers will use it in different ways. The following guidance is offered to help each reader find their fastest path to value.

If You Are a Founder Who Has Just Received a Regulatory Notice

Skip directly to Chapter 19 ("When things go wrong: responding to regulatory action"). Then read Chapter 16 ("How to engage a regulator before they engage you") for context on the response posture that gives you the best chance of a constructive outcome. Once the immediate situation is stabilised, return to Part One and read the book sequentially.

If You Are a Founder Building a New Product

Start with Parts One and Two to establish the mental model. Then move to the chapter in Part Three (Chapters 10 through 14) that most closely describes the product you are building, be it stablecoins, virtual asset services, tokenisation, DeFi, or AI-enabled finance. From there, Part Four provides the operational frameworks for building compliance into your product from the first sprint.

If You Are a Corporate Innovation Lead at a Bank, Telco, or Insurance Firm

Begin with Chapter 2 ("Compliance as competitive advantage"), then read Part Two in full to develop a clear map of the regulatory landscape and the institutions that govern your initiative. Chapter 17 ("Using the innovation sandbox as a launch strategy") and Chapter 18 ("Compliance-first product architecture") will be particularly relevant. Use

the book as a shared reference document with your legal, compliance, and product teams.

If You Are an Advisor, Consultant, or Board Member

Read Part Five first. The framework for navigating regulations that don't yet exist (Chapter 22) is the most strategically valuable chapter in the book for advisors. Then read Parts One and Two for the institutional context, and use Parts Three and Four as topic-specific reference material when client situations require.

If You Are a Regulator, Policymaker, or Public-Sector Reader

This book has been written with regulators in mind as much as founders. The reader from the public sector is encouraged to read Part One for an articulation of how the regulated community perceives and responds to regulation, and Chapter 5 ("How regulation actually gets made in Nigeria") for a candid account of the policy formation process as experienced from the outside. The book is offered, in part, as a contribution to the institutional dialogue between regulators and innovators that all of our work ultimately depends on.

On the Chapter Tags

Each chapter in the Table of Contents carries one or more thematic tags, designed to help the reader navigate by need:

INSIDER: chapters drawing on direct experience inside policy formation processes

TOOLKIT: chapters containing checklists, templates, or frameworks for immediate application

MYTH-BUSTING: chapters that confront and correct commonly held misconceptions

STRATEGY: chapters concerned with positioning, competitive advantage, and long-term thinking

REFERENCE: chapters offering structured reference material on institutions, frameworks, or product categories

CORE SKILL: chapters that develop a transferable analytical capability

EMERGING: chapters addressing regulatory questions that are still being formed

On the Appendices

The four appendices at the end of the book are intended as standalone working tools. The ninety-day regulatory readiness checklist (Appendix A) is designed to be torn out, photocopied, or printed for the reader's wall. The product-to-regulator mapping matrix (Appendix C) is intended to be consulted at the start of every new product initiative. The resource directory (Appendix B) and the glossary (Appendix D) are reference instruments to be returned to as needed. The reader is encouraged to make liberal use of them all.

On Confidentiality

Many of the case studies and examples in this book are drawn from real situations involving real institutions, founders, and regulators. Where naming a party would serve no instructive purpose, or where doing so would breach the confidence in which the information was originally shared, the case has been anonymised. Where institutions or individuals are named, they are named with their consent or because the matter is already public record. Every effort has been made to honour the trust that has been extended to me over the years by the founders, regulators, and institutional leaders who have shared their challenges with me. Without that trust, this book could not have been written.

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Part One

The Mindset Shift

Regulation Is Not Your Enemy. It Is Your Moat

In September 2023, a colleague forwarded me a message from a founder in his network. It was a screenshot of a letter. The letterhead was unmistakable: the Securities and Exchange Commission of Nigeria. The founder, a talented product builder who had been working on a tokenised real estate platform for nearly two years, had received a formal regulatory notice requesting authorisation. His platform had been directed to cease its investment promotion activities until it could demonstrate compliance with SEC Nigeria's framework.

The message my colleague forwarded was short. It said: 'I don't know what to do. I didn't even know I was doing something wrong.'

That sentence has stayed with me.

Not because it reflects ignorance, this founder was demonstrably intelligent, driven, and building something genuinely valuable. It has stayed with me because it reflects a gap: between the pace at which Nigeria's digital asset regulatory landscape has evolved, and the pace at which the information about that landscape has reached the founders who need it most.

Part One of this book exists to close that gap, starting with the most important reframe in the entire book.

Regulation is not your enemy. It never was. The founders who treat it as a threat will continue to be surprised by letters, paralysed by uncertainty, and outcompeted by the founders who treat it as a strategic asset. Part One is about becoming the second kind of founder.

Four chapters. Four shifts in how you think. Everything that follows in this book, the frameworks, the checklists, the institutional maps, the product-specific guidance, rests on the foundation laid here. Read this part before you read anything else. If you are already in regulatory trouble, read Chapter One first, then come back to the beginning.

Let's start with Emeka.

CHAPTER One

The Letter You Were Not Prepared For

"The most dangerous assumption a founder can make is that silence means approval."

— Chimezie Chuta

Emeka had been building for twenty-two months.

He had the product. A tokenised real estate platform, PropTech LLC, built around a compelling thesis: that ordinary Nigerians should be able to own fractions of premium real estate in Abuja without needing millions of naira in savings or access to a mortgage system that excluded most of them. The anchor asset was a twelve-storey mixed-use development in Maitama. Users could buy tokens representing fractions of off-plan apartments from as little as fifty thousand naira. The token carried a proportional right to rental income once the building was complete and a share of the capital appreciation at sale.

It was, by any honest assessment, a good idea. The technology worked. The legal agreements had been drafted by a firm that specialised in real estate transactions. The developer was credible, the building was real, and the pipeline of interested buyers, gathered through months of social media promotion, webinars, and referrals, was growing steadily. Emeka had co-founders who believed in him. He had raised a small round from angel investors. He was, to use the phrase he used himself when we eventually spoke, 'three months from launch.'

The letter arrived on a Tuesday morning in September.

It was from the Securities and Exchange Commission of Nigeria. It was addressed to PropTech LLC. It used formal language that Emeka later described as 'reading like it was written by someone who wanted to make sure I didn't understand it.' It informed him that his platform appeared to be engaged in the solicitation of investments from members of the public in connection with a capital market instrument, specifically, a tokenised security, without the requisite registration and authorisation from the Commission. It

directed Proptech LLC to immediately cease the promotion of the investment offering pending the provision of satisfactory documentation demonstrating compliance with the relevant provisions of the Investments and Securities Act and applicable SEC rules. It gave him twenty-one days to respond.

Emeka read the letter four times.

Then he called his lawyer. His lawyer read it twice and said,

'I think you should pause everything.'

That was the full extent of the advice.

What Emeka did not know, what almost nobody had told him, was that the moment his platform began offering tokens that carried rights to income and capital appreciation from a real estate project to members of the public, he had crossed a line that the Nigerian regulatory framework had drawn with considerable clarity. The tokens he was selling were not utility tokens. They were not access rights to a service. They were, in every meaningful functional sense, investment securities, fractional interests in a real estate asset, offered to retail investors in exchange for money, with a reasonable expectation of profit derived from the efforts of others.

This is the definition of a security under any framework you care to consult, Nigerian, American, British, or South African. The ISA 2025, which consolidated and reinforced this position, classifies digital assets of exactly this description as securities subject to SEC Nigeria's full regulatory oversight. The SEC's letter was not capricious. It was not an overreach. It was a regulator doing precisely what regulators exist to do: protecting the members of the public who might invest their fifty thousand naira in a platform that, however well-intentioned, had not met the minimum standards of transparency, governance, and financial accountability that securities regulation requires.

None of this made it easier for Emeka on that Tuesday morning.

The Wrong Room

The first call Emeka made after speaking to his real estate lawyer was to a general corporate attorney he had used for his CAC registration. This lawyer, competent in his

field but entirely unfamiliar with the digital asset regulatory landscape, gave Emeka advice that very nearly ended the project permanently.

The advice had three components. First: engage a PR firm to manage any reputational fallout from the SEC contact. Second: do not communicate with SEC directly without extensive legal preparation. Third: consider restructuring the tokens as 'utility tokens' to remove them from the securities framework.

The third piece of advice was the most damaging. The idea that you can restructure a token to avoid securities classification by relabelling it as 'utility' reflects a fundamental misunderstanding of how regulators, and specifically SEC Nigeria, approach token classification. What determines whether a token is a security is not its label. It is its *function*. If a token carries rights to economic benefit from a common enterprise, it is a security. Full stop. Relabelling it does not change its substance. It only makes the regulatory problem worse, because it signals to the regulator that the issuer is attempting to evade rather than comply.

Emeka spent four weeks and a significant sum implementing this advice. He hired a PR firm. He retained a barrister who prepared an elaborate response asserting that the tokens were utilities. He redesigned the white paper. He paused all promotion, but the pause was unstructured and communicated poorly to his pipeline of prospective investors, several of whom interpreted it as a sign of financial trouble and quietly withdrew.

The SEC response to his restructured submission was polite but unmoved. The Commission noted that the functional characteristics of the offering had not materially changed, and reiterated its original request for authorisation under the applicable framework.

It was at this point, six weeks after the original letter, with the project stalled, the angel investors growing anxious, and the developer beginning to ask questions, that Emeka was connected, through a mutual contact, to someone who had actually read the SEC's Digital Asset Rules.

The Conversation That Changed Everything

I was not that person. But I know the person who was, and I have spoken at length with Emeka about what followed. The conversation that changed the trajectory of his project lasted approximately ninety minutes and covered three things.

First: a plain-language explanation of what SEC Nigeria had actually asked for, and why. The Commission's letter was not a death sentence. It was an administrative request, one that dozens of businesses in Nigeria were navigating simultaneously through the ARIP (Accelerated Regulatory Incubation Programme) framework. The SEC was not asking Emeka to shut down. It was asking him to come in from the cold: to register, meet minimum capital requirements, implement investor protection measures, and operate within a framework that would actually give his investors the protections they deserved.

Second: an honest assessment of what PropTech LLC's token actually was. Not a utility. Not a payment instrument. A security, specifically, a tokenised fractional interest in real estate with income and capital appreciation rights. Once Emeka accepted this classification rather than fighting it, the path forward became clear. He needed to apply for registration as a Digital Asset Offering Platform (DAOP) with SEC Nigeria, structure the offering in compliance with investor protection requirements, and file the documentation that the Commission had originally requested.

Third: a map of the process. The ARIP application. The initial assessment filing. The legal opinion on token classification. The requirements for minimum capital, Nigerian incorporation, and local management. The timeline, realistically, three to six months for getting from where he was to a position where he could relaunch.

Emeka described the ninety-minute conversation this way: 'It was the first time I felt like I actually understood what was happening. Not afraid of it. Not angry about it. Just clear.'

That clarity, the shift from fear and confusion to understanding and agency, is the first thing this book is designed to give you. Everything that follows is built on it.

What the Letter Actually Was

Let us be precise about what SEC Nigeria's letter to PropTech LLC represented, because precision here matters for every founder reading this.

It was not a criminal charge. It was not a finding of guilt. It was not a demand that the business cease to exist. It was a formal administrative notice informing a market participant that it appeared to be conducting regulated activities without the requisite authorisation, and requesting either authorisation or a satisfactory explanation of why authorisation was not required.

This is standard regulatory procedure in every jurisdiction in the world. The Financial Conduct Authority in the United Kingdom sends equivalent letters. The Securities and Exchange Commission in the United States does the same. The difference, and it is a significant one, is that in those jurisdictions, the founders who receive such letters have typically been advised, by lawyers and mentors who understand the regulatory landscape, to expect them. They have compliance frameworks in place. They know what the letter means and what they need to do.

In Nigeria, in 2023, when Emeka received his letter, that support infrastructure barely existed. The ecosystem of lawyers, advisors, and consultants who truly understood the intersection of blockchain technology and Nigerian capital markets regulation was vanishingly small. The body of plain-language guidance written for founders, as opposed to legal practitioners, was essentially nonexistent.

That is the gap this book exists to fill.

Five Things the Letter Was Telling You

If you are a founder who has received, or is likely to receive, a regulatory notice from SEC Nigeria, the CBN, the NFIU, or any other Nigerian regulatory body, here is what that letter is almost always communicating beneath its formal language:

- 1. We know you exist.** Regulators do not send letters to businesses they are unaware of. The fact of the letter means that your platform has come to the Commission's attention, through monitoring of social media, referrals from financial institutions, or market intelligence. This is not inherently bad news. It means you are building something visible enough to matter.

- 2. We believe you may be conducting regulated activities.** The letter will typically state that your platform ‘appears to be’ engaged in specified activities. This is deliberately qualified language. The Commission is giving you the opportunity to demonstrate that its assessment is incorrect, or to begin the process of regularisation. It is an opening, not a verdict.
- 3. We want you to engage, not disappear.** Regulatory agencies are not primarily in the business of shutting companies down. They are in the business of bringing market participants into a framework that protects investors and maintains market integrity. A founder who responds promptly, engages constructively, and demonstrates a genuine intention to comply is treated very differently from one who goes silent or attempts to obfuscate.
- 4. The clock is now running.** Regulatory notices come with response deadlines. Missing those deadlines, or responding with material that is clearly designed to delay rather than address the substance of the enquiry, will escalate the matter. Time is the one resource you genuinely do not have when a regulatory notice arrives.
- 5. You need the right room.** General corporate lawyers, real estate solicitors, and even most fintech lawyers do not have the specific expertise to navigate a SEC Nigeria digital asset matter. The first and most important decision you will make after receiving a regulatory notice is who to call. Chapter Sixteen of this book is entirely devoted to that question.

The Emeka Principle

The fundamental mistake Emeka made was not in building a tokenised real estate platform. The idea was sound. The technology was functional. The market need was real. The mistake was in not knowing, months before the letter arrived, that his product would trigger securities regulation. Had he known that, he could have structured the project compliantly from the outset, approached SEC Nigeria proactively, used the ARIP framework as a launch mechanism rather than a crisis response, and been three months ahead of where he ended up. This book is designed to ensure you have that knowledge before the letter arrives, not after.

Where Emeka Ended Up

The arc of Emeka’s story does not end with the letter. It ends, approximately nine months after that Tuesday morning in September, with PropTech LLC having submitted its ARIP application, received preliminary feedback from SEC Nigeria, restructured its offering documentation to meet investor protection requirements, and re-engaged its development partner on a timeline that, while delayed, remained viable.

The angel investors, once briefed on the regulatory journey and its resolution, did not withdraw. Two of them, in fact, increased their commitments, not despite the regulatory process, but partly because of it. The platform's credibility with sophisticated investors was higher, not lower, because it could demonstrate that it had engaged with and navigated the Commission's framework.

The promotional pipeline that had paused during the crisis was rebuilt. More slowly than before. But on a foundation that Emeka described, when I last spoke with him, as 'one that I actually trust.' He knew what he was building, inside what framework, with what protections for his investors. He understood, for the first time, that SEC Nigeria was not trying to stop him. It was trying to make sure that when his platform eventually failed, as some percentage of all platforms do, his investors would not lose everything without recourse.

That is what regulation is. Not an obstacle. Not a tax on innovation. A framework for accountability that makes markets function over the long term.

Emeka's platform has not yet launched at the time of this writing. But it will. And when it does, it will do so as a licensed operator in a regulated market, with every meaningful competitive advantage that implies.

We will return to his story throughout this book.

The Question This Chapter Leaves You With

Before you read on, I want to leave you with one question. It is not rhetorical. It requires a genuine answer, written down if possible, because the answer will shape how you read everything that follows.

If you received a regulatory notice from SEC Nigeria tomorrow morning, do you know what it would say, why it would say it, and what you would do in the first twenty-four hours?

If the honest answer is no, or even 'I'm not sure', then this book is doing exactly what it is designed to do. By the time you finish Part Four, the answer will be yes.

Let's keep going.



CHAPTER Two

Compliance as Competitive Advantage

“The companies that will dominate African finance in ten years are being licensed today. Most of them don’t realise it yet.”

— Chimezie Chuta

In 2024, SEC Nigeria’s Accelerated Regulatory Incubation Programme granted its first provisional approvals to two Nigerian digital asset exchanges: Quidax and Busha. The announcement was greeted with modest industry attention: a paragraph in the fintech press, a few congratulatory posts on LinkedIn, and then the news cycle moved on.

I believe that announcement will eventually be seen as one of the most consequential moments in Nigerian financial technology history.

Here is why.

The number of crypto exchanges serving Nigerian users at that time was not two. It was not twenty. Estimates placed the number of platforms with active Nigerian user bases, including foreign exchanges operating without local registration, P2P platforms operating informally, and locally built products still in development, in the hundreds. In a market of that size, with that level of competition, being one of the first two platforms to hold regulatory authorisation from the apex capital markets regulator was not merely a compliance achievement.

It was a market positioning event.

What a Licence Actually Buys You

Founders in regulated industries often experience licensing as a cost centre, an expense of time, capital, and management attention that produces nothing except the right to continue operating. This framing is understandable. The process is demanding. The capital requirements are significant. The documentation is exhausting. And at the end of it, you hold a piece of paper that does not, by itself, generate a single naira of revenue.

But this framing confuses the instrument with its effects. A licence from SEC Nigeria, CBN, or any credible regulatory authority is not a piece of paper. It is a signal, one that is simultaneously transmitted to every stakeholder your business depends on.

To your customers, it says: this platform has been examined by an independent authority, has met minimum standards of financial soundness and operational integrity, and is accountable to a regulatory body with the power to enforce its obligations. In a market scarred by exchange collapses, exit scams, and platform insolvencies, this signal is worth more than any marketing campaign you will ever run.

To institutional investors and partners, it says: we can do business with this company without triggering our own compliance concerns. Institutional capital, the kind that takes platforms from promising to dominant, cannot flow to unlicensed entities in regulated markets. The licensed operator is not merely accessible to this capital. It is often the only option.

To banks and payment processors, it says: this is a counterparty we can serve without regulatory risk. The CBN's 2023 relaxation of restrictions specifically allowed banks to work with SEC-licensed digital asset service providers. Without a licence, you are locked out of the naira banking rails. With one, the entire financial infrastructure of the country becomes available to your platform.

To talented employees, it says: this is a company with a future. The best compliance officers, technology architects, and product managers in the Nigerian market increasingly choose employers whose regulatory standing is clear. Regulatory uncertainty is a talent repellent.

And to your competitors, it says: the cost of entry into this market has just risen. Every month that passes without them achieving equivalent authorisation is a month of compounding advantage for you.

The First-Mover Licence Premium

In most markets, first-mover advantage dissipates quickly as competitors copy the product. Regulatory first-mover advantage compounds over time. A licensed operator builds institutional relationships,

regulatory trust, and operational compliance infrastructure that unlicensed competitors cannot replicate overnight. When the regulator eventually turns its attention to enforcement, and it always does, the licensed operator is not just protected. It benefits directly, as the market contracts around it.

The Cost of Waiting

There is a version of the founder's calculation that appears rational but is actually catastrophically short-sighted: the decision to delay compliance until the regulatory environment 'settles.'

I hear this frequently. 'The rules are still changing.' 'We're waiting to see what the final framework looks like.' 'We don't want to lock ourselves into a compliance structure that becomes obsolete.' These are intelligent people making an understandable argument. And they are wrong in at least three important ways.

First, the rules will always be changing. Regulatory evolution is not a phase that ends. It is the permanent condition of operating in a regulated industry. The CBN has revised its digital asset guidance multiple times. SEC Nigeria's Digital Asset Rules were issued in 2022, amended significantly in 2024, and further amended in 2025. The founders who wait for the rules to stop moving will wait forever.

Second, early engagement with regulators during a framework's development is itself a competitive advantage. The companies that engaged with SEC Nigeria's ARIP programme in its earliest phases helped shape its operational requirements through the feedback process. They understood the framework's logic before their competitors did. They built relationships with Commission staff during a period of relative goodwill. These are advantages that late entrants cannot purchase.

Third, and most practically: the cost of compliance is significantly lower when you build it in from the beginning than when you retrofit it onto an existing product. A platform designed from day one with AML infrastructure, KYC processes, audit trails, and investor protection mechanisms costs a fraction of what it costs to rebuild those systems into a platform that was architected without them. Emeka's story is a painful illustration of this: the cost of restructuring his offering documentation, retraining his team, and rebuilding

investor confidence was multiples of what it would have cost to build compliantly in the first place.

The Three Levels of Compliance Advantage

Not all compliance advantages are equal. The most sophisticated founders think about regulatory compliance on three distinct levels, each building on the previous:

Level 1. Defensive compliance: Meeting the minimum requirements to avoid regulatory action. This is the floor, not the ceiling. A platform that is defensively compliant has done the work required to avoid the letter Emeka received. It has registered with the appropriate authority, implemented basic AML/KYC, and filed the required reports. This is necessary but not sufficient for competitive advantage.

Level 2. Reputational compliance: Exceeding minimum requirements in visible ways that build customer and partner confidence. This includes voluntary disclosures beyond what is required, third-party audits published openly, proactive communication with customers about how their funds are protected, and a public compliance culture. Platforms that achieve Level 2 compliance convert it into marketing, not by boasting about their regulatory status, but by making it visible and legible to the customers who care about it.

Level 3. Strategic compliance: Using regulatory engagement as a tool for market shaping. This is the level at which the most sophisticated operators play. They participate in regulatory consultations. They provide technical assistance to regulators developing new frameworks. They sit on industry bodies that shape policy. They are, in effect, inside the rooms where the rules are written, ensuring that the rules that emerge are ones they can operate under, and ones that their less-engaged competitors will struggle to meet. This is not corruption. It is legitimate, legal, and in most advanced financial markets, expected.

Quidax and Busha achieved Level 1 compliance when they obtained their ARIP approvals. The question for every other Nigerian digital asset platform is not whether to pursue this level; the regulatory reality of ISA 2025 has made it mandatory, but how quickly to move to Levels 2 and 3.

The Evidence from Other Markets

Nigeria is not the first market to go through this transition. The pattern, initial regulatory uncertainty, then framework development, then enforcement, then market consolidation

around licensed operators, is visible in the recent history of every major digital asset market.

In the United Kingdom, the Financial Conduct Authority began requiring crypto asset firms to register under its AML/CTF regime in 2020. The registration process was demanding: more than eighty percent of applicants who entered it did not complete it successfully. The firms that survived and obtained authorisation did not merely continue operating, they captured the institutional business that had been waiting on the regulatory sidelines. Coinbase UK, Revolut, and a handful of others became the dominant platforms for institutional and high-net-worth customers specifically because they had demonstrated regulatory fitness.

In South Africa, the FSCA's 2023 CASP licensing regime produced a similar dynamic. The platforms that had done the preparatory compliance work, KYC infrastructure, AML programmes, capital adequacy, moved through the authorisation process with relative speed. Those that had deferred compliance scrambled and, in several cases, exited the market.

In each of these cases, the compliant operators did not merely survive the regulatory transition. They emerged from it in a structurally stronger competitive position than they had entered it. The regulatory process had done their competitive work for them, eliminating the least serious and least capitalised participants from the market while they continued to serve it.

Nigeria's digital asset market will follow the same pattern. The question is only whether you will be among the operators who emerge stronger, or among those who are eliminated.

A Note on Sincerity

I want to be direct about something, because this book is not designed to be a collection of reassuring platitudes.

Compliance as competitive advantage is not a comfortable or painless strategy. The capital requirements for SEC Nigeria VASP registration are significant, particularly for early-stage

companies. The documentation demands are real. The time required is measured in months, not weeks. The process requires engaging legal counsel with genuine expertise in this specific area, which is not cheap and not always easy to find.

There will be moments, particularly in the early stages of building your compliance infrastructure, when the cost feels disproportionate to the benefit. There will be competitors who continue to operate without authorisation, apparently successfully, while you invest in the compliance work they are deferring. There will be investors who question why you are spending capital on regulatory infrastructure rather than product development.

My answer to all of these concerns is the same: look at what happened to the exchanges that ignored regulation. Then look at what happened to the ones that embraced it. The evidence is not ambiguous.

The cost of compliance is real. The cost of non-compliance, measured in frozen accounts, regulatory action, reputational damage, loss of institutional partners, and in some cases criminal liability, is categorically higher. And the competitive advantage of being among the first licensed operators in a market that is going to grow significantly over the next decade is worth considerably more than the cost of achieving it.

Emeka understood this, eventually. The nine months he spent navigating SEC Nigeria's framework were painful. But the platform he is building on the other side of that process is categorically more valuable, to investors, to partners, to customers, and to himself, than the one he was building before the letter arrived.

He told me once, *'I used to think the regulator was trying to stop me. Now I think they were trying to make me serious.'*

That is exactly right.



CHAPTER Three

The Three Myths That Get African Founders in Trouble

"Every preventable regulatory crisis I have witnessed began with one of three sentences."

— Chimezie Chuta

In nearly a decade of working at the intersection of blockchain technology and Nigerian regulatory policy, I have observed a remarkable consistency in the thinking that leads founders into regulatory trouble. The product categories vary. The founders are different people, with different backgrounds and different levels of sophistication. But the underlying errors in reasoning trace back, almost without exception, to one of three foundational myths.

I call them myths rather than mistakes because they are not individual failures of attention. They are shared cultural beliefs, stories that circulate in the founder community, that contain enough surface plausibility to be convincing, and that lead, reliably, toward preventable disaster.

This chapter names them, examines them, and replaces them with the beliefs that actually serve you in this environment.

MYTH 1

"We will deal with compliance later, once we have product-market fit."

THE TRUTH

Compliance is not a phase you enter after finding product-market fit. It is a design constraint you incorporate before you write your first line of code. Products built without compliance architecture cannot have it added later without fundamental restructuring, and the cost of that restructuring, measured in time, capital, and momentum, is almost always greater than the cost of building it in from the start.

This is the most common myth in the Nigerian tech ecosystem, and it is the one I hear from the most intelligent founders. The reasoning sounds like engineering pragmatism: build the thing first, prove that people want it, then worry about the regulatory overhead once you have traction. Move fast, iterate, optimise later.

The problem is that compliance is not an overhead that can be cleanly separated from the product and added later. It is woven into the architecture of the product itself.

Consider what building compliantly actually requires. A KYC system is not a feature you bolt onto a finished product. It is a foundational requirement that determines how users are onboarded, what data you collect, how that data is stored and secured, what jurisdictions you can serve, and what transaction limits you can apply to different customer tiers. Building a product without KYC architecture and then adding it later means rebuilding the user onboarding flow, the data model, the storage and access controls, the transaction monitoring system, and in many cases the front-end entirely.

An AML transaction monitoring system is not a plugin. It is a set of rules, alert thresholds, investigation workflows, and reporting pipelines that must be integrated into the transaction processing layer of the platform from the beginning. Adding it retroactively requires either a complete rebuild of the transaction layer or the creation of an awkward parallel system that generates false positives, misses genuine risks, and costs significantly more to operate than an integrated system would have.

Investor protection disclosures, for platforms offering tokenised securities, as Emeka was, are not marketing copy. They are legally prescribed documents that determine what you can say to potential investors, how you must say it, what risks you must disclose, and what cooling-off periods and redemption rights you must offer. Building a promotional and sales infrastructure without these requirements baked in means rebuilding it entirely once the regulator arrives.

The founders who build compliantly from the outset do not spend more time building. They spend the same time building, but they build the right thing the first time.

There is a second, less often discussed cost of the 'compliance later' approach: regulatory trust.

Regulators have long institutional memories. When a company comes to them in the aftermath of a regulatory notice, as Emeka did, having operated without authorisation for months or years, the initial posture of the regulatory relationship is adversarial. The burden of demonstrating good faith falls entirely on the company. The regulator's natural disposition is scepticism: if this company was not compliant when it mattered, why should we believe its compliance commitments now?

Contrast this with the company that approaches the regulator proactively, through the ARIP programme or its equivalent, before launching its product. That relationship begins from a completely different starting point. The regulator's posture is facilitative rather than adversarial. The company is not defending itself; it is building something together with the regulator. The benefits of this relationship, regulatory intelligence, informal guidance, goodwill during the inevitable disputes that arise in any regulated business, are significant and compounding.

Deal with compliance first. Build product-market fit within a regulated framework. The two are not in conflict. They are, for any serious business with a long time horizon, inseparable.

MYTH 2

"Our lawyers will handle the regulatory side."

THE TRUTH

Most lawyers, including most fintech lawyers, do not have the specialist knowledge to navigate the Nigerian digital asset regulatory landscape. The intersection of blockchain technology, capital markets law, payment systems regulation, AML/CFT compliance, and emerging global standards (FATF, BIS, MiCA) is one of the most technically demanding areas of practice that exists in Nigerian law today. Engaging a general commercial lawyer, or even a competent fintech lawyer without specific digital asset expertise, is not the same as having effective regulatory representation. In many cases, it is worse, because it creates the illusion of protection without the substance.

This myth operates through a kind of institutional transference: the belief that engaging a professional means transferring responsibility to them, and that transferring responsibility constitutes managing the risk. It does not.

The legal landscape surrounding digital assets in Nigeria is genuinely complex, and it is moving faster than most practitioners can track. ISA 2025 was enacted this year. SEC Nigeria's Digital Asset Rules were substantially amended in 2024, with further amendments effective June 2025. The CBN's guidance on digital assets and payment systems has evolved through multiple circulars. The MLPPA 2022 created new obligations for VASPs that most lawyers had not previously had to engage with. FATF's Recommendation 15 and its Travel Rule implications are not standard components of Nigerian legal training.

The lawyer who handled your CAC registration does not know this landscape. The conveyancing solicitor who drafted your real estate agreements does not know it. Even many lawyers who describe themselves as 'fintech lawyers' are primarily familiar with payment systems licensing and e-money regulation, a different, though related, body of law from digital asset securities regulation.

This is not a criticism of the legal profession. It is an observation about the pace of regulatory development relative to the pace of professional education. The specialists in this area, practitioners with deep fluency in both the technology and the regulatory frameworks, are rare, because the field is young and the learning curve is steep.

The practical consequence of this myth is what happened to Emeka: he engaged lawyers who were competent in their own areas and who gave him advice that was, from their perspective, reasonable, but that was based on a fundamental misunderstanding of how SEC Nigeria approaches token classification. The advice made his situation worse rather than better.

There are three things a founder needs that a generalist lawyer cannot provide, but that a specialist in this field can:

- 1. Regulatory intelligence:** Knowledge of how the regulator actually operates in practice, not just what the rules say, but how they are interpreted, how enforcement decisions are made, and what arguments are persuasive versus what arguments irritate the people reviewing your application. This knowledge comes from proximity to the regulator, which generalist lawyers do not have.
- 2. Structural advice:** The ability to advise on how to structure a product, the token design, the corporate structure, the investor rights, the terms of service in a way that meets regulatory

requirements without compromising the product's commercial proposition. This requires understanding both the law and the technology at a level that generalist lawyers typically do not achieve.

- 3. Crisis navigation:** When a regulatory notice arrives, you need someone who has navigated that specific process before. Not someone who can research it. Someone who has done it. The difference in outcome can be the difference between a three-month regulatory engagement and a three-year one.

The solution to this myth is not to distrust lawyers. It is to be rigorous about which lawyers you engage for which purposes. Your CAC registration lawyer is excellent at CAC registrations. Your real estate solicitor is excellent at real estate transactions. For digital asset regulatory matters in Nigeria, you need a practitioner who has specific, demonstrable, recent experience in that specific area. Chapter Sixteen provides detailed guidance on how to identify and evaluate such practitioners.

MYTH 3

"What works in the US or EU will work here."

THE TRUTH

The Nigerian and broader African regulatory environment operates according to different institutional logics, different enforcement patterns, different relationships between formal rules and informal practice, and different timelines than the frameworks most international references describe. A compliance structure designed for the US or European regulatory environment will not, without material adaptation, work in Nigeria. Worse: it may give you dangerous false confidence that you are compliant when you are not.

This myth most commonly affects three categories of founders: Nigerians who have spent significant time abroad and absorbed the regulatory frameworks of other markets; foreign founders or investors who are building for the Nigerian market from outside it; and local founders who, understandably, look to the more developed documentation and guidance available in American and European markets as a template for their compliance approach.

The error is not in learning from international frameworks. There is much to learn. The error is in assuming that those frameworks translate directly, without significant local adaptation.

Let me give you three specific examples of where this assumption breaks down.

First: the role of the Central Bank. In the United States, the Federal Reserve is not the primary regulator of digital asset service providers, that role is divided between the SEC, the CFTC, FinCEN, and state-level regulators. In Nigeria, the CBN plays a far more central and active role in the overall financial regulatory landscape, and its approach to digital assets, which has shifted several times and continues to evolve, has no precise international equivalent. A compliance framework built on the assumption that monetary authorities are peripheral to digital asset regulation will systematically underestimate the CBN's relevance to your business.

Second: the relationship between written rules and practical implementation. In many developed market contexts, the written regulatory framework is a reliable guide to how the regulator will actually behave in practice. In Nigeria, understanding the written rules is necessary but not sufficient. The practical implementation of those rules, how applications are processed, what informal guidance is available, what the regulator's actual priorities are in a given period, is substantially shaped by institutional culture, staffing, and the ongoing policy dialogue between the regulator and the industry. Navigating this landscape effectively requires local knowledge and institutional relationships that no international compliance template can provide.

Third: the timelines. An AML programme designed to meet UK FCA requirements is likely to include controls, documentation standards, and reporting frequencies that are calibrated for the UK financial system, its transaction volumes, its correspondent banking infrastructure, its court system, and its enforcement mechanisms. The same programme, applied in Nigeria, may be simultaneously over-engineered in some dimensions (building for risks that are not the primary concerns of Nigerian regulators) and under-engineered in others (not addressing the specific risks, P2P transaction flows, informal naira-to-crypto rails, high-risk cross-border jurisdictions, that are most salient in the Nigerian context).

The right approach is to use international frameworks as a reference architecture, not a template. They tell you what a mature AML programme looks like. They do not tell you what a mature AML programme looks like for a Nigerian digital asset exchange serving a predominantly mobile-first, predominantly unbanked user base, operating in a

high-P2P-volume environment, under the specific oversight of the NFIU and SEC Nigeria. Building that requires local expertise, local relationships, and a genuine engagement with the specific regulatory environment you are operating in.

The most expensive words in the Nigerian digital asset market are: 'but this is how we did it in London.'



CHAPTER Four

How to Read a Regulatory Document Like a Strategist

“The founder who can read a regulatory circular and find the opportunity inside it is worth more to their company than the founder who sends it to their lawyer and waits.”

— Chimezie Chuta

Sometime in the second quarter of 2022, the Securities and Exchange Commission of Nigeria published a document titled ‘New Rules on Issuance, Offering Platforms and Custody of Digital Assets.’ It ran to dozens of pages. It was written in formal regulatory language, dense with defined terms, cross-references, and administrative requirements. It was published on the SEC’s website with relatively little fanfare, and most of the founders operating in Nigeria’s digital asset space at the time either did not see it, or saw it and filed it away as something for their lawyers to review.

A small number of founders read it themselves. Within it, they found something that the majority of the market had missed: a structured pathway, the ARIP framework, through which digital asset businesses could achieve provisional regulatory approval in Nigeria for the first time. Two years later, the first companies to emerge from that pathway held provisional licences that their competitors were still scrambling to obtain.

The difference between those two groups of founders was not intelligence. It was a skill: the ability to read a regulatory document not as a compliance burden to be delegated, but as a strategic map to be interrogated.

This chapter teaches that skill.

Why Most Founders Cannot Read Regulatory Documents

Regulatory documents are written primarily for regulators, lawyers, and compliance professionals, people with training in how to parse formal legal language, cross-reference definitions, and understand the structural logic of regulatory frameworks. For everyone

else, they are genuinely difficult to read. The language is precise to the point of opacity, the structure is non-linear, and the practical implications of any given provision are often buried under layers of qualification.

This is not a conspiracy. Precision in regulatory language serves real purposes: it reduces ambiguity, limits the scope for creative misinterpretation, and ensures that the framework is enforceable. The problem is that it creates a significant information asymmetry: the people best equipped to extract strategic intelligence from regulatory documents are the very insiders, lawyers, former regulators, and institutional compliance officers, who often do not have the operator's intuition for what is commercially significant.

The goal of this chapter is not to turn you into a regulatory lawyer. It is to give you a systematic method for extracting the commercially relevant intelligence from regulatory documents yourself, quickly, so that you can identify the opportunities and risks that require deeper expert analysis, and so that when you do engage your lawyer, you can direct their attention to the right questions.

The Six Questions

When a new regulatory document is published, whether it is a CBN circular, a SEC Nigeria rule amendment, a NFIU compliance guideline, or an NITDA policy statement, read it with six questions in mind. Apply them in order. The answers will give you ninety percent of the strategic intelligence the document contains.

Question One: Who Does This Apply To?

The scope provision of any regulatory document is the most important paragraph in it. It tells you whether the document applies to your business at all.

Regulatory documents are not universally applicable. They are targeted at specific categories of entities, specific types of activities, specific transaction sizes, or specific customer types. The first question to answer, before reading anything else, is whether you are within the scope of the document.

In practice, this means finding and reading the definitions section carefully. Most Nigerian regulatory documents contain a 'Definitions' or 'Interpretation' section that specifies what

particular terms mean in the context of that document. The term 'VASP' in the SEC's Digital Asset Rules has a specific definition. The term 'digital asset' under ISA 2025 has a specific definition. The term 'offer to the public' under the same Act has a specific definition that determines whether your token sale is subject to prospectus requirements.

Read those definitions first. Ask: does my business, as I actually operate it, fall within these definitions? If the honest answer is yes, or even probably yes, read on with maximum attention. If the honest answer is clearly no, you still need to understand the document (because the regulatory landscape around you shapes your market even if a specific rule does not apply to you directly), but the urgency is lower.

The Scope Trap

One of the most common errors founders make when reading regulatory documents is applying the definitions too narrowly. They read a rule about 'digital asset exchanges' and conclude, because they describe their platform as something other than an exchange, that the rule does not apply to them. Regulators are not bound by the labels you apply to your product. They assess what your product functionally does and apply the definition that fits. If your platform facilitates the trading of digital assets between buyers and sellers, you are operating an exchange regardless of what you call it. When assessing scope, always ask: what does this product actually do, as distinct from what I call it?

Question Two: What Is the Regulator Trying to Achieve?

Every regulatory document has a stated purpose, usually in a preamble, recitals, or objectives section, and a real purpose that can be inferred from its substantive provisions. Understanding both is important, but understanding the real purpose is more valuable.

Regulators issue documents in response to specific problems they have identified in the market, or in response to international standards obligations (such as FATF requirements) or political imperatives (such as consumer protection concerns elevated by high-profile collapses). The substantive provisions of a regulatory document are essentially tools chosen to address those underlying concerns.

When you understand what problem the regulator is trying to solve, you understand what kind of compliance evidence will be persuasive. If the document is primarily

motivated by investor protection concerns following platform insolvencies, evidence of robust custodial arrangements, segregated client funds, and insurance coverage will carry more weight with the regulator than extensive documentation of your KYC process. If the document is motivated by AML concerns following enforcement actions against P2P platforms, evidence of your transaction monitoring infrastructure will be more persuasive than your investor disclosure documentation.

The regulator's motivating concern is usually visible in the language of the preamble, in any accompanying press release or regulatory statement, and in the pattern of enforcement actions that preceded the document's publication. Reading a regulatory document in isolation, without understanding the context that produced it, gives you the rules without the logic. Understanding the logic makes every compliance decision easier and every regulator conversation more productive.

Question Three: What Does This Require Me to Do?

This is the question most founders ask first. It is actually more useful as the third question, after you have established scope and purpose, because the requirements only make sense once you understand who they apply to and why.

The requirements section of a regulatory document will typically be structured around categories of obligation: registration requirements, capital requirements, governance requirements, operational requirements, reporting requirements, and conduct requirements. Read each category and ask: which of these apply to my business today, and which will apply as we scale?

Pay particular attention to:

- **Thresholds and triggers.** Many requirements are activated by crossing a threshold, a certain transaction volume, a certain number of users, a certain amount of customer funds under management. Know where those thresholds are before you cross them.
- **Timing requirements.** How much notice must be given before launching a new product? How many days to respond to a regulatory enquiry? How frequently must reports be filed? Timing violations are among the most common, and most avoidable regulatory infractions.

- Negative obligations. What does the document prohibit? Sometimes the most commercially significant provision is not a requirement to do something, but a prohibition on doing something you were planning. Find these early.
- Transitional provisions. Most regulatory documents include transitional arrangements for businesses already operating at the time of publication. These provisions, which specify how long existing operators have to achieve compliance, and what they can do in the interim, are often the most practically important provisions for an operating business. They are also, routinely the most overlooked.

Question Four: What Is Not Addressed?

This is the question that separates strategic readers from reactive ones. Every regulatory document has a scope, and outside that scope lies whitespace, activities, products, and business models that the document has not yet regulated.

Whitespace is not a permanent safe harbour. Regulators regularly return to fill gaps in their frameworks, and what is unregulated today may be regulated tomorrow. But whitespace represents a window: a period during which a business can operate, learn, establish market position, and build regulatory relationships before the framework catches up with it.

Identifying whitespace requires reading the document not just for what it says, but for what it conspicuously does not say. The SEC's 2022 Digital Asset Rules addressed the offering, trading, and custody of digital assets with considerable specificity. They said relatively little about DeFi protocols. They did not address DAO governance structures. They were silent on the specific treatment of yield-generating products. These gaps were not permanent; subsequent amendments began to address them, but they represented an operating window that sophisticated founders used deliberately.

The caveat is important: operating in regulatory whitespace requires ongoing monitoring and a genuine commitment to proactive compliance when the gap closes. The founders who use whitespace strategically are the ones who are already engaging with the regulator on the forthcoming framework while operating in the gap, not the ones who are hoping the gap will never close.

Question Five: What Is the Enforcement Mechanism?

A regulatory requirement without an enforcement mechanism is a recommendation. A requirement with a clear enforcement mechanism is a constraint. Knowing which is which determines how urgently you need to act.

Most Nigerian regulatory documents specify penalties for non-compliance, fines, suspension of licence, revocation, criminal prosecution in the most serious cases. The NTAA 2025 introduced substantial penalty provisions for VASPs. The MLPPA 2022 carries criminal liability. The ISA 2025 provisions on unlicensed securities offerings carry significant consequences.

But the formal penalty is only part of the enforcement picture. The practical enforcement capacity of the regulator, their ability to identify violations and impose consequences, is also relevant. A regulator with limited supervisory resources may issue rules that are formally binding but practically under-enforced in the near term. A regulator with strong enforcement capacity and active market monitoring is a different proposition entirely.

I am not suggesting that founders should calibrate their compliance to the regulator's enforcement capacity. I am suggesting that understanding enforcement mechanisms and capacity helps you prioritise: which compliance obligations require immediate action, and which can be implemented over a reasonable timeline without material risk.

Question Six: Where Is the Opportunity?

This is the question that justifies reading a regulatory document yourself rather than delegating it entirely to your lawyer.

Your lawyer will tell you what the document requires. They will identify the risks. They will advise you on how to achieve compliance. What they will rarely do, because it is not their role, is tell you how the document creates commercial opportunities that your competitors are missing.

Every significant regulatory document creates opportunities for the founders who read it carefully. Some of those opportunities are direct: the ARIP framework in the SEC's 2022 rules created a direct pathway to provisional licensing that the first applicants exploited decisively. The ISA 2025's recognition of tokenised securities as a regulated asset class

creates a direct opportunity for RWA tokenisation businesses that are now operating in a framework of legal clarity that did not exist two years ago.

Some opportunities are indirect: a new AML requirement that imposes significant compliance costs on existing platforms creates an opening for a well-capitalised, compliance-first new entrant to position itself as the trusted alternative. A new consumer protection framework that requires platforms to publish risk disclosures creates an opportunity for the platform whose disclosures are most clear and honest to differentiate itself on trust.

And some opportunities are temporal: a transitional provision that gives existing operators twelve months to achieve compliance gives a new entrant who launches already-compliant a twelve-month window of regulatory advantage before its incumbent competitors have caught up.

Putting It Together: A Worked Example

Let me apply the six questions to a real document: the SEC Nigeria Circular on the Accelerated Regulatory Incubation Programme (ARIP), published in 2022.

- Who does this apply to? Entities operating digital asset exchange, offering, custodian, or intermediary platforms in Nigeria, or targeting Nigerian investors. Any company facilitating the trading, offering, or safekeeping of digital assets for Nigerian users.
- What is the regulator trying to achieve? To bring an already-operating, largely unregulated digital asset industry within the supervisory perimeter of SEC Nigeria, while managing the transition in a way that does not immediately shut down the market. The ARIP reflects an acknowledgement that outright prohibition is not viable; the goal is regulated inclusion.
- What does it require me to do? Submit an initial assessment form and draft white paper. Obtain a legal opinion on token classification. Meet minimum capital requirements. Incorporate in Nigeria with local CEO. Apply for Approval-in-Principle. Comply with ongoing reporting and governance obligations during the AIP period.
- What is not addressed? DeFi protocols without a central operator. Pure non-custodial wallet providers. Cross-border VASPs with no Nigerian user acquisition activities. DAO-governed platforms. These gaps have narrowed with subsequent amendments, but represented operating windows at the time.

- What is the enforcement mechanism? SEC Nigeria has the power to pursue VASPs operating without authorisation under the ISA. Post-2025, the NTAA penalty provisions apply. The CBN's banking restrictions on unlicensed VASPs create additional practical enforcement pressure.
- Where is the opportunity? First-mover advantage in provisional licensing. Institutional investor access. Banking rail access under the CBN's relaxation. Talent attraction. Reputational differentiation from the unregulated market.

The founders who applied this analysis to the 2022 ARIP circular were in the ARIP application queue within weeks of its publication. Their competitors spent those same weeks arguing about whether the document applied to them.

Reading a regulatory document like a strategist means asking not just 'what does this require?' but 'what does this make possible?' The answer to the second question is almost always more valuable than the answer to the first.

Building Your Regulatory Reading Practice

The six questions are most useful when applied consistently, not just to major regulatory documents, but to everything the relevant agencies publish. CBN circulars. SEC notices. NFIU guidelines. NITDA policy statements. International regulatory developments at FATF, BIS, and the FSB that will eventually shape Nigerian frameworks.

This is not a daily commitment. It is a weekly one. Set aside time each week to scan the websites of the CBN, SEC Nigeria, NFIU, and NITDA for new publications. Scan the publications of GIABA and FATF for international developments. Scan the fintech and digital asset legal newsletters that track Nigerian regulatory developments (several exist and are published regularly). Build a simple log: what was published, when, who it applies to, what it requires, and what it makes possible.

Over time, this practice does something valuable that no individual document reading can achieve: it gives you a picture of the direction of regulatory travel. You begin to see not just where the rules are today, but where they are going. And the founder who knows where the rules are going, before they arrive, is the founder who is always three months ahead of their competitors.

That is the ultimate value of reading regulatory documents like a strategist. Not compliance. Not risk avoidance. Foresight.

We will return to this theme in Part Five, where Chapter Twenty-Two is devoted entirely to the question of how to navigate regulations that do not yet exist.

For now, it is enough to leave Part One with this: the mindset shift is complete. Regulation is not your enemy. It is your moat, your map, and, for those who learn to read it well enough, your competitive weapon.

Part Two gives you the terrain.



Part Two

The Terrain

Who Regulates What, Where, and Why

Part One gave you the mindset. Part Two gives you the map.

Before you can navigate the Nigerian regulatory landscape, before you can engage a regulator productively, structure a product compliantly, or identify the opportunity inside a regulatory document, you need to understand the terrain itself. Who are the institutions that govern your business? How did they come to occupy the positions they hold? How does a regulation actually move from a concern in an official's mind to a circular on your desk? And how does the Nigerian experience fit within the broader continental and global frameworks that are increasingly shaping local rules?

These are not academic questions. Every practical decision you make as a founder, which regulator to approach first, which compliance infrastructure to build, which markets to enter, which global standards to design for, depends on having accurate answers to them. The founders who get them wrong do not just waste time and money. They build on faulty assumptions, and the cracks eventually show.

Five chapters. Five dimensions of terrain. Read them in order, because each builds on the previous. By the end of Part Two, you will have a working map of the regulatory landscape that most Nigerian founders never acquire, and that most foreign founders never bother to build.

CHAPTER Five

How Regulation Actually Gets Made in Nigeria

“Understanding how the rules are written is more valuable than understanding what they say. The rules change. The process never does.”

— Chimezie Chuta

There is a version of Nigerian regulatory history that reads cleanly. A regulator identifies a problem. It drafts a framework. It consults the industry. It publishes the final rules. Businesses comply. The market is better for it.

This version is not entirely false. It is the formal architecture. What it omits is everything that actually determines the outcome: the informal conversations that happen before any document is drafted, the institutional rivalries that shape what gets included and what gets quietly removed, the political pressures that arrive late in the process and redirect frameworks that had been years in development, and the gap between what a policy says in its final published form and what it means in practice when the people who wrote it begin to implement it.

I have been inside enough of these processes, as a member of working groups at SEC Nigeria and NITDA, as a contributor to industry submissions, and as someone who picks up the phone to regulators on both sides of a policy announcement, to tell you what they actually look like. This chapter does that.

It is also, I should say upfront, the chapter that will give you the most durable competitive advantage of anything in this book. Products change. Markets shift. Regulatory requirements evolve. But the process by which those requirements are produced, and the ways in which that process can be influenced by founders who understand it, is remarkably stable.

The Five Stages of Regulatory Development in Nigeria

Before examining the informal dynamics that shape outcomes, it helps to understand the formal architecture. Regulatory frameworks in Nigeria move through five broadly consistent stages, each of which creates different opportunities for founder engagement.

Stage 1. Internal problem identification: A regulatory concern is identified within the institution, typically by technical staff in the relevant department, sometimes triggered by a specific market event (a platform collapse, an investor complaint, a FATF assessment finding), sometimes by a broader policy imperative from the supervising ministry. At this stage, the process is entirely internal and invisible to the market.

Stage 2. Internal framework development: The regulatory institution develops a draft framework through its own internal processes, committees, working group discussions, legal review, economic analysis. This stage can take months or years. The outputs range from detailed rule proposals to broad policy positions. Internal politics, between departments, between agencies, between the institution and its supervising ministry, begin to shape the document here.

Stage 3. Industry consultation: Before a framework is formally published for public comment, most Nigerian regulators seek informal input from selected industry practitioners, either through formal industry bodies, working groups, or direct bilateral conversations. This stage is the highest-leverage point for founders who want to influence the shape of a framework. The people invited into these conversations are typically those whom the regulator already trusts and has an established relationship with. Industry bodies, the Fintech Association of Nigeria (FintechNGR), BNUG, BICCON play a critical role as aggregators of industry voice.

Stage 4. Public exposure: The draft framework is published for public comment for a specified period, typically thirty to ninety days. This is the stage most founders are aware of, because it is the one that produces public announcements. It is also, in most cases, the stage at which the framework's fundamental architecture has already been determined. Substantive changes following public exposure are possible but require sustained, well-argued submissions from credible industry voices. Submissions that arrive at this stage without the relationship capital built in Stage 3 are significantly less likely to influence the outcome.

Stage 5. Internal vetting, political review, and finalisation: After public consultation closes, the framework returns to the regulator for internal processing. This is where the framework is most vulnerable to forces that have nothing to do with its technical merits. It passes through legal review, through senior management, through the institution's governing board, and, depending on the policy's significance and its intersection with other institutions' mandates, through inter-agency consultation and ministerial or presidential review. The final published document is the product of all of these filters.

The Stage That Matters Most

Stage 3: informal industry consultation, is where regulatory outcomes are most malleable and where founder engagement is most valuable. By Stage 4, the fundamental choices have been made. By Stage 5, the political pressures have arrived. The founders and industry bodies who shape Stage 3 conversations are the ones who shape the regulation that eventually governs their market. This is not a matter of lobbying or improper influence. It is the legitimate, expected role of the private sector in regulatory development, and it is how the world's most sophisticated regulatory ecosystems function.

The CBN Exception: Why the Naira Changes Everything

Every regulatory framework in Nigeria operates within a broader institutional context, and the most important institution in that context is one that most digital asset founders underestimate until they run into it.

The Central Bank of Nigeria is not simply one regulator among several. It occupies a structurally distinct position in the Nigerian regulatory architecture, and that position has profound implications for any digital asset framework that touches the naira, which, in practice, means almost all of them.

SEC Nigeria, NITDA, the NFIU, NAICOM, and the NDIC are all parastatals, government agencies operating under the supervision of their respective ministries. When a policy framework emerges from any of these institutions, it operates within the normal bureaucratic hierarchy: the agency reports to its minister, the minister operates within cabinet, and cabinet is accountable to the Presidency.

The CBN operates differently. It reports directly to the Presidency. Its Governor holds a status in Nigerian public life comparable to a cabinet minister. Its mandate, maintaining monetary and price stability, managing the naira, supervising the banking system, is constitutionally grounded in a way that makes it substantially independent of the normal ministerial hierarchy. When the CBN takes a position on a policy question, it does not need ministerial cover. It can act.

The day that any digital asset framework begins to intersect with how the naira moves, how it is priced, or how it is held by Nigerians, the CBN becomes a co-author of that framework, whether or not it has been formally consulted.

I experienced this directly during the development of Nigeria's digital asset regulatory framework. SEC Nigeria had done considerable technical work on the VASP licensing framework. The Digital Asset Rules of 2022 were the product of months of internal development and industry consultation. But the moment those rules touched anything involving naira on-ramps, naira off-ramps, naira-denominated stablecoin products, or the interface between virtual assets and the banking system, the CBN's position became decisive.

It was not that the CBN blocked everything. It is that the CBN's concerns, primarily about monetary sovereignty, illicit financial flows, and the integrity of the naira, had to be addressed before any framework could be finalised. And the CBN's concerns were not always communicated through formal channels. They arrived through the relationships between senior officials, through the informal consultations that happen between regulatory chiefs, and sometimes through the Presidency itself.

The practical lesson for founders is straightforward but frequently missed: if your product touches the naira, as an on-ramp, as a settlement currency, as the denomination for a stablecoin, or as the mechanism through which users access your platform, you are operating in CBN territory as well as SEC territory. A SEC licence alone does not give you a clear path to naira banking access. Understanding the CBN's concerns and addressing them in your product architecture is not optional. It is foundational.

Political Pressure at Stage 5

I want to address directly a dynamic that is rarely discussed openly but that every serious participant in Nigerian regulatory development understands: the role of political influence in the finalisation of regulatory frameworks.

By Stage 5 of the process I described above, a regulatory framework has typically been technically sound for some time. The lawyers have reviewed it. The economists have stress-tested it. The industry has commented on it. And then it sits.

Sometimes it sits because of institutional caution, a regulator waiting for the right moment, or a senior official who wants more time to study the implications. Sometimes it sits because of resource constraints, the institution does not have the capacity to process it quickly alongside its other obligations. And sometimes it sits because of something harder to name: the intersection of the framework with interests that are not fully in public view.

Digital asset regulation in Nigeria has experienced all three of these. The ISA 2025, which formally resolved the question of digital assets as securities and gave SEC Nigeria its unambiguous jurisdictional mandate, took years to pass, despite the technical framework having been largely in place for much of that time. The delays were not primarily technical. They were the product of the institutional and political complexity of legislation that touched the CBN's domain, that had implications for foreign exchange flows, and that required careful navigation of a legislative process with its own calendar and its own pressures.

The MLPPA 2022; critical for establishing the AML framework that VASPs needed, also required sustained political commitment to enact, partly because it imposed obligations on sectors (real estate, legal professionals, accountants) that had historically operated with significant regulatory light.

What This Means for Founders

Political processes are not predictable, but they are not random either. Founders who want to understand why a specific framework has been delayed, or what conditions would allow it to progress, benefit from understanding the political economy of the regulatory space they operate in: which institutions have competing interests, which ministries have intersecting jurisdiction, which political considerations are active at a given moment. This knowledge is not easily acquired from public sources. It comes from being present in the industry conversation, attending the conferences, participating in the industry bodies, building the relationships with regulators and policy officials that give you access to the informal intelligence that shapes your planning.

The Working Group Reality

Most Nigerian regulatory frameworks are developed in part through working groups: structured multi-stakeholder consultations convened by the regulator and populated by a mix of government officials, industry practitioners, legal experts, and civil society representatives. I have served on several of these, including at SEC Nigeria and under NITDA's blockchain policy development process.

The gap between how working groups are described in official communications and how they actually function is considerable.

In their best form, working groups are genuine collaborative development processes. Technical staff from the regulator bring institutional knowledge and policy objectives. Industry practitioners bring market intelligence and operational experience. The combination produces frameworks that are both technically rigorous and practically implementable; the kind of regulation that neither side would have produced alone.

In their less effective forms, working groups become parallel processes: the regulator's technical team develops the framework it intended to develop, the industry members generate reports that are noted and filed, and the published framework reflects the regulator's original thinking with modest modifications around the edges. The working group has provided procedural cover for a predetermined outcome rather than genuinely shaped it.

The founders who extract maximum value from working group participation are the ones who understand which kind of process they are in, and who calibrate their investment accordingly. A working group where the regulator's senior leadership is actively engaged, where technical staff are genuinely open to reconsidering their assumptions, and where industry input is being incorporated in real time into evolving drafts is worth significant investment of your time and attention. A working group where the agenda is set entirely by the regulator, where industry input is collected in writing and rarely discussed, and where the convening official is a junior secondee rather than a decision-maker, is a relationship-building opportunity, valuable, but not a policy-shaping one.

The Phone Call You Should Have Made

There is one more dimension of how regulation gets made in Nigeria that I want to describe, because it is the dimension that is most completely absent from any formal description of the process and most completely present in the experience of practitioners who navigate it effectively.

Regulatory outcomes in Nigeria are shaped significantly by personal relationships between senior industry practitioners and senior regulatory officials. Not corrupt relationships. Not transactional ones. Professional relationships, built over years of engagement at conferences, working groups, industry consultations, and the countless informal conversations that constitute the lifeblood of any ecosystem.

When the CBN issued its circular in February 2021, the one that directed all banks and financial institutions to identify persons and entities transacting in virtual assets and close their accounts. The announcement arrived without warning to the market. The reaction was shock and confusion. Exchanges scrambled. Users panicked. Social media filled with speculation about what the circular actually meant.

I made a phone call that evening to Musa Itopa, who at the time was the CBN official who had signed the circular and who today serves as the Director of Payment Systems. Musa had been the keynote speaker at the first National Blockchain and Cryptocurrency Conference I ever convened, in 2017. We had maintained a professional relationship and a genuine mutual respect ever since.

His response to my question about what the circular was actually trying to achieve was direct and unvarnished. He said, in essence: “You crypto people are making nonsense of our policies with your huge untraceable transactions.”

That single sentence told me more about the CBN's actual position than the circular itself, any press release, or any analysis published in the weeks that followed. It told me that this was not a philosophical opposition to digital assets.

It was a specific, operational frustration about the inability to supervise transaction flows. It was solvable.

The path from that frustration to a workable regulatory relationship, the one that eventually produced the ARIP framework and the CBN's subsequent relaxation of banking restrictions for licensed VASPs, ran directly through addressing the concern that Musa had named. Not through lobbying. Not through legal argument. Through building the compliance infrastructure and the institutional relationships that made the digital asset industry legible to regulators who had found it opaque.

The phone call is not a luxury. It is the mechanism through which the informal intelligence that shapes regulatory outcomes is transmitted between the public and private sectors. The founders who have those relationships are the ones who see regulatory changes coming before they arrive. The ones who do not are the ones who read about them in the press and scramble to respond.

Building those relationships takes time. It cannot be done in a crisis. Part Four of this book is devoted to how to build them constructively, and how to engage regulators proactively before you receive the letter that makes the relationship feel adversarial.



CHAPTER Six

The Regulator Map: CBN, SEC Nigeria, NITDA, NFIU, EFCC, NAICOM & Beyond

“Knowing which regulator to call is half the battle. Calling the wrong one is how regulatory crises become regulatory disasters.”

— Chimezie Chuta

One of the most reliable indicators of a founder’s regulatory sophistication is how they describe who regulates their business. Unsophisticated founders name one regulator, usually SEC Nigeria or the CBN, depending on which they have most recently encountered. Moderately sophisticated founders name two. The most sophisticated founders understand that most digital asset businesses in Nigeria are operating at the intersection of at least three regulatory mandates, and that the spaces where those mandates overlap, or conflict, are precisely where the most consequential compliance decisions must be made.

This chapter maps the regulatory landscape your business operates within. Not as an organisational chart, but as a practical guide to who cares about what, why they care about it, and what that means for you.

A Note on Institutional Architecture

With one significant exception, Nigeria’s regulatory agencies operate as parastatals, government-owned entities with their own governing boards, budgets, and technical staff, but ultimately accountable to supervising ministries and through those ministries to the executive branch of government. This architecture has implications for how quickly agencies can act, how much independence their decisions reflect, and how they respond to political direction.

The exception is the Central Bank of Nigeria, which operates under a framework of statutory independence. Its mandate and governance are set out in the CBN Act, it has its own revenue from open market operations, and its Governor has direct access to the

Presidency in a way that no other regulator does. This independence is significant in practice: the CBN can move faster, speak more directly, and apply more force than any other regulatory institution in the Nigerian financial system.

Understanding this architecture, who is a parastatal, who reports to which ministry, who has statutory independence, is not bureaucratic trivia. It determines the speed at which regulatory frameworks develop, the political conditions under which they change, and the channels through which founder engagement can be most effective.

CBN

Central Bank of Nigeria

Ministry / Oversight: Directly under the Presidency of the Federal Republic of Nigeria

Core mandate: Monetary policy, financial system stability, regulation and supervision of banks and payment systems, management of the naira and foreign exchange.

Digital assets role: Regulates the naira dimension of any digital asset product, on-ramps, off-ramps, naira-denominated stablecoins, payment rails connecting digital assets to the banking system. Oversees the eNaira (Nigeria's CBDC). Issues guidance on whether banks can service digital asset businesses.

Founder watch-out: Any product that moves naira to or from a digital asset ecosystem requires CBN engagement, regardless of SEC Nigeria's position. The CBN's concern is monetary sovereignty, financial stability, and AML. A SEC licence does not give you banking access, that requires demonstrating to the CBN's satisfaction that your product manages its concerns.

SEC Nigeria

Securities and Exchange
Commission Nigeria

Ministry / Oversight: Federal Ministry of Finance / Budget and National Planning

Core mandate: Regulation and development of the Nigerian capital market, investor protection, market integrity.

Digital assets role: Primary regulator for digital assets as securities under ISA 2025. Issues VASP licences (DAX, DAOP, DAC, DAI) through the ARIP programme. Oversees token offerings, digital asset exchanges, custodians, and intermediaries. Publishes the Digital Asset Rules that define the licensing framework.

Founder watch-out: If your product involves the issuance, offering, trading, or custody of digital assets for Nigerian investors, you almost certainly need SEC Nigeria registration. Do not rely on the 'utility token' label to avoid this. SEC Nigeria assesses function, not nomenclature. The ARIP process is the starting point for any VASP seeking to operate legally.

NITDA

National Information
Technology Development
Agency

Ministry / Oversight: Federal Ministry of Communications, Innovation and Digital Economy

Core mandate: IT policy, standards, infrastructure development, and regulation of IT practices across the Nigerian economy.

Digital assets role: Developed and oversees Nigeria's National Blockchain Policy (2023). Issues data protection guidance under the Nigeria Data Protection Regulation (NDPR). Relevant to blockchain-based products involving personal data.

Founder watch-out: Your blockchain product's interaction with Nigerian users' personal data is subject to NITDA's NDPR framework. If you are building identity solutions, blockchain-based KYC, or data-intensive applications, NITDA is your regulator as well as

SEC and the CBN. NITDA is also your best entry point into the policy dialogue around blockchain adoption. Its working groups are more technically open than the CBN's.

NFIU

Nigerian Financial
Intelligence Unit

Ministry / Oversight: Office of the National Security Adviser / operationally independent

Core mandate: Receiving, analysing, and disseminating financial intelligence; coordinating Nigeria's AML/CFT framework; overseeing suspicious transaction reporting.

Digital assets role: Every VASP operating in Nigeria must register with the NFIU and file Suspicious Transaction Reports (STRs) and Currency Transaction Reports (CTRs). The NFIU issues AML/CFT compliance guidelines specifically for VASPs and oversees the implementation of Nigeria's FATF obligations.

Founder watch-out: The NFIU is not optional. It is a separate registration and compliance obligation from your SEC licence. Many founders discover this late, and the NFIU's enforcement posture has hardened significantly since Nigeria's 2023 grey listing. Build your STR and CTR filing infrastructure before you need it.

EFCC

Economic and Financial
Crimes Commission

Ministry / Oversight: Office of the Attorney General of the Federation / Ministry of Justice

Core mandate: Investigation and prosecution of economic and financial crimes, including money laundering, advance fee fraud, and cybercrime.

Digital assets role: The EFCC investigates and prosecutes criminal offences involving digital assets — including platforms used to facilitate fraud, money laundering, or unlicensed securities offerings. It has broad investigative powers including account freezing, asset seizure, and device confiscation.

Founder watch-out: The EFCC is not a licensing authority and is not part of your day-to-day compliance landscape, until something goes wrong. Operating an unlicensed VASP, facilitating transactions that are later found to involve illicit funds, or failing to respond adequately to an NFIU referral can bring the EFCC to your door. AML compliance is your best protection. You will need SCUML (Special Control Unit Against Money Laundering) from EFCC. The registration is mandatory for Designated Non-Financial Businesses and Professions (DNFBPs) in Nigeria to comply with anti-money laundering laws. It is essential for businesses handling high-value cash transactions, including real estate, law firms, VASPs, car dealers, luxury goods dealers, and hotels, to operate legally and maintain bank accounts.

NAICOM

National Insurance
Commission

Ministry / Oversight: Federal Ministry of Finance

Core mandate: Regulation and supervision of the Nigerian insurance industry.

Digital assets role: Relevant to digital asset businesses that operate insurance-adjacent products, require fidelity bonds (as VASP licensing does), or are building parametric insurance products on blockchain. NAICOM has participated in fintech roadmap consultations relevant to digital products in the insurance space.

Founder watch-out: Most digital asset founders will not have a primary regulatory relationship with NAICOM. However, if your product involves any form of risk transfer, investment guarantee, or insurance mechanism, including the fidelity bond required by SEC Nigeria for VASP registration, understanding NAICOM's regulatory position is necessary.

NDIC

Nigeria Deposit Insurance
Corporation

Ministry / Oversight: Federal Ministry of Finance

Core mandate: Deposit insurance for bank depositors; orderly resolution of failed financial institutions.

	Digital assets role: The NDIC's relevance to digital asset businesses is indirect but growing: as the CBN begins to allow licensed banks to offer digital asset custody and settlement services, the question of whether digital asset deposits are covered by the NDIC's deposit insurance scheme becomes consequential for consumer protection frameworks. Founder watch-out: Monitor NDIC guidance if your product involves any form of deposit-taking or fiat custody in conjunction with digital asset services. The boundaries here are still being drawn.
NCC Nigerian Communications Commission	Ministry / Oversight: Federal Ministry of Communications, Innovation and Digital Economy Core mandate: Regulation of telecommunications infrastructure and services. Digital assets role: Relevant to digital asset businesses that rely on USSD, SMS, or mobile network infrastructure, common in financial inclusion products serving unbanked users. The NCC's licensing framework applies to any platform that constitutes a 'value added service' on mobile networks. Founder watch-out: If your digital asset product is delivered through mobile network infrastructure, USSD codes, SMS-based wallets, SIM-linked accounts, you may require NCC engagement in addition to your SEC and CBN obligations. Fintech products serving the mass market frequently operate in the intersection of NCC and CBN jurisdiction.
CAC Corporate Affairs Commission	Ministry / Oversight: Federal Ministry of Industry, Trade and Investment Core mandate: Registration of companies, business names, and incorporated trustees. Digital assets role: Every VASP seeking SEC Nigeria registration must first be incorporated at the CAC. The CAC also maintains the Beneficial Ownership Register, a key component of Nigeria's FATF compliance reforms. Founder watch-out: CAC registration is the administrative prerequisite for everything else. Ensure your corporate structure, share capital, shareholders, directors, is correctly constituted for the regulatory landscape you are entering. SEC Nigeria's requirements for local incorporation, Nigerian CEO residency, and board composition must be reflected in your CAC registration.

The Overlap Problem — and How to Navigate It

The most challenging regulatory situations founders face are not the ones where a single regulator has clear jurisdiction. They are the ones where multiple regulators have overlapping or conflicting jurisdiction over the same product.

A stablecoin payment product in Nigeria is the clearest example. The stablecoin itself is a digital asset under ISA 2025, SEC Nigeria's territory. The naira conversion mechanism is a payment system, CBN's territory. If the stablecoin is denominated in naira, it may implicate monetary policy, CBN's territory again. If the platform processes transactions above the NFIU's reporting thresholds, it must file CTRs, NFIU's territory. If it uses

mobile network infrastructure for delivery, it may require NCC engagement. A single product, potentially five regulatory conversations.

The Multi-Regulator Strategy

When your product sits at the intersection of multiple regulatory mandates, the instinct is often to identify the 'primary' regulator and focus there. This is usually wrong. Each regulator has its own concerns, its own information, and its own timeline. The SEC may grant you a licence while the CBN is still unresolved on the naira question, leaving you with authorisation to operate a platform you cannot connect to the banking system. The correct approach is to map all regulatory touchpoints at the product design stage, engage all relevant regulators early, and sequence your formal applications in the order that builds on each preceding approval rather than leaving gaps.

There is no formal inter-agency coordination mechanism that reliably resolves jurisdictional overlaps for digital asset businesses in Nigeria. The CBN and SEC Nigeria consult each other on major frameworks, but at the level of an individual business's licence application, the founder must do the coordination work. This means understanding each regulator's specific concerns well enough to address them proactively, rather than waiting for them to surface as objections.

Chapter Sixteen provides a detailed framework for managing multi-regulator engagement. For now, the principle is simple: know your regulators before they know you.



CHAPTER Seven

Nigeria's Digital Asset Regulatory Journey: A Timeline With Lessons

"History does not repeat itself in regulatory markets. But it rhymes so consistently that the founder who knows it rarely gets surprised."

— Chimezie Chuta

Nigeria's relationship with digital assets spans nearly a decade of policy ambiguity, institutional conflict, regulatory innovation, and eventual, if cautious, framework-building. It is a story that has been told in fragments: a headline about a ban here, a press release about a new framework there, occasional academic analyses that capture the formal chronology but miss the institutional dynamics underneath it.

This chapter tells the full story, with the lessons that the public record does not contain.

I should note my own position in this narrative. I have been a participant in Nigeria's blockchain ecosystem since its earliest organised days. I convened Nigeria's first national blockchain conference in 2017. I have served on the SEC Nigeria blockchain working group and on NITDA's policy steering committee. I was in many of the rooms where the decisions described in this chapter were made, or I was on the phone with the people who were. The account that follows is as accurate as I can make it, and more complete than any public source can provide.

The Timeline

2014–2016

The pre-regulatory era: Bitcoin arrives in Nigeria without a framework to receive it.

Lesson: The absence of regulation is not the same as prohibition. Nigeria's first crypto users, largely tech-savvy Lagos professionals, MMM Ponzi scheme "investors", and diaspora returnees, operated in a genuine regulatory vacuum that was simultaneously risky and productive. The community that formed during this period became the foundation for the ecosystem that followed.

2017**Nigeria's first National Blockchain Conference; CBN issues its first cautionary statement on virtual currencies.**

Lesson: The CBN's 2017 statement was not a prohibition, it was an advisory, warning members of the public about the risks of virtual currencies. The industry read it, noted it, and continued building. The more important development was the ecosystem formation: conferences, user groups, developer communities, and the beginning of organised industry dialogue.

2018–2019**SEC Nigeria begins internal exploration; the ecosystem grows despite CBN caution; P2P volumes increase.**

Lesson: SEC Nigeria's internal technical work on digital asset classification began during this period, largely invisible to the market. Meanwhile, the industry grew substantially, with P2P trading volumes expanding as Nigerians found practical utility in crypto for cross-border transactions, inflation hedging, and remittances. The gap between the regulator's internal timeline and the market's operational reality began to widen.

2020**SEC Nigeria issues a statement on digital assets, classifying them as securities and asserting regulatory oversight.**

Lesson: This was the first formal assertion of Nigerian regulatory jurisdiction over digital assets. It was technically significant. It established the framework that would eventually become the ARIP, but practically limited, as the banking system was still accessible to crypto businesses and the formal licensing pathway did not yet exist.

February 2021**CBN Circular directing banks to close accounts of crypto businesses and individuals. The market calls it a 'ban'. It was not.**

Lesson: The 2021 CBN circular is the most misunderstood regulatory action in Nigerian crypto history. It did not prohibit Nigerians from owning, buying, or selling cryptocurrency. It prohibited banks and financial institutions from servicing the accounts of cryptocurrency businesses and individuals identified as transacting in virtual assets. The distinction matters enormously. The same week the circular was issued, I called the CBN official who had signed it. His words were direct: 'You crypto people are making nonsense of our policies with your huge untraceable transactions.' That sentence reveals the actual concern: operational invisibility. The CBN was not philosophically opposed to digital assets. It was operationally frustrated by its inability to supervise transaction flows that were, from its perspective, creating channels for unmonitored financial activity. The solution was not prohibition — it was making the industry legible. That lesson took two more years to become policy.

2021–2022
2

The grey zone: the industry becomes invisible to regulators; P2P volumes explode; FintechNGR becomes the bridge.

Lesson: The eighteen months following the CBN circular produced one of the most instructive episodes in Nigerian fintech history. With banking access cut off, Nigerian crypto users did not stop transacting. They moved to P2P platforms. Binance P2P, Paxful, Remitano, and local alternatives saw Nigerian volumes surge. Estimates placed Nigeria among the top five P2P markets globally during this period. The irony was not lost on anyone paying attention: the CBN's attempt to reduce untraceable transactions had produced an explosion of them. For the industry, the immediate task was survival. The Fintech Association of Nigeria (FintechNGR), which had existing credibility and regulatory relationships with both the CBN and SEC, became the primary vehicle for industry engagement with the regulatory establishment. The BNUG and the broader blockchain ecosystem, having no formal regulatory recognition, were in a difficult position: we were, in the CBN's institutional view, essentially invisible. We were not under any framework they recognised. We were not in any conversation they were having. FintechNGR built presentations that directly addressed the CBN's stated concerns, money laundering, illicit financial flows, terrorism financing, and used those presentations to begin restoring the dialogue that the circular had effectively severed.

May 2022

SEC Nigeria issues its Digital Asset Rules, including the ARIP framework. The first formal licensing pathway is created.

Lesson: The 2022 Digital Asset Rules were a watershed. For the first time, Nigeria had a documented pathway through which digital asset businesses could achieve formal regulatory recognition. The ARIP framework acknowledged the reality that an industry was already operating and created a mechanism for bringing it within the supervisory perimeter rather than simply prohibiting it. The industry response was cautious: many businesses were reluctant to engage with a licensing process whose outcome was uncertain and whose cost was substantial. The founders who did engage early gained an advantage they are still holding.

February
2023

Nigeria placed on the FATF grey list. The industry pays a price it largely did not create.

Lesson: Nigeria's placement on the FATF grey list in February 2023 was the product of a system-wide AML/CFT failure, deficiencies in oversight across the banking system, real estate sector, legal profession, and a range of other industries that had nothing to do with digital assets. But crypto became a visible part of the narrative, partly because of the P2P trading explosion that the 2021 CBN circular had unintentionally produced. The grey listing imposed real costs: enhanced due diligence requirements from international banks, increased scrutiny of Nigerian transactions, a measurable decrease in foreign direct investment. For the digital asset industry, it accelerated the urgency of the regulatory normalisation process, the CBN's relaxation and the ARIP licences were partly driven by the recognition that a structured, supervised industry was the answer to the untraceable transaction problem that had triggered the 2021 circular.

2023–2024**CBN relaxes banking restrictions for SEC-licensed VASPs; ARIP framework operationalises; first provisional licences issued.**

Lesson: The policy turn was gradual but consequential. The CBN's decision to allow banks to service SEC-licensed VASPs was the regulatory unlock that the industry had been waiting for since 2021. The first ARIP-stage approvals, to Quidax, Busha, and cNGN Stablecoin project, demonstrated that the licensing process was real and achievable. Amended Digital Asset Rules in 2024 tightened requirements and extended the framework's scope, particularly to foreign VASPs targeting Nigerian users.

2025**ISA 2025 enacted — digital assets formally classified as securities. Nigeria exits FATF grey list in October.**

Lesson: The enactment of ISA 2025 resolved the last major ambiguity in the Nigerian digital asset regulatory framework. Digital assets are securities. SEC Nigeria is the apex regulator. The framework that had been built incrementally since 2020 now had its constitutional foundation. The FATF grey list exit in October 2025, after Nigeria implemented all 19 action items in its reform plan, marked the beginning of a new chapter: a country with a functioning digital asset regulatory framework, a credible AML/CFT system, and the institutional infrastructure to attract serious international capital.

The Four Lessons That Run Through the Timeline

The decade of regulatory development summarised above contains four lessons that every founder building in this market needs to internalise.

Lesson One: Regulatory silence is not regulatory approval. The founders who built most confidently in the 2018-2020 period did so in the belief that the absence of formal regulation meant the freedom to operate without it. That belief was occasionally punished, by the 2021 circular, which arrived without warning and had immediate practical consequences. The regulators were always watching. The absence of a framework was never a signal that one was not coming.

Lesson Two: The stated reason for a regulatory action is rarely the complete reason.

The CBN's 2021 circular was not, at its core, about blockchain or cryptocurrency. It was about operational visibility, the inability of the banking system's AML machinery to see and assess the transaction flows associated with digital asset trading. Understanding the real concern, rather than the formal rationale, is what allows founders to address it

effectively. The industry's response to the circular would have been more productive, faster, if more founders had made the same kind of direct conversation I had with the CBN official that evening, and responded to the real concern rather than the stated one.

Lesson Three: P2P trading is not the wild west your regulator fears. But you need to prove it.

The P2P explosion of 2021-2023 was, paradoxically, one of the most important demonstrations of the inadequacy of prohibition as a regulatory strategy. Millions of Nigerians continued to access digital assets through channels that were more opaque, less supervised, and more susceptible to abuse than the regulated exchange environment that the 2021 circular had effectively closed. The lesson for regulators; that bringing the industry into a framework produces better outcomes than pushing it underground, was eventually learned. The lesson for founders is that compliance infrastructure is not a cost. It is the argument you make to regulators who are on the fence about whether your industry should be tolerated or embraced.

Lesson Four: Grey listing is a system-wide verdict, not a sector-specific one.

Nigeria's 2023 grey listing is frequently discussed in the digital asset press as though it were primarily a response to crypto-related AML failures. It was not. *The digital asset sector was one dimension of a broader finding* about the adequacy of Nigeria's AML/CFT framework across all high-risk sectors. The real estate industry's exposure to illicit funds, the banking system's gaps in beneficial ownership verification, and the legal profession's historical exemption from AML obligations all contributed to the FATF's assessment. Founders who understand this are better positioned to argue, correctly, that a well-supervised, licensed digital asset industry is part of the solution to Nigeria's AML challenges, not a contributor to them. That argument has been made, and it has been heard.



CHAPTER Eight

Beyond Nigeria: Ghana, Kenya, and the Pan-African Patchwork

“Building across Africa is not one regulatory conversation. It is five or six, happening simultaneously, in different languages, at different speeds, with different outcomes.”

— Chimezie Chuta

Nigerian founders who build successfully at home and then turn their attention to the continent often make a version of the same mistake. They bring the confidence earned in the Nigerian market, the hardest, most complex, most competitive digital finance market in Africa, and they apply it to new jurisdictions with the assumption that what got them here will get them there.

Sometimes it does. More often, it does not, and the gap between their assumption and the reality of each new regulatory environment costs them months of misdirected effort, poorly structured products, and regulatory relationships that start from the wrong place.

This chapter is about preventing that.

Its scope is selective, not comprehensive: Ghana, Kenya, and Mauritius receive the most detailed treatment because they are the markets where Nigerian founders most frequently encounter unexpected regulatory complexity. South Africa is addressed because its licensing framework is the most operationally advanced on the continent and provides both a benchmark and a cautionary tale. The Pan-African dimension, AfCFTA, PAPSS, and the question of regulatory convergence closes the chapter, because these frameworks will reshape every individual jurisdiction’s approach over the next decade.

The Competence Trap

The first thing to understand about pan-African digital asset expansion is what I call the competence trap.

Nigeria's regulatory environment is genuinely among the most demanding in Africa. Its capital requirements are high. Its licensing process is rigorous. Its multi-regulator landscape is complex. Its political dynamics are intricate. A founder who has successfully navigated all of this has developed real competence in understanding institutional logic, in building regulatory relationships, in designing products for complex compliance environments.

That competence is genuinely transferable at the level of principle. The skill of reading a regulatory document strategically, the practice of engaging regulators proactively, the discipline of building compliance-first products, these work everywhere.

What is not transferable is the specific knowledge. The CBN's relationship to the Presidency has no direct equivalent in Kenya or Ghana. The ARIP framework is specific to SEC Nigeria. The informal channels through which regulatory intelligence flows in Lagos are different from those in Nairobi or Accra. The institutional culture at the Bank of Ghana is different from the institutional culture at the CBN, in ways that are invisible until you are in a meeting and suddenly wish someone had told you.

The most expensive assumption a Nigerian founder can make in a new African market is: 'I know how this works.' What you know is how Nigeria works. That is a foundation, not a map.

Ghana



Ghana's digital asset regulatory journey has been characterised by a cautious but ultimately decisive progression. For years, the Bank of Ghana issued warnings about cryptocurrency risks while the Securities and Exchange Commission Ghana asserted

oversight over token offerings, creating a dual-regulator dynamic that predates Nigeria's own multi-agency complexity.

The watershed moment came in December 2025, when Ghana's Parliament passed the Virtual Asset Service Providers Act (Act 1154), which President Mahama assented to on 30 December 2025. The Act establishes the Bank of Ghana as the primary licensing authority for VASPs, creates a newly established Virtual Assets Regulatory Office within the Bank of Ghana, and mandates comprehensive licensing for exchanges, custodians, wallet providers, and payment platforms. Virtual assets such as Bitcoin and Ethereum are now legal for trading in Ghana, they are not legal tender, but they have legitimate commercial standing.

Ghana's VASP Act reflects lessons drawn explicitly from the regulatory experiences of Nigeria and Kenya, its AML/CFT requirements are robust, its consumer protection provisions are detailed, and its transition provisions are structured to avoid the abrupt market disruption that Nigeria's 2021 CBN circular produced.

Three things a Nigerian founder must know about Ghana:

- **The Bank of Ghana is the primary VASP regulator, not a securities commission. Its institutional culture, priorities, and regulatory logic are more closely related to central banking than to capital markets oversight. Your SEC Nigeria experience is partially relevant, but the framing of your engagement should be adjusted accordingly, you are talking to a monetary authority, not a securities regulator.** The regulator is different.
- **Ghana's P2P crypto market has historically been active and informal, with significant cross-border flows connecting Accra to Lagos. The regulatory formalisation will reshape this market in ways that create both opportunities (first-mover advantage for licensed operators) and risks (compliance costs that the informal market has never borne).** The market structure is different.
- **The personal relationships you have built with Nigerian regulators and industry figures have no direct value in Accra. You will need to build equivalent relationships from scratch, which means engagement with the Bank of Ghana, the SEC Ghana, the Financial Intelligence Centre Ghana, and the industry associations that have credibility in the Ghanaian market.** The relationship capital does not transfer.

Kenya



Kenya is the African jurisdiction that most frequently surprises Nigerian founders, and almost always in the same direction: they arrive expecting a simpler, less developed regulatory environment, and they find something more mature in some dimensions than what they left behind.

Kenya's VASP Act came into force in October 2025, following presidential assent and establishing a dual-regulator model: the Central Bank of Kenya assumes oversight of wallet providers, payment processors, and stablecoin issuers, while the Capital Markets Authority oversees exchanges, investment advisers, and tokenisation platforms. The Act was partly driven by an IMF technical assistance report that had identified Kenya's regulatory gap as an AML risk, and by Kenya's own FATF grey list concerns.

What the Act formalised was an ecosystem that had already been developing with considerable sophistication. Kenya's M-Pesa infrastructure, the world's most successful mobile money platform, had created a digital finance culture and a regulatory muscle memory that most African markets lack. The Capital Markets Authority had been operating a regulatory sandbox since before most Nigerian equivalents existed. The local developer community is large, technically capable, and internationally connected.

Three things a Nigerian founder must know about Kenya:

- **This surprises Nigerian founders consistently. The CMA's sandbox experience, the sophistication of Kenya's mobile money infrastructure, and the maturity of the local developer ecosystem mean that in specific areas, particularly mobile-first financial products and regulatory sandbox design, Kenya's experience is a model for Nigeria, not the other way around. Approach the Kenyan market with curiosity, not superiority.** Kenya may be ahead of Nigeria in some dimensions.
- **Stablecoin products, payment-adjacent wallets, and exchange-linked products may require engagement with both the Central Bank of Kenya and the Capital Markets Authority. This is conceptually familiar to a founder who has navigated the CBN-SEC Nigeria relationship, but the specific institutional cultures and the informal dynamics between the two Kenyan regulators are different. Map this before you build.** The dual-regulator structure creates the same complexity as Nigeria's.

- **M-Pesa dominance means that the baseline financial infrastructure your Nigerian product competes against in Kenya is more sophisticated than what your Nigerian users were accustomed to. Products that win in Nigeria by being better than nothing will not automatically win in Kenya, where the incumbent is genuinely good.** Kenya's market is genuinely different from Nigeria's.

Mauritius



Mauritius is the outlier in this chapter, it is not a large consumer market in the way that Nigeria, Ghana, or Kenya are. Its significance is structural: it is the most internationally credible digital asset regulatory jurisdiction on the African continent, and it is increasingly used as a regulatory base by African founders seeking international capital and partnerships.

The Financial Services Commission (FSC) Mauritius administers the Virtual Asset and Initial Token Offering Services (VAITOS) Act 2021, one of the earliest comprehensive digital asset frameworks in the world, enacted at a time when most African countries were still issuing warning statements. The FSC issues VASP licences across multiple categories including broker-dealer, custodian, wallet provider, and marketplace. Its AML/CFT requirements are robust and internationally oriented. In 2025, the FSC issued additional guidance on stablecoins and is developing a comprehensive stablecoin regulatory framework.

The Mauritius Strategy

An increasing number of African founders incorporate their holding companies or regional operating entities in Mauritius to access its regulatory credibility and its double-taxation treaty network, while building their actual market operations in Nigeria, Ghana, or Kenya. This is a legitimate and increasingly common approach. It requires understanding both the Mauritius regulatory requirements for FSC-licensed entities and the local regulatory requirements in each market where you operate. The FSC licence does not substitute for local VASP authorisation in Nigeria or Kenya — it complements it.

South Africa: The Benchmark

SOUTH AFRICA

South Africa is not a market most Nigerian founders target first. Its distance, currency, and market structure make it a later priority than West African neighbours. But its regulatory framework is the most operationally advanced on the continent and provides the clearest indication of where all African frameworks are heading.

The FSCA's CASP licensing regime, which began accepting applications in June 2023 and required all operating entities to apply by November 2023, produced a striking market-structuring effect: of the many platforms that had been operating in the South African market, a significant proportion did not complete the authorisation process. The survivors emerged in a structurally stronger competitive position, with institutional client access, banking relationships, and regulatory credibility that the unlicensed operators simply could not match.

The lesson South Africa teaches is one that Nigeria's framework is now beginning to replicate: when a credible licensing regime arrives with a hard deadline, markets contract and then reconsolidate around the licensed operators. The question for Nigerian founders is not whether this will happen here. It is whether you will be among the operators who survive the contraction.

The Pan-African Dimension

Beneath the jurisdiction-by-jurisdiction differences described above, a more structural force is at work that will reshape all of them over the next decade.

AfCFTA — the African Continental Free Trade Area, is the largest free trade agreement in the world by number of participating countries. Its digital trade protocols, still under negotiation, will establish common frameworks for cross-border digital payments, data flows, and potentially digital asset services that cut across the individual regulatory architectures of all 54 member states.

PAPSS — the Pan-African Payment and Settlement System, developed by Afreximbank and the African Union, is already operational in a growing number of African markets and is designed to eliminate the need for African cross-border payments to be routed through correspondent banks outside the continent. As PAPSS matures, it will create new infrastructure on which digital asset businesses can build cross-border products, and new regulatory questions about how those products interact with national monetary frameworks.

The direction is convergence. Not immediately, and not uniformly, individual jurisdictions will continue to develop their own frameworks at their own pace, with their own emphases and their own political pressures. But the trajectory is toward a more interconnected, more mutually recognising pan-African regulatory architecture in which a licence in one jurisdiction carries at least some weight in others.

Building for Convergence

The founders who will benefit most from AfCFTA digital trade convergence are the ones who are building products and compliance infrastructure that are designed for multiple jurisdictions from the outset. This does not mean building for every jurisdiction simultaneously. It means making architecture choices, on identity, on transaction data, on AML controls, that do not need to be rebuilt for every new market. A KYC system designed to accommodate multiple African identity document formats. A transaction monitoring system that can be configured for different jurisdictional risk thresholds. A reporting infrastructure that can generate filings in multiple formats. These design choices are not expensive to make early. They are very expensive to retrofit late.



CHAPTER Nine

Global Standards and What They Mean for You: FATF, BIS, IMF, MiCA

“The rules that govern your business in Lagos were written, in part, in Paris, Basel, Washington, and Brussels. Understanding them is not optional, it is competitive intelligence.”

— Chimezie Chuta

One of the most disorienting realities of operating a digital asset business in Nigeria is that some of your most consequential regulators are organisations you have never heard of, headquartered in cities you may never visit, making decisions in processes you are never invited to observe.

The Financial Action Task Force meets in Paris. The Bank for International Settlements is in Basel. The International Monetary Fund is in Washington. The European Parliament is in Brussels. None of these institutions has jurisdiction over your business in the traditional sense. None of them can issue you a licence, freeze your account, or prosecute you for non-compliance.

What they can do, and do, with remarkable consistency, is set the standards that your Nigerian regulators will adopt, under international pressure, within a timeframe you should be able to predict. Understanding these bodies is not a cosmopolitan affectation. It is a form of regulatory forecasting that gives you advance notice of what your domestic regulators will require, often two to three years before the local circular arrives.

This chapter introduces the four most consequential global standard-setters for Nigerian digital asset founders, explains what each actually requires, and, critically, explains how to translate their outputs into practical intelligence for your business.

FATF: The Body That Greylistings Are Made Of

The Financial Action Task Force is the most consequential international body for Nigerian digital asset founders, because it is the one with the most direct and demonstrated influence on Nigerian regulatory behaviour.

FATF was established in 1989 to develop standards for combating money laundering. In 2019, it updated its foundational Recommendation 15 to extend AML/CFT obligations to virtual assets and virtual asset service providers, a decision that reverberated through regulatory frameworks worldwide. Every VASP licensing framework in Africa, including Nigeria's, Kenya's, Ghana's, South Africa's, and Mauritius's, is directly derived from FATF's standards.

FATF operates through a system of forty Recommendations, the global standards for AML/CFT compliance, and a mutual evaluation process in which member countries and associated regional bodies (like GIABA for West Africa) assess each other's compliance with those standards. A poor mutual evaluation result can lead to enhanced monitoring (the grey list) or, in the most serious cases, a call for counter-measures (the black list). Both carry real economic consequences: international banks apply enhanced due diligence to institutions in grey-listed countries, increasing transaction costs and reducing correspondent banking access.

Nigeria's experience with the FATF grey list is described in Chapter Seven. The critical point here is forward-looking: Nigeria was removed from the grey list in October 2025 after implementing all nineteen action items in its reform plan, achieving compliance or near-compliance with thirty-seven of FATF's forty Recommendations. That achievement was earned through painful, expensive, multi-year institutional reform across the entire financial system.

Nigeria's grey list exit is not an end point. FATF conducts ongoing monitoring of all jurisdictions. The compliance infrastructure built during the reform process must now be maintained and extended. The standards themselves continue to evolve. The 2025 FATF Targeted Update on Virtual Assets

identified the rising criminal use of stablecoins as a major emerging risk, a development that will shape regulatory guidance on stablecoins globally, including in Nigeria.

FATF's Travel Rule is the specific FATF requirement that most directly affects VASP operations. It requires that when a VASP transfers digital assets on behalf of a customer, it must collect, verify, and transmit specified information about the originator and beneficiary of that transfer to the counterparty VASP, effectively applying wire transfer transparency standards to virtual asset transactions.

As of 2026, Nigeria has not yet fully operationalised Travel Rule compliance for VASPs. But the direction is clear: it is coming, and the VASPs that build Travel Rule-compatible infrastructure before it is mandated will have a compliance advantage over those that must scramble to retrofit it.

What FATF Means for You — Practically

Monitor FATF's annual Targeted Update on Virtual Assets. It is published each June and identifies the emerging risks that regulators worldwide will be focusing on in the following twelve to eighteen months. The 2024 update flagged DeFi and unhosted wallet risks. The 2025 update flagged stablecoin misuse. These flags become Nigerian regulatory priorities within one to three years. The founder who builds stablecoin AML infrastructure in 2026 because they read the 2025 FATF update is two years ahead of the founder who waits for the CBN circular.

BIS: The Central Bankers' Bank

The Bank for International Settlements is the international organisation that serves as a hub for cooperation among the world's central banks. It does not regulate businesses directly. What it does is produce research, guidance, and policy frameworks that central banks worldwide, including the CBN, use to inform their own positions.

BIS's relevance to Nigerian digital asset founders operates through two specific channels.

First: its work on stablecoins and CBDCs directly shapes how the CBN thinks about these products. BIS has published extensive research on the risks of global stablecoins to monetary sovereignty, the concern that the widespread adoption of dollar-denominated

private stablecoins could effectively dollarise developing economies and compromise central banks' ability to conduct monetary policy. This is the intellectual foundation of the CBN's stablecoin caution. Understanding the BIS argument does not just explain the CBN's position, it tells you what evidence would be most persuasive in a conversation with CBN officials about your stablecoin product.

Second: BIS's Innovation Hub, which operates through centres in several cities including one in Nairobi, conducts experimental work on CBDC interoperability, cross-border payment systems, and tokenised finance. The practical implications of this work will arrive in Nigerian regulation within years. The mBridge project, which explored a multi-CBDC platform across central banks, is a precursor to the kind of cross-border digital payment infrastructure that AfCFTA's digital trade protocols will eventually need to build on.

The BIS Research Habit

Reading BIS working papers is a genuine competitive advantage for founders in the digital finance space. They are freely available at bis.org. The papers published two to three years ago on specific topics, stablecoin oversight, CBDC design, DeFi risks, are now the foundations of regulatory frameworks being enacted today. The papers being published today are the frameworks that will be enacted in two to three years. This is not academic reading. It is market intelligence.

IMF: The Institution That Shapes the Conversation

The International Monetary Fund's influence on Nigerian digital asset regulation is less direct than FATF's but more pervasive in certain ways. The IMF does not set binding standards. What it does is conduct regular Article IV consultations with member countries, issue technical assistance reports on specific regulatory questions, and maintain a research and policy publication programme that shapes the intellectual environment in which central bankers and finance ministers operate.

The IMF's positions on digital assets have evolved significantly over the past five years. Its earlier scepticism, expressed in recommendations to several African countries to ban or heavily restrict cryptocurrency, has given way to a more nuanced framework that acknowledges the role of digital assets in financial inclusion and cross-border payment

efficiency, while maintaining concern about AML risks, monetary stability, and consumer protection.

The IMF's 2025 paper on digital payments in Sub-Saharan Africa explicitly notes that adequately backed stablecoins can support financial innovations and that CBDCs can complement mobile money systems, a significant departure from earlier positions that treated all private digital currencies as primarily risks to be managed.

For Nigerian founders, the IMF's evolving position matters for two reasons. First, it shapes the intellectual environment of the CBN, whose senior staff participate in IMF consultations, read IMF research, and are influenced by the normative frameworks the IMF promotes. Second, it influences the terms on which international capital, from development finance institutions, multilateral funds, and IMF-adjacent investors, is available for digital finance businesses in Africa. An IMF that frames stablecoins as a financial inclusion tool creates a more favourable fundraising environment than one that frames them as monetary sovereignty risks.

MiCA: The Framework Your International Partners Already Live Under

The European Union's Markets in Crypto-Assets Regulation (MiCA) is not Nigerian law. It will not be applied to you by the SEC or the CBN. And yet, for a growing number of Nigerian digital asset founders, it is a regulatory framework you must understand, because your international investors, partners, and counterparties already operate under it.

MiCA came into full effect in December 2024, establishing the most comprehensive regulatory framework for crypto assets in any major jurisdiction. It covers the issuance of asset-referenced tokens (stablecoins pegged to assets other than a single fiat currency), e-money tokens (stablecoins pegged to a single fiat currency), and crypto asset service providers (CASPs), requiring licensing, capital requirements, AML compliance, consumer protection measures, and market integrity rules across all twenty-seven EU member states.

MiCA matters to Nigerian founders in three specific ways.

1. **European partners and investors will ask about MiCA alignment.** — European venture funds investing in African digital finance businesses increasingly use MiCA as a reference framework for assessing the regulatory quality of potential portfolio companies. A Nigerian VASP whose AML programme, consumer protection policies, and operational governance are broadly aligned with MiCA standards is an easier investment for a European fund than one whose framework is entirely local. You do not need to be MiCA-compliant. You do need to be able to explain why your standards are comparable.
2. **Nigerian VASPs serving EU customers may be subject to MiCA.** — MiCA applies to CASPs actively targeting EU customers, regardless of where the CASP is incorporated. A Nigerian exchange that runs advertising campaigns in European markets, maintains a European-language website, or actively solicits European customers may be within MiCA's scope. The 'reverse solicitation' exception, which allows EU residents to access offshore services at their own initiative, is narrow and has been actively enforced. If you have European customers, obtain legal advice on your MiCA exposure.
3. **MiCA's stablecoin framework will influence Nigerian stablecoin regulation.** — MiCA's requirements for stablecoin issuers, full reserve backing, redemption at par, segregated custody, strict AML compliance, represent the global benchmark toward which all stablecoin regulatory frameworks are converging. The CBN's eventual stablecoin framework will not replicate MiCA in detail, but it will be influenced by it. Founders building stablecoin products now who design them to meet MiCA's reserve and custody requirements are building to a standard that will serve them in any jurisdiction.

Reading the International Signals: A Practical Framework

The four bodies described in this chapter produce a continuous stream of publications, guidance papers, and policy statements. No founder has the time to read all of them, and most of them are not directly relevant to any specific business at any specific moment.

The following approach extracts the maximum intelligence from the minimum reading:

- **Read in full, every year. This is the single most important publication for Nigerian digital asset founders. It tells you what risks are on the global AML radar, and therefore what your local regulators will be focused on within twelve to thirty-six months.** FATF Targeted Update on Virtual Assets (annual, June)
- **Skim for the sections on digital finance, CBDC, and stablecoins. One hour per quarter. Note any new frameworks or experiments that involve African central banks.** BIS Quarterly Review and Innovation Hub publications (quarterly)
- **Search for IMF publications specifically about Nigeria, West Africa, or digital finance in Sub-Saharan Africa. These papers directly influence your domestic regulators' thinking.** IMF Working Papers and Technical Assistance Reports on Africa (irregular)

- **Monitor through the European Banking Authority's publications. Focus specifically on stablecoin oversight and CASP licensing guidance, as these are most directly relevant to Nigerian product architecture decisions.** MiCA implementation updates (ongoing through 2025-2026)

One more practice worth building: when a significant new international standard is published, translate it into Nigerian terms immediately. Ask: which Nigerian institution will implement this? What aspect of my product does it affect? What compliance change would I need to make if Nigeria adopted this standard tomorrow? Doing this translation exercise regularly keeps you ahead of the regulatory curve rather than behind it.

The founders who build the most durable digital financial businesses in Africa will be the ones who understand that their regulators are not sovereign. They are participants in a global regulatory conversation. Following that conversation is how you see around corners.



Part Three

The Products

What You Are Building and What It Triggers

Parts One and Two gave you mindset and map. Part Three is where the map meets the product.

Every chapter in this section follows the same architecture: what the product is, what it does, which regulatory framework it triggers, what the specific compliance obligations look like in practice, and where the structural traps are hidden. These are the traps that are not in the rules. They are in the gap between what the rules say and what they mean when your specific product meets the specific concerns of specific Nigerian regulators.

Five product categories. Five chapters. Each one written for the founder who is already building or seriously considering it, not for the theorist who wants to understand it at a distance.

A note on structure: each chapter opens with the product's regulatory trigger map; a quick-reference table showing which product features activate which regulators. Read this first. It tells you immediately whether the chapter is fully relevant to your current product, or partially so, or whether it describes something you need to understand for a product you are considering building next.

The chapters can be read in order or by the product you are building today. If you are building a stablecoin product, start with Chapter Ten. If you are building an exchange or custody platform, Chapter Eleven is your entry point. If you are tokenising real-world assets, Chapter Twelve is the most urgent. If you are building in DeFi or designing DAO governance, Chapter Thirteen. And if you are layering AI into any of the above, Chapter Fourteen is the chapter that ties them all together.

Let's go.

CHAPTER Ten

Stablecoins and Digital Payments: The CBN Minefield and How to Cross It

“The naira is not just a currency. It is a political object. Any product that touches how it moves, what it competes with, or how Nigerians store their wealth outside it will face the full weight of the Central Bank’s institutional instincts.”

— Chimezie Chuta

If there is a single product category in the Nigerian digital asset market that demands more regulatory intelligence than any other, it is stablecoins. Not because the technology is uniquely complex. Not because the business model is inherently suspicious. But because stablecoins sit at the precise intersection of two things the Central Bank of Nigeria cares about more than almost anything else: the integrity of the naira and the legibility of financial flows.

More than twenty-six million Nigerians were already using stablecoins for remittances, savings, and cross-border purchases by 2024, roughly twelve percent of the population. Stablecoins, primarily USDT and USDC, account for approximately sixty percent of Nigeria’s ninety two billion dollar annual crypto trading volume. Nigeria receives over twenty billion dollars in remittances annually, and a significant and growing portion of that flows through stablecoin rails. These are not marginal statistics. They describe a product category that is already deeply embedded in how ordinary Nigerians manage money.

And yet the regulatory framework for stablecoins in Nigeria is, as of this writing, still being constructed. In October 2025, the CBN and SEC Nigeria announced a joint fifteen-member working group, led by CBN Governor Olayemi Cardoso, to develop a comprehensive stablecoin framework. Its report is expected in 2026. In February 2025, cNGN, Africa’s first regulated naira-pegged stablecoin, issued by WrappedCBDC Limited under ISA 2025, listed on Quidax and Busha, demonstrating for the first time that a

privately-issued naira-denominated stablecoin could operate within the Nigerian regulatory perimeter.

What this means for founders is that you are building in a space where the rules are being written around your product in real time. The window for founders who engage early, design thoughtfully, and position themselves as compliant partners in the CBN's stablecoin framework development is genuine and time-limited. But the mistakes made during this window, particularly the three structural errors described in this chapter, are among the most consequential a founder in this space can make.

The Trigger Map

Product Feature	Regulator	Regulatory Trigger	Urgency
Naira-pegged stablecoin issuance	CBN + SEC Nigeria	Electronic payment instrument + digital asset under ISA 2025	CRITICAL
Dollar-pegged stablecoin (USDT equivalent)	CBN + SEC Nigeria	FX management concern + VASP registration required	CRITICAL
Stablecoin on-ramp / off-ramp (naira)	CBN + SEC Nigeria	Payment system licence + VASP registration	CRITICAL
Stablecoin remittance service	CBN (IMTS Guidelines)	IMTO authorisation or agent arrangement required	HIGH
Stablecoin savings / yield product	SEC Nigeria	Collective investment scheme risk — DAI or DAOP registration	HIGH
Foreign stablecoin custody	SEC Nigeria (DAC)	DAC registration if holding stablecoins for Nigerian clients	HIGH
Stablecoin payment API	CBN (PSP licence)	Payment solution provider authorisation required	HIGH

Structural Mistake One: The Naira-Pegged Stablecoin Without CBN Engagement

Building a stablecoin pegged to the naira is, in Nigerian regulatory terms, one of the most complicated products you can attempt to launch. It is complicated not because the technology is difficult, it is not, but because it intersects with the CBN's core constitutional mandate in a way that no other digital product does.

The Central Bank of Nigeria Act gives the CBN the sole right to issue naira and to determine the naira's exchange rate against other currencies. A privately-issued

naira-pegged stablecoin is, from the CBN's institutional perspective, a private entity creating a digital representation of the naira, which touches directly on the Bank's monetary sovereignty prerogatives. Whether the CBN views this as a complement to its monetary system or a challenge to it depends entirely on the product's design, its reserve structure, and the relationship its issuer has built with the Bank before launch.

The cNGN succeeded not because of clever regulatory arbitrage, but because its issuers engaged the CBN and SEC Nigeria from the beginning, built a reserve structure the CBN could examine and verify, and positioned the product explicitly as a complement to, not a substitute for the eNaira.

The structural trap for founders attempting a naira-pegged stablecoin without this engagement is threefold. First, a naira-denominated stablecoin that allows users to hold, transfer, or receive digital naira constitutes the provision of a payment service under the CBN's payment systems framework, specifically, it may constitute an e-money product requiring a Payment Service Bank or similar CBN licence, entirely separate from any SEC VASP registration. Second, the reserve management required to maintain the peg, holding naira reserves, managing liquidity, maintaining redemption capacity, requires engagement with the banking system in ways that only CBN-licensed entities can conduct without restriction. Third, and most consequentially: the CBN's concern about the naira's stability means that any naira-pegged stablecoin that achieves meaningful scale without CBN oversight will attract the Bank's attention, and that attention, when it arrives without a pre-existing relationship, will be adversarial rather than facilitative.

The Reserve Design Question

Every naira-pegged stablecoin issuer must answer one question before approaching either regulator: what backs the token, where are the reserves held, who audits them, and what is the redemption mechanism when a holder wants naira back? The CBN's concern about redemption risk is substantial. Nigeria's history of naira devaluation means that a poorly designed reserve structure could produce a run on the stablecoin during a depreciation episode, with cascading effects on the banking system that holds the reserves. Design the reserve and redemption architecture first. It is the document that opens every regulator conversation.

Structural Mistake Two: The Dollar-Pegged Product and the FX Assumption

The second structural mistake is more subtle and more common: building a dollar-pegged stablecoin product, essentially a USDT or USDC equivalent — and assuming that because it is denominated in dollars rather than naira, the CBN has no jurisdiction over it.

This assumption is wrong in two distinct ways.

First: any platform that allows Nigerians to acquire, hold, or transact in dollar-denominated instruments using naira, is operating in Nigeria's foreign exchange market, which is the CBN's direct regulatory domain. The naira has lost more than seventy percent of its value against the dollar over the past decade. The CBN's FX management framework exists precisely to manage the structural pressure on the naira that dollar demand creates. A platform that efficiently enables Nigerians to hold dollars digitally, even if those dollars are stablecoins rather than physical currency, creates exactly the demand pressure the CBN's FX framework is designed to manage. The regulator will notice. The question is whether it notices because you approached it proactively, or because a circular arrives in your inbox.

Second: the 2024 Binance episode is the most consequential illustration of this risk in recent Nigerian regulatory history. The CBN's allegations against Binance centred significantly on the claim that Binance's P2P platform was being used to manipulate the naira's unofficial exchange rate, that the volume of naira-to-USDT transactions visible on Binance's platform was being used as a price discovery mechanism for the naira that competed with the CBN's official rate. Whether or not the specific allegations were accurate, the episode demonstrated with unmistakable clarity that the CBN does not treat dollar-denominated stablecoin products as being outside its regulatory perimeter. Any platform that creates a visible naira-to-dollar pricing mechanism, even one mediated through stablecoins, is in the CBN's field of view.

The Binance Lesson

In early 2024, Binance executives were detained and Binance's operations in Nigeria were severely restricted following CBN allegations that the platform enabled naira exchange rate manipulation through its P2P trading features. Binance subsequently removed the naira from its platform. The founders building dollar-pegged stablecoin products in Nigeria today should treat this episode not

as a story about Binance specifically, but as a clear signal about the CBN's willingness to act when it believes a platform is affecting the naira's stability, regardless of whether the platform considers itself to be operating in the digital asset sector or the FX sector.

The case of AbokiFX is still fresh in our memory.

Structural Mistake Three: Assuming Existing Stablecoins Set a Permissive Precedent

The third structural mistake is perhaps the most psychologically understandable: observing that USDT and USDC are widely used in Nigeria, that millions of Nigerians transact in them daily, and concluding that the regulatory environment for new stablecoin products must therefore be relatively permissive.

This reasoning confuses tolerance with authorisation. The CBN's failure to suppress USDT and USDC usage is not an endorsement of those products. It is a recognition that suppressing them would be technically impractical and economically counterproductive, and would simply push the activity further underground, as the 2021 banking prohibition demonstrated. The absence of active enforcement against existing stablecoins reflects operational pragmatism, not regulatory approval.

The distinction the CBN draws is sharp and consequential: between foreign-issued stablecoins that Nigerians access through global platforms and use at their own risk, and domestically-issued stablecoin products that a Nigerian company is actively marketing to Nigerian users as a regulated financial product. The first category the CBN tolerates while developing its framework. The second category it expects to engage directly with its supervision, because a domestic issuer has a physical presence, assets, and accountability in Nigeria that a foreign issuer does not.

The cNGN's successful launch is the proof of concept: a privately-issued naira-pegged stablecoin can operate within the Nigerian regulatory perimeter, but only if its issuers engage both the CBN and SEC Nigeria from the outset, build an auditable reserve structure, and accept the ongoing supervisory relationship that domestic issuance requires.

How to Cross the Minefield: The Four-Step Engagement Framework

Given the complexity of the stablecoin regulatory landscape, the question for founders is not whether to engage the CBN; it is how to do so in a way that produces a productive outcome rather than an adversarial one.

Step 1. Design the product before approaching the regulator — The CBN does not respond well to speculative inquiries. It responds to product proposals that are specific about reserve structure, redemption mechanisms, AML architecture, user access tiers, and the economic logic of the product. Build this document first. It is simultaneously your product specification, your regulatory engagement document, and your investor pitch.

Step 2. Approach SEC Nigeria first — The ISA 2025 classification of digital assets as securities means SEC Nigeria has the primary licensing mandate. Obtaining ARIP approval, or at minimum, initiating the ARIP process, before approaching the CBN gives you a credible regulatory footprint that signals institutional seriousness. The CBN is more receptive to conversations with entities already engaged with SEC Nigeria's framework.

Step 3. Engage the CBN through the right channel — The CBN's Payment System Management Department is the primary touchpoint for stablecoin products that function as payment instruments. The Financial Policy and Regulation Department is relevant for products that touch the FX market or monetary policy. Identify the right department before requesting an engagement. A meeting with the wrong department is not just unhelpful, it can result in your proposal being misclassified before the right officials see it.

Step 4. Position your product as a complement to the eNaira, not a competitor — This is the framing that has the highest probability of productive reception at the CBN. The eNaira project has faced adoption challenges. A privately-issued stablecoin that uses the eNaira's infrastructure, references the eNaira as the monetary anchor, or creates use cases that expand eNaira adoption is a fundamentally different conversation from one that implicitly competes with it. The cNGN model, explicitly positioned as complementary to the eNaira, is the template.

The Joint Working Group Window

The CBN-SEC joint stablecoin working group announced in October 2025 is the single most important policy development for stablecoin founders in Nigeria right now. Its report, expected in 2026, will define the framework within which all domestically-issued stablecoins will operate for the foreseeable future. Founders who engage with the working group process, through industry body submissions, direct requests to present, or written technical input, are not just complying with a future framework. They are shaping it. This window closes when the report is published. Act accordingly.



CHAPTER Eleven

Virtual Asset Services: VASP Licensing, Custody & Exchange Infrastructure

“A licence from SEC Nigeria is not a certificate of compliance. It is the beginning of a compliance relationship. The founders who treat it as the end of the process will learn the difference.”

— Chimezie Chuta

If Part One of this book convinced you that regulation is your moat, then this chapter is where you build it. The ARIP framework, the SEC Nigeria Accelerated Regulatory Incubation Programme, is the most consequential regulatory pathway in the Nigerian digital asset market. It is the mechanism through which exchanges, custodians, offering platforms, and intermediaries achieve the legal standing to operate, access banking infrastructure, attract institutional capital, and compete on a level that unlicensed operators cannot reach.

It is also a process that most founders approach without adequate preparation, and that the SEC's documentation, however well-intentioned, does not fully describe. This chapter fills that gap.

The Trigger Map

Product Feature	Regulator	Regulatory Trigger	Urgency
Running a trading platform for digital assets	SEC Nigeria	DAX registration required — ISA 2025 s.357	CRITICAL
Holding client digital assets (custody)	SEC Nigeria	DAC registration — separate from exchange licence	CRITICAL
Facilitating token sales / primary offerings	SEC Nigeria	DAOP registration — investor protection rules apply	CRITICAL
Brokerage / intermediary services	SEC Nigeria	DAI registration required	HIGH
P2P matching platform (naira pairs)	SEC Nigeria + CBN	DAX + CBN payment consideration	CRITICAL
Staking-as-a-service for clients	SEC Nigeria	Potential collective investment scheme — DAI or DAOP	HIGH

Wallet provision (custodial)	SEC Nigeria (DAC)	DAC registration if holding keys on behalf of clients	HIGH
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The Four VASP Categories You Must Understand

SEC Nigeria's Digital Asset Rules establish four licensing categories, each targeting a distinct type of digital asset service. Understanding which category — or categories — applies to your business is the foundational decision of your regulatory engagement.

DAX. Digital Asset Exchange — Platforms facilitating the secondary market trading of digital assets between buyers and sellers. A DAX licence covers spot trading, order book matching, and market-making activity. It is the most demanding category in terms of capital requirements, governance obligations, and ongoing compliance. Quidax and Busha hold the first provisional DAX approvals in Nigeria.

DAOP. Digital Asset Offering Platform — Platforms facilitating the primary issuance of digital assets to investors, the functional equivalent of an investment platform or capital markets issuer. If your platform runs token sales, IEOs, NFT drops with investment characteristics, or tokenised asset offerings, you are in DAOP territory. Emeka's tokenised real estate platform from Chapter One was a DAOP.

DAC. Digital Asset Custodian — Entities that hold and safeguard digital assets on behalf of clients — operating the private keys. This is a separate registration from a DAX, reflecting the SEC's recognition that custody is a distinct and consequential activity. A DAX that also holds client assets must hold both a DAX and a DAC registration. DACs must maintain specified proportions of client assets in cold storage and carry fidelity bonds.

DAI. Digital Asset Intermediary — Brokers, advisors, and agents who facilitate digital asset transactions or provide advisory services without themselves operating an exchange or custody function. The DAI category captures a wide range of intermediary business models including investment advisory, staking intermediaries, and portfolio management services.

The Dual Licence Trap

One of the most common ARIP structuring errors is applying only for the category that matches the founder's primary use case, without recognising that the business also conducts activities in a second category. An exchange that holds client funds in a hot wallet is simultaneously a DAX and a DAC — and requires both registrations. A DAOP that also facilitates secondary trading of its issued tokens may require a DAX registration as well. Map your entire product functionality against all four categories before submitting an ARIP application.

What the ARIP Documentation Does Not Tell You

The SEC Nigeria ARIP framework documentation specifies what is required. What it does not adequately describe is what that requirement means in practice, the standard to which each element is assessed, the informal expectations that shape whether an application moves or stalls, and the specific failures that cause applications to be returned without meaningful feedback.

Three dimensions of the ARIP process are consistently underestimated by first-time applicants.

The Pre-Screening Conversation

Before submitting a formal ARIP application, experienced practitioners engage the SEC in an informal pre-screening conversation. This is not officially documented, but it is widely practised and substantially affects outcomes. The purpose is to test the SEC's preliminary assessment of your product's classification and your proposed structure, before investing the time and cost of a full formal submission.

The pre-screening conversation is typically initiated through a written request to the Digital Assets Unit, under the Licensing & Registration department, expressing interest in the ARIP process and requesting an initial consultation. Its primary value is twofold: it identifies structural issues in your product design or corporate structure that would cause a formal application to be returned, allowing you to address them before submission; and it begins the relationship-building process with the officials who will review your application, which materially affects the quality and responsiveness of the feedback you receive during formal review.

The founders who get through the ARIP process most efficiently are the ones who have already had three or four conversations with the Commission before their application hits the desk of the reviewing officer. The application arrives in a context of established relationship, not cold.

Getting the pre-screening conversation right requires three things. First, a clear, concise product description that demonstrates you understand your product's regulatory

classification, including the honest acknowledgement that it requires SEC oversight, rather than an attempt to argue it does not. Second, a summary of your corporate structure that demonstrates Nigerian incorporation, local management, and adequate capitalisation. Third, a specific agenda for the conversation that respects the official's time and demonstrates preparation.

The White Paper Standard

The ARIP framework requires a 'draft white paper' as part of the initial assessment submission. The documentation describes this generically. The standard to which it is actually assessed is considerably more specific.

The white paper is not a marketing document. It is a technical and legal disclosure document that must address, with specificity and rigour, the following: the technical architecture of the product and its underlying blockchain infrastructure; the token economics (if tokens are issued), including supply, distribution, vesting, and governance; the legal structure of the token and the rights it confers on holders; the risk factors relevant to the product and the investor; the team's qualifications and relevant experience; the AML/CFT framework the platform will implement; and the regulatory classification of the product and the basis for that classification.

Applications returned or ignored at the initial assessment stage are almost always returned for one of three white paper deficiencies: insufficient detail on token economics and rights (the Commission cannot assess classification without understanding what the token actually does); inadequate or absent AML/CFT framework description (reflecting the NFIU's AML compliance overlay on the ARIP process); or self-serving classification analysis (a white paper that argues the product is not a security, rather than engaging honestly with the classification question).

The Classification Honesty Test

SEC Nigeria's review team has become significantly more sophisticated in its ability to assess token classification. A white paper that argues your token is a utility token based on the language of the documentation, while the token's actual function carries economic return characteristics, will be identified and returned. The Commission is not easily fooled by label engineering. The founders who

move fastest through ARIP are the ones who say plainly in their white paper: 'our product is a security. Here is how we have structured it to meet your investor protection requirements.'

The AIP Period: Not the Finish Line

The most consequential misunderstanding in the ARIP process is the treatment of the Approval-in-Principle as an endpoint rather than a beginning.

The AIP is a conditional authorisation to begin operating, valid for twelve months. During that period, the AIP holder must demonstrate ongoing compliance with the conditions of its approval, build out the full compliance infrastructure described in its application, maintain the minimum capital position, file periodic reports with the Commission, and, most critically, demonstrate that the product it is operating matches the product it described in its application.

The twelve months of the AIP period are the Commission's opportunity to observe the platform in operation and assess whether it is ready for full registration. AIP holders who treat this period as a grace period, who defer building their AML systems, who delay hiring their compliance officer, who allow their capital position to fall below the required minimum, typically discover at the full registration stage that the Commission is not prepared to grant unconditional authorisation. Some AIP lapses, requiring the entire process to restart.

The AIP period is the most valuable phase of the ARIP process, because it is the period during which the Commission and the operator are in the most active relationship. Questions can be asked informally. Guidance on specific compliance situations can be obtained. The platform's operational reality can be tested against its theoretical compliance framework in a context where the consequence of a gap is remediation, not revocation.

Treat the AIP period as twelve months of intensive compliance construction, with the Commission as an engaged observer whose questions are opportunities for improvement rather than adversarial scrutiny.

Capital Requirements: The Funding Implication

SEC Nigeria's minimum capital requirements for VASP registrations are substantial and must be paid-up, not pledged or committed, but actually deployed into the registered company's account, verifiable by audited accounts at the time of application. The specific amounts are set in the Digital Asset Rules and reviewed periodically.

The capital verification process is a specific ARIP friction point that many first-time applicants underestimate. The Commission does not merely check that the capital appears on the company's balance sheet. It expects to understand the source of that capital, through audited accounts, bank statements, and shareholder declarations. Capital that arrives into the company's account immediately before the application, without a clear paper trail of its origin, raises source-of-funds questions that can stall or derail an application.

The Capitalisation Strategy

Plan your ARIP capitalisation as a fundraising milestone, not an administrative requirement. The minimum capital for your chosen registration category should be in your company's accounts, clearly documented by source, at least three months before your ARIP submission, so that the audit trail is clean, the source of funds is clear, and the capital is genuinely deployed in the business rather than a transient deposit made for application purposes. The Commission can distinguish between the two.



CHAPTER Twelve

Tokenisation: Real-World Assets, Securities, and the New Capital Markets

“A token does not change the nature of the asset it represents. It only changes the mechanism by which that asset is held, traded, and governed. The law governing the underlying asset still applies.”

— Chimezie Chuta

We have spent considerable time in this book with Emeka and his tokenised real estate platform. His story is in the Introduction, in Chapter One, and woven through Part One as a case study in what happens when a genuinely good product runs into a regulatory framework its founder did not understand.

This chapter is written so that the next Emeka does not have to learn these lessons the hard way.

Real-world asset tokenisation is one of the highest-growth product categories in global digital finance and one of the most consequential for African markets specifically. The ability to fractionalise ownership of premium real estate, government bonds, agricultural receivables, or infrastructure assets creates investment access for individuals who have historically been excluded from these markets by minimum investment sizes, liquidity constraints, and geographic barriers. In Nigeria, where real estate has historically been one of the most effective stores of value but has been accessible only to the wealthy, tokenisation’s financial inclusion potential is substantial.

It is also one of the most legally complex product categories to build correctly. Not because the technology is difficult, but because tokenisation sits at the intersection of asset law, securities regulation, and digital asset regulation in a way that requires all three to be addressed simultaneously, and that Nigerian law, in several specific respects, creates structural challenges that have no clean technical solution.

The Trigger Map

Product Feature	Regulator	Regulatory Trigger	Urgency
Tokenised real estate (fractional ownership)	SEC Nigeria + State Land Law	DAOP + ISA 2025 securities rules + Land Use Act	CRITICAL
Tokenised bonds / government securities	SEC Nigeria + DMO	DAOP + Debt Management Office notification	CRITICAL
Tokenised agricultural receivables / invoices	SEC Nigeria + CBN	DAOP + potential payment system considerations	HIGH
NFTs with investment characteristics	SEC Nigeria	DAOP if NFT carries economic return rights	HIGH
Tokenised equity / company shares	SEC Nigeria + CAC	DAOP + Companies Act share transfer provisions	CRITICAL
Secondary trading of RWA tokens	SEC Nigeria	DAX registration required for secondary market	HIGH
Custody of RWA tokens for investors	SEC Nigeria (DAC)	DAC registration required	HIGH

The First Principle: The Token Does Not Change the Asset

Before examining the specific Nigerian legal challenges, it is worth establishing the principle from which everything in this chapter flows, because it is the principle most commonly misunderstood by founders entering the RWA tokenisation space.

A token is not an asset. It is a *representation* of an interest in an asset. The legal rights that a token confers on its holder are only as robust as the legal arrangements that connect the token to the underlying asset. A token that claims to represent a fractional interest in a Lagos apartment is worthless if there is no enforceable legal mechanism by which the token holder can actually assert that interest in a Nigerian court.

This distinction has profound practical implications. Every RWA tokenisation project must answer three questions before the token design is even relevant:

- 1. Who legally holds the underlying asset?** — The asset must be held by an identifiable legal entity, typically a Special Purpose Vehicle (SPV) incorporated at the CAC — that is separate from the issuer's operating company. This separation protects investors from the issuer's insolvency and provides a clean legal structure for the asset's ownership and governance.

- 2. How is the SPV's title to the asset verified and maintained?** — Title verification is the single most expensive and time-consuming component of most Nigerian RWA tokenisation projects, because Nigerian title infrastructure, particularly for real estate, is imperfect in ways that require thorough legal due diligence before any token can be issued.
- 3. What is the token holder's enforceable right against the SPV?** — The token must be connected to a legally binding agreement, a trust deed, a shareholder agreement, a beneficial ownership deed, that gives the token holder an enforceable claim to their proportional share of the asset's income and capital. The token itself is not the claim. It is the evidence of the claim. The claim exists in the legal documentation.

The SPV Architecture

The standard architecture for Nigerian RWA tokenisation is: (1) an operating company that runs the platform, holds the DAOP licence, and manages investor relations; (2) an SPV incorporated at the CAC that holds legal title to the underlying asset; (3) a trust deed or equivalent legal instrument executed by the SPV that defines the rights of beneficial owners; and (4) tokens issued by the DAOP that represent beneficial ownership interests in the SPV. These four-layer structure provide investor protection, regulatory clarity, and operational separation that single-entity structures cannot achieve.

The Nigerian Real Estate Title Problem

Real estate is the most common underlying asset for Nigerian tokenisation projects, for obvious reasons: it is the most reliable store of value in the Nigerian market, the demand for fractional access is large and real, and the existing market is dominated by intermediaries whose margins could be substantially reduced by tokenisation platforms.

But Nigerian real estate tokenisation faces a structural problem that has no equivalent in the US or European tokenisation markets, and that no amount of technological sophistication can solve: the imperfection of Nigerian land title.

The Land Use Act 1978 vests all land in Nigeria in the state governor of each state. Citizens and companies do not own land outright, they hold long-term leases (Certificates of Occupancy) granted by the state governor. The implication for tokenisation is profound: a Certificate of Occupancy is not freely transferable without the governor's consent. Any transaction involving the transfer of an interest in land, including, arguably,

the tokenisation of a beneficial interest in a land-holding SPV, may require gubernatorial consent under the Land Use Act.

This is not a theoretical concern. Nigerian courts have in multiple cases held that transactions involving land interests conducted without the required governor's consent are void. A tokenised real estate project whose underlying SPV holds a Certificate of Occupancy, and whose tokens represent interests in that SPV, may be conducting what amounts to a transfer of land interests, one for each token transaction, without individual governor's consent.

The practical approach that most experienced Nigerian real estate tokenisation practitioners adopt is to structure the SPV's interest as a beneficial interest rather than a legal interest in the land, and to obtain a general governor's consent for the SPV structure at the outset, covering the issuance and secondary trading of tokens. But this approach has not yet been definitively tested in Nigerian courts, and any founder building in this space should obtain a specific legal opinion on the title and consent structure from a practitioner with verified experience in both Nigerian land law and digital asset securities regulation.

The Disputed Title Risk

Nigerian real estate title disputes are not rare. A significant proportion of premium properties in Lagos, Abuja, and other major cities carry some form of title uncertainty, overlapping claims, disputed inheritance, fraudulent Certificate of Occupancy issuance. The cost of discovering a title dispute after tokens have been issued to investors is catastrophic: the asset's value is frozen, redemptions cannot be processed, and token holders have a claim against an asset that cannot be cleanly sold. Title due diligence for any Nigerian real estate tokenisation project must be exhaustive and independently verified by a qualified property lawyer. It is the most important, and most frequently underinvested, component of the project.

The Custody and Title Chain

The second inseparable component of RWA tokenisation is the custody and title chain, the documented, verified, auditable sequence of legal arrangements that connects the investor's token to the underlying asset at every point in the product's life.

The custody risk in RWA tokenisation is not primarily about digital asset custody in the technical sense, the security of the private keys that control the tokens. It is about the institutional custody of the underlying asset itself. Who holds the Certificate of Occupancy? Where is the title deed? Who is the registered director of the SPV? What happens to these arrangements if the SPV director is incapacitated or the operating company becomes insolvent?

The most consequential RWA tokenisation collapses globally, and there have been several, have not been caused by blockchain hacks or token contract bugs. They have been caused by the failure of the off-chain custody arrangements: the SPV that was not properly constituted, the trust deed that was never properly executed, the underlying asset that was mortgaged to a bank without investor knowledge, the development that was never built.

SEC Nigeria's DAOP registration requirements address this directly: issuers must demonstrate that the underlying assets are properly held, that investor rights are documented and enforceable, and that the custody chain between the token and the asset is complete. These are not bureaucratic requirements. They are the minimum infrastructure of investor protection for a product category where the consequences of failure fall entirely on individual investors.

ISA 2025 and the Tokenisation Opportunity

Against these structural challenges, ISA 2025 creates something that did not exist two years ago: a clear legal foundation for RWA tokenisation in Nigeria. Digital assets are securities. A tokenised interest in real estate, a bond, or a corporate receivable is a digital security. SEC Nigeria is the regulator. The DAOP is the licence.

The clarity this provides is commercially significant. Before ISA 2025, a Nigerian founder building a tokenised real estate platform could not point to a statutory provision that unambiguously recognised their product as a regulated, and therefore legitimate, investment instrument. Emeka received his SEC letter partly because the regulatory framework was still being assembled. The founders building today have ISA 2025 at their back.

The tokenisation categories with the most immediate commercial opportunity in Nigeria are: real estate (the largest existing market), agricultural commodities and receivables (a major financial inclusion opportunity for smallholder farmers who need working capital), infrastructure assets (roads, bridges, utilities, where tokenisation could create retail investor access to assets historically reserved for institutional capital), and government securities (where the Debt Management Office has expressed interest in the efficiency and reach improvements that tokenisation could deliver).

The Market Timing

Nigeria's capital market is dramatically underdeveloped relative to the economy's size. The NSE's market capitalisation is a fraction of GDP. A vast range of productive assets that could be investment instruments, real estate, agricultural produce, infrastructure, exist outside the capital market entirely. RWA tokenisation is not competing with an existing capital market. It is building one that does not yet exist. The founders who establish themselves in this space in the next three years, under the ISA 2025 framework, will be the infrastructure of the Nigerian capital market that serves the next generation.



CHAPTER Thirteen

DeFi, DAOs & Smart Contracts: Building Decentralised Products in a Centralised Regulatory World

“The fact that no one controls the code does not mean no one is responsible for its consequences.”

— Chimezie Chuta

Every regulatory framework in the world has been built around a central assumption that DeFi systematically challenges: that there is a legal entity somewhere, a company, a foundation, an individual, that can be held responsible for the behaviour of a financial service.

DeFi protocols, at their most decentralised, have no such entity. The code runs on a public blockchain. Anyone can interact with it. The developers who wrote it may have deliberately relinquished control over it. There is no office to visit, no director to serve with papers, no account to freeze. When a DeFi protocol fails, is exploited, or produces losses for users, the question of who is responsible has no clean answer in any legal system currently operating on earth.

This is, from a regulatory perspective, the most difficult product category in the digital asset space. It is also, from a founder's perspective, one of the most important to understand, because the regulatory uncertainty that surrounds it is not permanent, and the choices you make in product design today will determine whether your platform is on the right or wrong side of the framework that eventually arrives.

The Trigger Map

Product Feature	Regulator	Regulatory Trigger	Urgency
DeFi lending / borrowing protocol	SEC Nigeria (emerging)	Potential collective investment scheme or deposit-taking	HIGH
Decentralised exchange (DEX)	SEC Nigeria (emerging)	No formal DEX framework yet — watch ARIP amendments	HIGH

DAO governance token	SEC Nigeria	Likely security if token carries economic return rights	HIGH
Yield farming / liquidity provision	SEC Nigeria	Potential investment scheme — DAI or DAOP territory	HIGH
Smart contract with Nigerian users	No specific framework yet	Consumer protection obligations may apply — FCCPC watch	MEDIUM
DAO with Nigerian employees / contractors	CAC + FIRS + Labour Law	DAO has no legal personality — liability falls on individuals	HIGH
DeFi product with identifiable operator	SEC Nigeria + NFIU	VASP obligations apply if operator is identifiable	CRITICAL

How Nigerian Regulators Currently View DeFi — An Honest Assessment

The honest answer is that Nigerian regulators are in the earliest stages of forming a coherent position on DeFi. There is no DeFi-specific regulation. There is no DeFi-specific guidance from SEC Nigeria or the CBN. The NFIU's VASP guidelines do not address DeFi protocols with specificity. The ISA 2025 classification of digital assets as securities creates a broad statutory net, but its application to protocols without identifiable issuers is a legal question that has not been tested in Nigerian courts.

What exists is a set of institutional dispositions that are visible in how regulators have approached adjacent questions, and that allow careful inference about how DeFi-specific questions will eventually be resolved.

The SEC Nigeria's disposition is towards inclusivity of scope: if a product has the functional characteristics of a financial service, investment, trading, lending, custody, it will seek to bring it within its supervisory perimeter, even if the mechanism for doing so is not yet designed. The ISA 2025's deliberately broad definition of digital assets and VASPs is consistent with this disposition. The Commission is not waiting for DeFi protocols to exceed a certain scale before forming a view. It is watching the space and developing its analytical framework while the market develops.

The CBN's disposition is driven by its monetary and systemic stability mandate: DeFi protocols that create naira liquidity, facilitate naira lending, or denominate positions in naira are within the CBN's field of vision regardless of their technical architecture. A DeFi protocol that holds naira liquidity in smart contracts and enables naira-denominated

lending to Nigerian users is, from the CBN's perspective, conducting banking or payment services without authorisation, whatever the technical means by which it does so.

The regulatory framework that will eventually govern DeFi in Nigeria will not be designed from first principles. It will be extrapolated from the VASP framework that exists for centralised operators. The founders who understand how that extrapolation will work are the ones who can build ahead of it.

The FATF Extrapolation: When Is a DeFi Protocol a VASP?

FATF's 2021 updated guidance on virtual assets provides the clearest available signal of how DeFi will eventually be regulated, because it is the framework from which all African regulatory approaches will be derived.

FATF's position is that a DeFi protocol, or its creators, owners, and operators, may constitute a VASP if they retain control over the protocol, benefit financially from its operation, or have the ability to modify its parameters. A truly decentralised protocol with no controlling entity, no revenue collection mechanism, and no administrative capability is harder to classify as a VASP. But FATF is explicit that 'decentralisation' does not automatically remove a protocol from regulatory scope: the question is whether there is any natural or legal person who exercises sufficient control or benefit to constitute a VASP relationship.

For Nigerian founders, the practical implication is this: if your DeFi protocol has a team that deployed it, an admin key that can upgrade or pause the contracts, a fee collection mechanism that flows to identifiable wallets, and a marketing presence targeting Nigerian users, you are almost certainly within the scope of what SEC Nigeria and the NFIU will eventually classify as VASP activity, regardless of how decentralised the protocol's execution layer is.

The founders who are building 'decentralised' products that are, in practice, centralised in their governance and benefit structures are not avoiding regulation. They are deferring it,

and the deferral is creating accumulated compliance debt that will become due when the framework arrives.

The DAO Legal Personality Problem

DAOs present a specific and serious legal problem in Nigeria that is distinct from the DeFi protocol question: they have no legal personality.

Under the Companies and Allied Matters Act (CAMA) and the CAC's registration requirements, a business entity operating in Nigeria must be incorporated as a company, business name, or incorporated trustee. A DAO, governed by token holder votes and smart contract execution, fits none of these categories. It is not incorporated. It has no directors. It has no registered address. It cannot open a bank account, enter into a lease, employ staff, or appear as a party in a Nigerian court.

The practical consequence is that all of the legal obligations and liabilities of a DAO fall on the natural persons most closely associated with it. In Nigeria, that means the individuals who deployed the smart contracts, who hold administrative access, and who have publicly identified themselves as the DAO's founders or core contributors. If the DAO is sued, those individuals are sued. If the DAO owes tax, those individuals owe it. If the DAO's protocol causes investor losses, those individuals face the consumer protection claims.

Founders who structure their projects as DAOs while avoiding personal legal liability through the decentralisation narrative are operating under a significant misapprehension of Nigerian law. The DAO structure creates the worst of both worlds: no legal protection for the individual founders (because there is no incorporated entity to absorb liability), and no regulatory clarity for users (because there is no licensed entity to hold accountable).

The DAO-as-Liability Structure

If you are building a DAO-governed product targeting Nigerian users, the minimum legally prudent structure is: an incorporated Nigerian company or foreign company with Nigerian registration that holds any licences, contracts, banking relationships, and employment arrangements; a DAO governance layer on top of the incorporated entity that manages protocol parameters and

community decision-making; and a clear legal separation between the incorporated entity's obligations and the DAO's governance activities. The DAO governance layer does not need to be eliminated, but it cannot be the only layer.

Smart Contract Liability and Consumer Protection

The third dimension of DeFi's regulatory complexity is the one that will eventually force regulatory action in Nigeria, not because of AML concerns, and not because of VASP classification disputes, but because of consumer losses.

Smart contract exploits, protocol failures, and liquidity crises in DeFi have collectively cost users billions of dollars globally. When Nigerian users lose money in these events, and they have, the question of who is responsible under Nigerian consumer protection law is genuinely unresolved. The FCCPC (Federal Competition and Consumer Protection Commission) has moved aggressively in the digital lending space, imposing fines and conduct requirements on platforms that engaged in predatory practices. Its jurisdiction over digital financial products is broad, and consumer harm from DeFi products falls squarely within the categories of harm it is mandated to address.

The smart contract liability question is not merely theoretical in this context. A DeFi protocol that is marketed to Nigerian users as a 'safe' or 'secure' savings or investment product, and that suffers an exploit resulting in user losses, creates a consumer protection exposure for anyone who can be identified as having promoted or operated it. The marketing layer is often where the legal liability attaches, even when the protocol layer is technically autonomous.

Building in DeFi Without Building in Liability: Practical Guidance

Three principles guide responsible DeFi product design for the Nigerian market:

- 1. Be honest about decentralisation** — If your protocol has admin keys, upgrade mechanisms, fee flows to identifiable wallets, or a team with ongoing involvement in its operation, present it as a 'protocol with governance controls' rather than a 'fully decentralised' system. Regulatory scrutiny of decentralisation claims is intensifying globally. The honest framing is also the most defensible one when the regulator arrives.

- 2. Incorporate the controllable elements** — Whatever aspects of your DeFi product can be legally structured — the interface, the fee collection, the customer onboarding, the customer support — should be operated through an incorporated Nigerian entity with appropriate licences. The protocol layer can be decentralised. The service layer should not be.
- 3. Design for consumer protection from the outset** — Risk disclosures, user education, clear documentation of what the smart contract does and does not guarantee, and accessible dispute or loss reporting mechanisms are not just good practice. They are the evidence that demonstrates good faith when a consumer protection inquiry arrives. The FCCPC's 2025 digital lending rules — which introduced fines of up to ₦100 million for prohibited conduct — are the most recent indication of how seriously Nigerian regulators take consumer harm in digital financial products.

The DeFi White Space Window

There are currently no DAX, DAOP, DAC, or DAI-equivalent licences specifically designed for DeFi protocols in Nigeria. SEC Nigeria has not issued DeFi-specific guidance. The ARIP framework does not have a DeFi-specific track. This whitespace is temporary — the SEC's ongoing Digital Asset Rules development is expected to address DeFi explicitly in the next amendment cycle. Founders operating in this space now have the opportunity to engage with that process proactively — through BNUG, FintechNGR, and direct submissions to the SEC's consultation processes — and to shape the framework that will eventually govern them.



CHAPTER Fourteen

AI-Enabled Financial Products: The Emerging Regulatory Frontier

“AI does not create new regulatory categories. It adds a new layer of opacity and scale to every category that already exists. The regulator’s question is always the same: when something goes wrong, who is responsible?”

— Chimezie Chuta

Artificial intelligence is not a regulatory category in Nigeria. There is no dedicated AI Act in force, the AI Governance Bill introduced in late 2025 has not yet been signed, though its passage is widely anticipated in 2026. There is no AI-specific licensing regime. There is no AI-specific supervisory authority with a defined mandate over AI-powered financial products.

What there is, increasingly, is a set of sector-specific expectations, from the CBN, from SEC Nigeria, from NITDA, from the Nigeria Data Protection Commission, that apply to AI-powered products operating within their respective regulatory perimeters. And what is emerging, with accelerating speed, is a shared institutional disposition: AI is not exempt from the consumer protection, AML, investor protection, and data privacy obligations that apply to non-AI financial products. It is, if anything, subject to heightened scrutiny because of the opacity of its decision-making and the scale at which it can affect consumers.

This chapter addresses three specific AI application categories that are already live in the Nigerian financial services market and that are generating the most consequential regulatory attention: AI-driven credit scoring, AI-assisted AML and transaction monitoring, and AI agents operating autonomously in financial systems. The chapter closes with the governance framework that responsible AI financial product builders should adopt now, before the regulation arrives, because the regulation will arrive, and the founders who are already compliant will have the advantage.

The Trigger Map

Product Feature	Regulator	Regulatory Trigger	Urgency
AI credit scoring with alternative data	CBN + NDPC + FCCPC	Bias, explainability, consent, and data protection	HIGH
AI-automated AML / transaction monitoring	NFIU + CBN	Algorithmic accountability, false positive management	HIGH
AI investment advisory (robo-advisor)	SEC Nigeria	Investment advisory licence (DAI) — suitability obligations	HIGH
AI-driven trading algorithms	SEC Nigeria + CBN	Market manipulation risk, investor protection	HIGH
AI agents in DeFi protocols	SEC (emerging) + NFIU	VASP classification if agent is identifiable operator	HIGH
AI content / chatbots for financial advice	SEC Nigeria + FCCPC	Consumer protection, false claims, unlicensed advice	MEDIUM
AI underwriting / insurance products	NAICOM + NDPC	Explainability requirement, data consent	MEDIUM

AI-Driven Credit Scoring: The First Regulatory Confrontation

AI credit scoring using alternative data is the application category that will produce Nigeria's first significant AI-in-finance regulatory enforcement action. The product category is already mature: dozens of Nigerian digital lenders, licensed under the FCCPC's digital lending framework, with CBN credit bureau relationships, are using machine learning models trained on alternative data (phone metadata, app usage, social connections, transaction history) to make credit decisions for users who have no formal credit history.

The regulatory risk is not primarily about the technology. It is about three specific obligations that AI credit scoring products currently do not, in most cases, adequately satisfy.

The first is explainability. Nigeria's 2023 Data Protection Act, administered by the NDPC, requires that in cases where automated decisions significantly affect individuals, those individuals must be informed that they are interacting with an automated system, and, by extension, must have the ability to understand and contest the decision. A credit decision made by a machine learning model that cannot be explained in plain terms to the

individual it affects may violate the NDPA's requirements. The CBN's sandbox evaluation framework, expanded in 2024-2025, now explicitly assesses model explainability for AI-powered fintech tools.

The second is bias and fairness. Alternative data used to train credit models in Nigeria carries significant potential for demographic bias, not because of malicious intent, but because the patterns in historical financial data reflect the inequalities that alternative data is supposed to overcome. A model trained on data that correlates certain demographic characteristics with default risk will systematically disadvantage those groups, even if the model makes no direct reference to protected characteristics. The NDPC's enforcement focus in 2024-2025 has included the processing of personal data for automated decision-making, and the FCCPC's 2025 digital lending rules explicitly address discriminatory practices.

The third is data consent and provenance. AI credit models consume enormous quantities of personal data from sources that users may not realise are being used to assess their creditworthiness. Phone metadata, contact lists, social media activity, location data, browser history, all of these have been used, by various Nigerian digital lenders, as features in credit models. The NDPA requires specific, informed consent for the processing of personal data for each purpose for which it is used. A blanket terms-of-service consent that buried a provision about alternative data use for credit scoring is not, under the NDPA's standards, adequate informed consent.

The FCCPC Enforcement Trajectory

The FCCPC's 2025 digital lending rules introduced fines of up to ₦100 million or one percent of annual turnover for prohibited conduct, including data scraping, harassment, and non-disclosure. These rules apply to all digital lenders, including those using AI-powered credit scoring. The trajectory of enforcement is towards greater scrutiny of algorithmic decision-making, not less. Founders building AI credit products should implement explainability, fairness testing, and consent documentation now, before the framework makes them mandatory.

AI-Assisted AML: The Product Regulators Want to Encourage

AI-assisted AML and transaction monitoring is the application category where the regulatory opportunity is most clear and most immediate, because it directly addresses the problem that has most consistently frustrated Nigerian financial regulators.

The NFIU processes thousands of Suspicious Transaction Reports monthly. The CBN's supervisory teams monitor billions of transactions across the banking system. The analytical challenge of identifying genuine financial crime signals within this volume is beyond the capacity of rule-based monitoring systems. The NFIU's embrace of SupTech, supervisory technology, as part of Nigeria's FATF grey list exit reforms, and the CBN's expanding sandbox evaluation of AI-powered compliance tools, both reflect a regulatory establishment that wants AI to solve its supervision problem.

This creates an unusual dynamic: AI-assisted AML is a product category where the regulator's disposition is actively supportive rather than cautious. The NFIU has expressed interest in working with technology providers to improve its intelligence processing capabilities. SEC Nigeria's ARIP documentation explicitly welcomes compliance technology solutions. The CBN's 2025 SupTech roadmap includes AI-powered transaction monitoring as a priority development area.

The commercial opportunity is real and underexploited: building AI-assisted compliance tools that help Nigerian VASPs meet their NFIU obligations, that help banks implement the CBN's AML requirements more effectively, and that help the regulators themselves process intelligence more efficiently is a category where the regulatory environment is actively supportive.

But the opportunity comes with its own accountability obligations. An AI system that misclassifies legitimate transactions as suspicious creates direct operational harm for Nigerian users whose accounts are frozen or whose transactions are blocked. An AI system that misses genuine suspicious activity creates AML liability for the VASP that relied on it. The liability chain for AI-assisted compliance failures is not yet clearly defined in Nigerian law, but the NFIU's emerging guidance suggests that the responsible

institution, not the technology provider, bears the AML reporting obligation and therefore the consequences of algorithmic failure.

The Compliance Technology Opportunity

Founders building AI-assisted compliance solutions, transaction monitoring, KYC automation, sanctions screening, STR generation, are building in a category where Nigerian regulators are not adversaries but potential customers. The NFIU, the CBN, and SEC Nigeria all face analytical capacity challenges that technology can address. A well-designed AI compliance product that can demonstrate accuracy, explainability, and regulatory alignment has a direct sales path to regulated financial institutions across Nigeria and West Africa. This is the category where 'RegTech' is not a descriptor but a business model.

AI Agents in Financial Systems: The Frontier Nobody Has Mapped

The third AI application category, and the one with the most regulatory uncertainty, is the autonomous AI agent operating in financial systems on behalf of users.

These products already exist in embryonic form: DeFi yield optimisers that automatically move user funds between protocols to maximise returns; AI trading bots that execute strategies on behalf of users based on market signals; automated portfolio rebalancing services that adjust digital asset allocations without human intervention. Their more advanced versions — AI agents with wallet access, capable of executing complex multi-step financial strategies across multiple protocols autonomously — are in development globally.

From a regulatory perspective, an AI agent with wallet access and the authority to execute financial transactions is simultaneously: a potential VASP (if it transfers digital assets on behalf of users); a potential investment adviser (if it makes investment decisions on behalf of users); a potential payment service provider (if it moves funds); and a potential AML risk (if its decision-making cannot be audited in real time for suspicious activity patterns).

An AI agent that executes a suspicious transaction on behalf of a user does not eliminate the user's AML liability. It potentially creates two liability

questions: the user's obligation to know what their agent is doing with their funds, and the platform's obligation to monitor and report the agent's activity.

There is no Nigerian regulatory framework that specifically governs AI agents in financial systems. The ARIP framework does not have a category for autonomous agent services. The NFIU's VASP guidance does not address algorithmic trading or yield optimisation agents. The CBN's payment system rules do not contemplate AI-initiated payment instructions.

What exists is a set of first principles from existing frameworks that can be applied to these products. FATF's guidance: the obligation to identify the beneficial owner of the funds being transacted applies regardless of whether the transaction was initiated by a human or an algorithm. SEC Nigeria's investor protection rules: the obligation to ensure that financial products are suitable for the investors who use them does not disappear because the suitability assessment is made by an AI rather than a human. The NDPA: the obligation to obtain informed consent for automated decision-making that significantly affects individuals applies to AI financial agents as much as to AI credit scorers.

The founders building AI agent financial products in Nigeria today are operating in genuine regulatory whitespace. The framework that will eventually govern them is not yet written. But its contours are visible in the frameworks that govern adjacent products, and the founders who design their AI agents for accountability, explainability, and human override capability now will be significantly better positioned when the regulation arrives than those who defer these design questions until forced.

The AI Governance Framework for Financial Products

Pending the passage of Nigeria's AI Governance Bill and the formalisation of sector-specific AI guidance, the following framework provides the minimum governance infrastructure that responsible AI financial product builders should implement now:

- 1. Explainability by design** — Every AI decision that affects a user, a credit decision, a transaction flag, a portfolio recommendation, an account restriction, must be explainable in plain language to the affected user. This is required by the NDPA and expected by the CBN's sandbox evaluation framework.

Build the explanation capability into the model architecture from the beginning, not as a retrospective add-on.

- 2. Bias testing and ongoing monitoring** — Before deployment and on a regular ongoing basis, test your models for demographic bias using representative Nigerian data. Document the testing methodology and results. Implement alert mechanisms for performance degradation or demographic shift that might indicate emerging bias.
- 3. Human override and escalation** — Every AI system making consequential financial decisions must have an accessible, clearly communicated mechanism for human review. A user who believes an AI credit decision was wrong must have a real person to appeal to. A transaction flagged by an AI monitoring system must have a human reviewer in the escalation path before account restriction is imposed.
- 4. Data consent architecture** — Map every data source used in your AI models. For each source, document the consent obtained from users for that data's use in automated decision-making. Where consent is inadequate, either obtain specific consent or remove the data from the model's feature set.
- 5. Liability chain documentation** — Document clearly, for users, for regulators, and for your own operational risk management, what the AI system decides, what the human oversight layer reviews, and where the liability falls when the system makes a wrong decision. The Nigerian regulatory environment will eventually assign this liability. The founders who have thought through the answer before being asked are the ones who will shape how the question is resolved.

Nigeria's National AI Strategy, launched by NITDA in 2025, targets AI contributing fifteen billion dollars to Nigeria's GDP by 2030. AI is ranked seventy-second out of one hundred and ninety-five countries in the Oxford Government AI Readiness Index, reflecting genuine institutional momentum but also the distance yet to travel. The CBN sandbox, expanded in 2024-2025, now evaluates model explainability, fairness, and consumer transparency before granting approvals for AI-powered fintech tools. The direction is clear: AI financial products will be regulated, and the regulatory framework will be built around accountability, explainability, and consumer protection.

The founders who build those properties into their products today are not merely complying with a future mandate. They are building the most durable version of their product, the version that survives regulatory scrutiny, attracts institutional capital, and earns the trust of Nigerian users who have very reasonable grounds for scepticism about automated systems that make decisions about their money.



Part Four

The Practice

Being Compliant on Paper vs. Regulator-Ready in Practice

This is the part of the book where the theory stops and the work begins.

Parts One through Three gave you the mindset, the map, and the product-level regulatory frameworks. Part Four gives you the operational infrastructure to act on all of it. Five chapters. Each one a toolkit. Each one written for the person who will close this book, open their laptop, and start building.

Chapter Fifteen builds your AML/CFT programme from the ground up — not as a theoretical construct but as a working operational system. Chapter Sixteen teaches you how to initiate and sustain productive relationships with Nigerian regulators before you need them in a crisis. Chapter Seventeen reframes the innovation sandbox from a compliance mechanism into a strategic launch tool. Chapter Eighteen gives the technical founder the compliance architecture blueprint that determines whether a company can scale without regulatory crisis. Chapter Nineteen is the chapter you hope you never need, and will be deeply grateful to have read if you do.

A note on tone. Part Four is the most direct section of this book. It is, in places, prescriptive, it tells you what to do, in what order, by when. This prescriptiveness is intentional. The founders who survive regulatory complexity in Nigeria are not the ones who understand the principles most deeply. They are the ones who execute most consistently. Principles without execution produce beautiful compliance manuals that nobody follows.

This part is about execution.

CHAPTER Fifteen

Building Your AML/CFT Framework From Scratch

“A compliance manual that nobody reads is not a compliance programme. It is a liability document, evidence that you knew what was required and chose not to implement it.”

— Chimezie Chuta

There is a version of AML/CFT compliance that Nigerian digital asset companies perform rather than practise. The manual exists. The policies are documented. The compliance officer has a title. And if a regulator asks, the company can produce a thick folder of documents that, on their face, describe a robust risk management system.

There is another version where the compliance programme actually works: where suspicious transactions are identified and investigated, where customer risk profiles are genuinely monitored over time, where the compliance officer has real authority and real expertise, and where the policies describe what the company actually does rather than what it intended to do when someone wrote the manual.

The gap between these two versions is the gap between being compliant on paper and being regulator-ready in practice. This chapter closes that gap.

Three specific failures recur in Nigerian VASP AML programmes above all others. They are the failures that cause companies to fail regulatory reviews, attract NFIU scrutiny, and expose founders to personal liability under the MLPPA 2022. Understanding them, and building specifically to avoid them, is the foundation of everything in this chapter.

Failure One: The Beautiful Manual Nobody Reads

The most common AML/CFT failure in Nigerian VASPs is not the absence of documentation. It is the presence of documentation that has no operational reality behind it.

A well-written AML manual that describes transaction monitoring thresholds, alert investigation procedures, STR filing timelines, and staff training requirements is worse

than no manual at all if the transaction monitoring system generates alerts that sit in a queue for weeks, if STRs are filed months after the suspicious activity was identified, and if the last staff AML training session was conducted the day before the ARIP application was submitted and has not been repeated since.

Why does this happen? Because founding teams build the documentation under deadline pressure, for a licence application, for an investor due diligence process, for an NFIU registration, and then return to the work of building the product. The compliance infrastructure is treated as a one-time deliverable rather than an ongoing operational system. The manual is accurate on the day it is written. It becomes progressively less accurate with every month that passes without the procedures being tested against real transactions, real alerts, and real suspicious activity.

The NFIU's supervisory reviews do not assess documentation quality. They assess operational reality. An NFIU examination involves reviewing actual STR filing records, actual alert investigation logs, actual customer risk assessment histories, and actual staff training attendance records. A company that has beautiful documentation but cannot demonstrate that any of it has been operationalised will fail that examination regardless of the quality of its manual.

The Operational Test

Before any regulatory examination, test your AML programme against one simple question: if an examiner asked me to show them the last five suspicious transaction reports we filed, including the investigation notes that supported each filing, could I produce them within thirty minutes? If the answer is no — because the STRs have not been filed, because the investigation notes do not exist, or because the records are in a system that nobody knows how to access, your compliance programme has failed the operational test regardless of what your manual says.

The solution is not more documentation. It is operational cadence: a regular, calendar-based compliance cycle that makes AML activities routine rather than exceptional.

The minimum operational cadence for a Nigerian VASP compliance programme is:

Daily**Transaction alert review**

A designated compliance team member reviews all system-generated transaction monitoring alerts. Each alert is either cleared with documented reasoning or escalated to investigation. No alert sits unreviewed for more than 24 hours.

Weekly**PEP and sanctions re-screening**

The customer database is re-screened against updated PEP lists and sanctions lists. New matches are flagged for EDD review. Re-screening results are logged with timestamps.

Monthly**PEP register submission to NFIU**

The PEP register is submitted to the NFIU via the goAML portal, as required under NFIU guidelines. The submission record is retained for audit purposes.

Quarterly**Compliance training and AML/CFT testing**

All staff with customer-facing or transaction-processing roles complete AML/CFT training. Results and attendance are documented. The NFIU requires quarterly compliance training evidence.

Annually**Business-wide risk assessment review**

The Business-Wide Risk Assessment (BWRA) is reviewed and updated to reflect changes in the platform's product mix, customer demographics, transaction patterns, and regulatory environment. The updated BWRA is submitted to the NFIU as required.

Failure Two: The Onboarding KYC That Never Grows Up

The second structural failure is subtler and more technically demanding: building a KYC infrastructure that is excellent at onboarding and useless for everything that comes after.

Most Nigerian VASP KYC programmes are designed to answer one question: is this customer who they say they are at the moment they sign up? They collect the NIN, the BVN, the government-issued ID, the selfie, the address. They screen against sanctions and PEP lists at onboarding. They assign a risk tier. And then, in most cases, they do nothing further with the customer's risk profile until something goes wrong.

This is the onboarding KYC trap. It creates a compliance infrastructure that is excellent at the front door and blind everywhere else.

The practical problem is that financial crime patterns are dynamic. A customer who appears low-risk at onboarding may develop transaction behaviour six months later that is entirely inconsistent with their stated profile. A customer who was not a PEP at signup may become one when they are appointed to a public office. A customer whose address was in a low-risk jurisdiction may move to a FATF grey-listed country. A customer who transacted small amounts at onboarding may begin processing volumes that are entirely disproportionate to their stated income and business purpose.

Under the MLPPA 2022 and the NFIU's AML/CFT guidelines, the obligation for ongoing monitoring is explicit: financial institutions including VASPs must monitor customer transactions on a continuous basis, conduct periodic customer due diligence reviews, and update customer risk classifications when material changes occur. The re-screening obligation for PEPs and sanctions is ongoing, not a one-time onboarding check.

Compliance begins at onboarding. It does not end there. The customer you verified on day one is not necessarily the customer you are serving on day three hundred. Your compliance system must know the difference.

Building ongoing monitoring capability requires three specific infrastructure investments that most early-stage VASPs defer:

- 1. A customer risk profile that updates over time** — The customer risk tier assigned at onboarding should be a dynamic field, not a static one. Transaction volume, transaction frequency, counterparty patterns, geographic exposure, and product usage should all trigger automatic risk profile reviews when they breach configured thresholds. A customer who was tier-one at onboarding and tier-three by month six should have a documented audit trail of why and when the re-classification occurred.
- 2. A re-screening schedule with documented outcomes** — PEP and sanctions screening must occur at onboarding and at regular intervals thereafter. The minimum practical schedule is weekly re-screening for all active customers. The re-screening must produce documented results — not just a log that it occurred, but a record of what was checked against what list, at what time, and what the outcome was. This is the evidence that the NFIU examines.
- 3. A transaction-to-profile comparison mechanism** — The most consequential ongoing monitoring function is the comparison of actual transaction behaviour against the expected behaviour profile established at onboarding. A market trader who declared a monthly income of ₦200,000 and is processing ₦20 million per month six months later has a transaction pattern that is inconsistent with

their stated profile. The system must identify this automatically, trigger a review, and document the investigation outcome.

STRs must be filed immediately upon identifying suspicious activity, not after the suspicious activity has been fully investigated, and not after it has been confirmed as criminal. The obligation under the MLPPA 2022 is to file when you have grounds for suspicion. The NFIU's goAML portal accepts electronic STR submissions and the filing records are directly accessible to examiners. Failure to file an STR within the required timeframe after suspicious activity is identified is a separate and distinct compliance breach from the suspicious activity itself.

Failure Three: The Compliance Officer Who Is Not a Compliance Officer

The third structural failure is the most consequential because it is the one that no amount of documentation or technology can compensate for: the appointment of a compliance officer who does not have the knowledge, experience, or organisational authority to actually run an AML/CFT programme.

The pattern is consistent and recognisable. A co-founder with a legal background is given the compliance officer title because the licence application requires one. Or the company's accountant assumes responsibility for compliance because 'it's all regulatory stuff anyway.' Or a junior team member is appointed because they expressed interest and somebody needed to do it. The title is real. The expertise is not.

The consequences are predictable. AML/CFT compliance for a digital asset platform requires specific knowledge: of the MLPPA 2022's obligations, of the NFIU's reporting requirements and goAML portal, of transaction monitoring methodologies, of blockchain analytics tools, of the specific financial crime typologies relevant to Nigerian digital asset markets, and of how to conduct and document investigation of suspicious activity. A lawyer who has not been specifically trained in financial crime compliance does not have this knowledge. An accountant who has not worked in AML does not have it. A junior team member who took an online course does not have it.

The NFIU and SEC Nigeria both require that the compliance officer or Money Laundering Reporting Officer (MLRO) be a person of sufficient seniority, independence, and expertise to discharge their obligations effectively. The compliance officer must be registered on the goAML portal as the reporting entity's designated MLRO. The SEC requires that compliance officer appointments be approved before the individual assumes the role. Both requirements are designed to prevent the 'nominal compliance officer' problem — and both are enforced.

The Personal Liability Dimension

The MLPPA 2022 creates personal criminal liability for compliance officers who knowingly fail to report suspicious transactions. This is not a theoretical risk. An MLRO who is aware of suspicious activity and fails to file an STR, or who advises management to delay filing, faces fines and imprisonment. This liability does not attach to a competent professional who applies good judgment in difficult circumstances. It attaches to someone who lacks the knowledge to identify suspicious activity, the authority to act on it, or the integrity to report it despite management pressure. The compliance officer title is not ceremonial. It carries real legal consequences.

The minimum qualification standard for a Nigerian VASP's compliance officer is: demonstrated specific training in AML/CFT for financial services or digital assets (not general legal training), practical familiarity with the NFIU's goAML reporting system, understanding of the MLPPA 2022's obligations for VASPs, and sufficient organisational seniority to escalate concerns to the board without management interference. The Certified Cryptocurrency Compliance Specialist (3CS) certification, referenced in NFIU guidance, is one recognised pathway.

The Minimum Viable Compliance Stack

Having addressed the three structural failures, here is the minimum compliance infrastructure every Nigerian VASP must have operational before it begins serving customers:

1

NFIU registration on goAML portal

Register as a reporting entity on the NFIU's goAML portal. Submit the letter of introduction, CAC documents, industry regulator licence, compliance officer appointment evidence, and regulator

approval. This is a separate registration from your SEC ARIP application and must be completed independently.

2

Business-Wide Risk Assessment (BWRA)

Document your platform's specific money laundering and terrorist financing risks — the products you offer, the customers you serve, the geographies you operate in, and the transaction channels you support. This is not a generic template. It must reflect your specific risk profile. The NFIU examines it.

3

KYC tiering framework

Document your tiered KYC approach: what identity verification is required at each tier, what transaction limits apply to each tier, what triggers a tier upgrade, and what EDD requirements apply to high-risk customers and PEPs. Map this to NIN and BVN verification at minimum for Nigerian individuals.

4

Transaction monitoring system

Implement a configured transaction monitoring system with documented thresholds, alert types, and investigation workflows. The system must generate alerts. The alerts must be reviewed. The reviews must be documented.

5

Sanctions and PEP screening

Implement ongoing screening against OFAC, UN Security Council, EU, and Nigerian domestic designation lists. Screening must occur at onboarding and on a scheduled ongoing basis. Results must be logged.

6

STR and CTR filing capability

Establish your STR and CTR filing workflow on the goAML portal. Conduct a test filing before you begin live customer operations. ₦5 million cash equivalent for individuals, ₦10 million for corporate entities triggers a CTR. Suspicious activity triggers an STR immediately upon identification.

7

Record retention infrastructure

All customer identification records, transaction records, and compliance investigation records must be retained for a minimum of five years after the transaction or relationship ends. This must be in a format that is accessible, searchable, and demonstrably tamper-proof.



CHAPTER Sixteen

How to Engage a Regulator Before They Engage You

“The regulator who knows your name is never the regulator you are afraid of.”

— Chimezie Chuta

In 1997, the Rwandan government convened a gathering of central bank officials from across Africa to examine the emerging phenomenon of mobile money and its implications for monetary policy. One of the directors in attendance, a senior CBN official I met years later, at a training I facilitated in Kigali in 2023, made a remark that has stayed with me since the day he made it.

We had been discussing Nigeria’s relationship with cryptocurrency, and I had raised the observation that many in the industry felt the CBN had failed to regulate the space. He replied, with complete composure: “Not regulating crypto is our regulation.”

I was, in his word, dumbfounded. And then, slowly, I understood.

What he was describing was not negligence or avoidance. It was a deliberate institutional posture: the decision not to provide a framework is itself a framework. It signals risk. It creates deterrence. It preserves optionality for the institution while imposing compliance costs on the market. Regulators who do not yet understand a technology make a rational choice to withhold blessing rather than risk validating something they cannot yet supervise.

The implication for founders is direct and consequential: the regulator’s silence is not an invitation. It is a signal of institutional uncertainty, and the founders who respond to that uncertainty by helping the regulator understand what they are doing, rather than by treating the silence as permission, are the ones who build productive relationships before the framework arrives.

This chapter is about how to do that.

The Psychology of the First Engagement

Three things are true about Nigerian regulators in a first engagement with a digital asset founder, and understanding all three simultaneously is what determines whether the meeting produces a relationship or a file.

First: they are not in a hurry to regulate and they have accepted that innovation must outpace the regulatory response. This is not resignation, it is pragmatism. Regulators who have watched the Nigerian market long enough understand that the ecosystem will evolve faster than any framework can anticipate. The founders who acknowledge this reality, who do not present their product as something the regulator must immediately understand and approve, but as something the regulator can learn about over time through engagement, are received with more openness than the founders who arrive with a deck designed to compress a licensing conversation into a single meeting.

Second: regulators carry institutional memory of every bad actor who occupied your product category before you. Every exchange that collapsed. Every P2P platform that was used for forex manipulation. Every token sale that turned out to be a Ponzi scheme. Every founder who promised compliance and delivered chaos. That memory is present in the room before you open your mouth. Your job in the first engagement is not to prove your product works. It is to create sufficient distance from that history, through your seriousness of purpose, your preparation, and your willingness to acknowledge the legitimate concerns that produced it, before any substantive conversation can happen.

Third: the first meeting is almost never about the subject on the agenda. It is about whether a productive relationship is possible at all. The regulator is assessing you personally: Are you credible? Are you here for the long term? Do you understand what they are responsible for? Are you the kind of founder who will still be operating compliantly in two years, or the kind who will find a workaround the moment the regulatory inconvenience becomes commercially significant? The founder who treats the first meeting as a relationship-building exercise, who asks more questions than they answer, who listens more than they present, and who leaves without closing any asks, almost always leaves with more than the one who arrives with a pitch.

The most valuable thing that came from my call to the CBN the day the 2021 circular dropped was not information. It was the continuation of a relationship that had been built over four years of showing up, being credible, and asking more questions than I answered. That relationship was the reason the call was answered.

Building the Relationship: The Four-Stage Framework

Productive regulator relationships in Nigeria are not built in single meetings. They are built over time, through a sequence of engagements that each add a layer of trust, familiarity, and credibility. The four stages below describe this sequence for the relationship with SEC Nigeria, the CBN, and the NFIU, the three most consequential regulatory relationships for most Nigerian digital asset founders.

Stage 1. Establish your institutional credibility before seeking any engagement — Before approaching a regulator directly, ensure your institutional footprint is visible and credible. This means being active in industry bodies, BNUG, FintechNGR, BiCON, that have established credibility with the relevant regulators. Regulators check. A founder who claims to represent a significant digital asset business but who has no visible presence in the industry's organised structures starts from a weaker position than one whose name is already known through legitimate industry participation. Your credibility is partly borrowed from the organisations whose spaces you occupy.

Stage 2. Make your first contact informational, not transactional — The first formal engagement with a regulator should have no ask. It should be an introduction, a brief, well-prepared request to present your business and your understanding of the regulatory landscape to the relevant department, with the explicit framing that you are seeking to understand the Commission's perspective on your product category, not to request any specific action. This framing is not manipulative. It is honest: you genuinely need to understand the regulator's view before you can design a compliant product. And it positions you as a cooperative actor rather than a supplicant.

Stage 3. Demonstrate consistency before making substantive requests — Between your first informational engagement and any substantive request, for a pre-screening conversation, for ARIP application guidance, for informal comment on a product structure, maintain a visible presence in the industry dialogue. File your NFIU registration. Participate in consultation processes. Submit written comments on exposure drafts. Attend the workshops and training sessions that regulators host. The pattern you are building is one of consistent engagement and institutional seriousness. This pattern is what the regulator checks when your substantive request arrives.

Stage 4. Make the substantive ask precisely and in writing — When you are ready to make a substantive request, a pre-screening meeting, an informal product classification opinion, a request for

sandbox consideration, make it in writing, with precision. Describe your product clearly. Identify the specific regulatory question you are seeking to discuss. Reference the relevant provisions of ISA 2025 or the SEC Digital Asset Rules. Propose a specific agenda and timeframe for the meeting. A precise, well-written request demonstrates competence and respect for the official's time. It also creates a paper trail of your good-faith engagement that becomes relevant if the regulatory relationship ever becomes adversarial.

The Regulator Meeting: What To Do and What Not To Do

The practical mechanics of a regulatory meeting with the CBN, SEC Nigeria, or NFIU deserve specific attention, because the behavioural mistakes founders make in these meetings are consistent and preventable.

What to do:

- Arrive with a one-page briefing document that the official can keep. It should contain your company name, product description, regulatory classification question, and the specific topics you would like to cover. This document does two things: it demonstrates preparation, and it gives the official something tangible after the meeting that will not be lost in the follow-up email chain.
- Open the meeting by acknowledging the regulator's mandate and the legitimacy of their concern about your product category. Explicitly. This is not flattery. It is an acknowledgement that creates the collaborative frame in which productive conversation is possible.
- Ask about the regulator's current priorities and concerns in your product area before presenting your own views. The intelligence this produces is worth more than any answer you could give to a question that has not been asked.
- Leave time for informal conversation at the end of the formal agenda. This is where relationships are built. The official who has been formal throughout the meeting may be significantly more forthcoming about the institution's actual thinking once the agenda is finished.

What not to do:

- Do not use language that implies the regulator has failed by not yet having a framework for your product. 'There's a regulatory gap here' translates in many officials' ears as 'you are behind and I am here to help you catch up.' Frame the absence of a specific framework as an opportunity for collaborative development, not an oversight.
- Do not over-present. A sixty-slide deck for a first regulatory meeting is not preparation. It is intimidation. Five slides or a single-page document is almost always more effective.

- Do not make commitments you cannot keep. If you say you will submit a product paper within two weeks, submit it within two weeks. The regulatory relationship is built on every interaction, and a missed commitment in a low-stakes context creates doubt about your reliability in high-stakes ones.
- Do not bring your lawyer to the first meeting. A lawyer's presence signals adversarial framing, that you are there to protect your position rather than build a relationship. Bring your lawyer when the relationship has matured to the point where specific legal questions are on the table.

When the Regulator Engages You First

Everything in this chapter to this point has been about proactive engagement, building the relationship before the regulator initiates contact. But what happens when the contact comes from the other direction?

The principles are the same, applied under different time pressure. The regulator who sends you a letter, issues a query, or calls for a meeting has already formed a preliminary view of your business. Your job in the first response is to provide sufficient reassurance that the preliminary view is either wrong or incomplete, and to do so in a way that opens a dialogue rather than closing one.

The specific failure modes in this scenario are addressed in detail in Chapter Nineteen. The principle to carry from this chapter is: the quality of the relationship you have built before the regulator's contact determines almost entirely how that contact goes. A founder who has filed their NFIU registration, initiated the ARIP process, maintained visible industry participation, and has a documented history of good-faith engagement is a different subject of regulatory inquiry from a founder who is entirely unknown to the relevant institutions when the letter arrives.

The Relationship Investment Calculation

Every hour you invest in building regulatory relationships before you need them is worth approximately ten hours of crisis management after a regulatory notice arrives. This is not a metaphor. It is the observed ratio in every regulatory crisis I have seen managed well versus poorly. The founders who have relationships walk into the regulator's office when the letter comes. The founders who do not send a lawyer and wait three weeks for a response.



CHAPTER Seventeen

Using the Innovation Sandbox as a Launch Strategy

“The sandbox does not exist to protect you from regulation. It exists to put you inside the regulatory conversation at the moment when the conversation is most open to influence.”

— Chimezie Chuta

Most founders approach the SEC Nigeria ARIP framework and the CBN's Regulatory Sandbox as compliance mechanisms, pathways to obtain permission to operate that must be navigated as efficiently as possible before getting on with the real business of building and growing.

This framing misses everything valuable about the sandbox.

The sandbox is not a waiting room. It is the most strategically productive environment a Nigerian digital asset company can occupy in its first twelve months of regulated operation. The founders who understand this, and who use the sandbox with strategic intentionality rather than treating it as a necessary bureaucratic obstacle, emerge from it with advantages that are not available to any other market participant.

Four specific advantages. All of them real. All of them time-limited.

The Intelligence Advantage

The twelve months inside the ARIP sandbox give you something that no market research, no industry report, and no legal opinion can provide: direct access to the regulatory thinking of the institution that will govern your market for the foreseeable future.

During the AIP period, you receive feedback on your product design, your compliance infrastructure, and your operational practices from the Commission's technical staff, the people who are simultaneously developing the permanent regulatory framework. The questions they ask, the concerns they flag, the additional documentation they request, all

of it is intelligence about the direction of regulatory travel that your unlicensed competitors do not have.

A founder who pays careful attention to the nature of the Commission's queries during the AIP period, and who understands them as signals of the framework's emerging priorities rather than mere administrative requests, will emerge from the sandbox with a structural product advantage. Their compliance infrastructure will be calibrated to the Commission's actual concerns, not to a general reading of the published rules. Their product design will have been tested against regulatory scrutiny and adjusted accordingly. Their permanent licence application will be a formality, not a negotiation.

The Intelligence Practice

Keep a detailed log of every formal and informal communication from the Commission during your AIP period. Every query. Every comment on your quarterly reports. Every informal observation from the Commission's technical staff. Review this log quarterly and ask: what pattern of concern is this revealing? What does it tell me about what the permanent framework will emphasise? Then adjust your product and compliance architecture accordingly, before the permanent framework makes adjustment mandatory.

The Relationship Asymmetry Advantage

The sandbox creates the most asymmetric relationship in the Nigerian digital asset market, and most founders squander it.

During the AIP period, the Commission wants you to succeed. Not because of any particular affection for your specific business, but because the ARIP programme's credibility depends on producing functioning, compliant, licensed operators. A successful ARIP graduate who transitions to full SEC registration is evidence that the programme works. A failed AIP holder who cannot demonstrate operational compliance is a problem for the Commission as much as for the company.

This creates an unusual dynamic: the regulator's interests and the founder's interests are aligned in a way that they are at no other point in the regulatory relationship. The Commission's technical staff are genuinely available during the AIP period to answer questions, provide informal guidance, and help the company understand what the

Commission's expectations actually mean in operational terms. This availability is not available to unlicensed operators or to companies that have not yet entered the ARIP process. It is exclusively available to AIP holders, and it expires when the AIP period ends.

The founders who extract maximum value from this asymmetry are the ones who ask substantive questions early, who request informal guidance on specific compliance scenarios, and who treat the Commission's technical staff as partners in building an operationally sound compliance programme rather than as assessors to be managed at arm's length.

The Market Signal Advantage

The ARIP approval letter is not a licence. But it is the most credible market signal available to an early-stage Nigerian digital asset company, and it is worth significantly more to your institutional relationships than most founders realise.

For institutional investors considering a Nigerian digital asset investment, the ARIP approval answers the most consequential due diligence question: is this company operating legally? The answer 'yes, under SEC Nigeria's ARIP framework' transforms the risk profile of the investment. Without it, an institutional investor must either conduct their own regulatory analysis of the company's compliance status (expensive, slow) or accept a risk that most institutional mandates explicitly prohibit. With it, the question is answered before it is asked.

For banking partners, the ARIP approval is the CBN's indirect signal that the company can be served. The CBN's 2023 VASP guidelines allow banks to open naira accounts for SEC-licensed digital asset companies. Without the ARIP approval, you cannot access this guidance. With it, your banking conversations transform from 'we cannot service your type of business' to 'what are your KYC documents?'

For business development partnerships with regulated entities, banks, insurance companies, payment processors, the ARIP approval answers the compliance team's question before the commercial team has finished their pitch. Regulated entities cannot

partner with unregulated ones without a regulatory analysis of the risks. The ARIP approval short-circuits this analysis.

The Compliance Proof Advantage

The fourth and most durable advantage of the sandbox is the one that founders least expect: the ARIP process proves that your compliance infrastructure works, under real conditions, before the permanent licence assessment requires it to.

The twelve months of the AIP period are a live test of your KYC programme, your transaction monitoring system, your STR filing capability, your PEP screening, your record retention, and your governance. Real customers. Real transactions. Real alerts. Real filings. The Commission observes all of it, through your quarterly reports, your audit submissions, and its periodic examinations.

The founders who enter the full registration assessment with twelve months of documented, operational, Commission-observed compliance history are in a categorically different position from those who construct a compliance system in the month before their application. The former has evidence. The latter has assertions.

The sandbox is not a shortcut to a licence. It is the most direct path to a licence that cannot be challenged. Every month of documented, observed compliance during the AIP period is a month of unimpeachable evidence that your programme works.

A practical note on the CBN's Regulatory Sandbox, which is distinct from the SEC's ARIP but serves complementary purposes for payment and banking-adjacent digital products. The CBN sandbox is designed for payment innovation, open banking applications, and financial inclusion products rather than specifically for digital asset securities. For founders whose product straddles both domains, as most stablecoin and payment-integrated digital asset products do, engagement with both sandboxes simultaneously is not merely permitted but strategically valuable. The two regulatory relationships reinforce each other, and the CBN's sandbox engagement creates exactly the

kind of visibility that supports the CBN's eventual relaxation of restrictions for your product category.

The Sandbox Application: What Gets You In

The ARIP initial assessment requires four core components, each of which is assessed for quality and completeness before a processing fee is accepted and the formal review begins.

- **Available from the SEC's website. Complete every field. The questions about corporate structure, product description, and intended regulatory category are the foundation of the Commission's classification assessment.** The Initial Assessment Form
- **As described in Chapter Eleven — a technical and legal disclosure document, not a marketing document. It must address product architecture, token economics if applicable, AML/CFT framework, investor risk factors, and the legal basis for the regulatory classification you are claiming.** The Draft White Paper
- **CAC Certificate of Incorporation, proof of paid-up capital at the minimum required level for your category, and documentation of the source of that capital.** Evidence of Nigerian incorporation and capitalisation
- **Evidence that you have appointed a qualified compliance officer or MLRO and that they have been registered on the NFIU's goAML portal as the entity's reporting officer.** Compliance officer appointment documentation

The Timing Strategy

The optimal timing for an ARIP application is when you have completed your product design, established your corporate structure, deposited your minimum capital, appointed your compliance officer, and initiated but not launched customer operations. Applying before you are operationally ready creates the risk of failing the AIP period's compliance demonstrations. Waiting until you are already serving customers without authorisation creates unnecessary regulatory exposure. The sweet spot is: product built, compliance infrastructure deployed, capital in place, ready to launch under regulatory oversight rather than before it.



CHAPTER Eighteen

Compliance-First Product Architecture: Building It Right From Day One

“The compliance debt you accumulate in your first six months of development will compound for years. The founders who build it right the first time do not pay that debt. They invest that capital in growth instead.”

— Chimezie Chuta

This chapter is written specifically for the technical founder: the CEO who is also the lead engineer, the CTO who makes the architecture decisions, the product manager who specifies the data model, and the developer who will live with the structural choices made in the next six months for the next six years.

The compliance failures described in Chapter Fifteen are mostly operational failures, programmes that existed but were not followed. The failures described in this chapter are architectural ones: products that were built in ways that make meaningful compliance structurally impossible, or possible only at the cost of a complete rebuild.

These failures are more expensive to fix than operational ones, because they are embedded in the codebase. And they are made earlier, in the product's first months, when the founding team is moving fast and the pressure to ship overrides the discipline to build correctly.

Four architecture decisions define whether compliance can be built in or must be rebuilt. All four of them from your answers. All four of them foundational.

Architecture Decision One: The Identity and KYC Data Model

The most consequential single architecture decision a Nigerian digital asset platform makes in its first six months is how it structures user identity data.

The temptation is to build the simplest identity model that gets customers onboarded: collect the NIN and BVN, run a verification API call, store a pass/fail result, and move on.

This is the minimum viable KYC approach, and it is adequate for one thing only: onboarding a customer on day one. It is inadequate for everything the MLPPA 2022, the NFIU guidelines, and the SEC's ongoing monitoring requirements will eventually ask of you.

A compliance-first KYC data model has seven properties that the minimum viable approach lacks:

- 1. Versioned identity records** — Every change to a customer's identity data, new ID document, updated address, changed name, revised risk tier, is stored as a new version rather than an overwrite of the existing record. The audit trail of what was known about a customer at every point in time is essential for regulatory review and cannot be reconstructed from a model that only stores the current state.
- 2. Linked risk classification history** — The customer's risk tier is a field in the data model, but so is the history of every tier change, including when it changed, who authorised the change, and what triggered it. An NFIU examiner can ask: when did this customer's risk tier change and why? Your data model must be able to answer that question from its own records.
- 3. Embedded screening results with timestamps** — Each sanctions and PEP screening run for each customer is stored as a discrete record: which lists were checked, at what time, with what result. Not a single 'screened' flag. A complete screening history that demonstrates ongoing monitoring rather than a one-time onboarding check.
- 4. Transaction-to-profile linkage** — Every transaction is linked to the customer's identity record and risk profile at the time of the transaction, not just to a customer ID. When a transaction is reviewed six months later, it must be possible to reconstruct what the customer's declared income was, what their risk tier was, and what their expected transaction profile was at the moment the transaction occurred. This context is essential for meaningful transaction monitoring.
- 5. EDD documentation storage** — Enhanced due diligence documentation, source of funds declarations, source of wealth evidence, PEP relationship documentation, is stored with direct linkage to the customer record, with document provenance and review date recorded.
- 6. Relationship manager and compliance override records** — Every manual override of a system-generated risk decision, a compliance officer approving a customer that the system flagged, a relationship manager requesting an EDD waiver, is logged with the identity of the person who made the override, the reason stated, and the date. This creates the accountability trail that protects compliant overrides and exposes non-compliant ones.
- 7. Regulatory reporting extracts** — The data model is designed from the outset to generate the specific extract formats required by the NFIU's goAML portal, the SEC's periodic reporting

requirements, and the CBN's VASP guidelines. Not 'we can export to CSV and format it later.' Structured, field-mapped extracts that match the regulator's ingestion format.

Architecture Decision Two: The Transaction Data Architecture

The second foundational architecture decision is how transactions are recorded — specifically, whether each transaction record contains the metadata necessary for AML monitoring or only the data necessary to process the payment.

A transaction record built purely for settlement contains: sender ID, receiver ID, amount, currency, timestamp, and status. This is sufficient for processing. It is insufficient for compliance.

A transaction record built for compliance contains all of the above, plus: the wallet addresses involved on both sides of the transaction (for any on-chain element), the counterparty VASP if the transaction involves a transfer to another platform, the source of funds declaration or inference for transactions above defined thresholds, the risk score applied to the transaction at the time of processing, the monitoring alert (if any) generated by the transaction, and the outcome of any investigation of that alert.

The difference between these two architectures is invisible at transaction volume of ten per day. It becomes critically consequential at ten thousand per day — which is not an ambitious scale for a Nigerian digital asset exchange in its second year of operation. A transaction monitoring system that must retroactively match transaction records to customer risk profiles and wallet address data because the original transaction record did not contain them is not a monitoring system. It is a reporting system that happens three months late, at enormous cost, for regulators who expected it three months ago.

The Retroactive Monitoring Trap

The NFIU's goAML platform and the CBN's supervisory framework both expect that STRs are filed when suspicious activity is identified, not when a data extraction exercise eventually produces the metadata needed to identify it. A transaction monitoring architecture that requires manual data joining to generate monitoring outputs is not a monitoring architecture. It is a reporting architecture that will, under examination, demonstrate that genuine real-time monitoring was not occurring.

Architecture Decision Three: The Audit Trail

The third architecture decision determines whether your compliance programme is auditable, and therefore whether it can withstand regulatory scrutiny at all.

Regulators do not simply check whether compliance occurred. They check whether there is evidence that compliance occurred, created at the time it occurred, by the people responsible for it, in a form that cannot be retrospectively altered.

This is a specific technical requirement, not a general documentation aspiration. It means:

- **Every material compliance action — KYC approval decision, transaction alert disposition, STR filing, PEP screening result, compliance override, is written to an append-only log. The log cannot be edited. Previous entries cannot be deleted. The logging infrastructure is separate from the application infrastructure, so that a change to the application does not alter historical log entries.**
Immutable logging
- **Every log entry carries a UTC timestamp. The NFIU's requirements reference specific filing timelines, STR filing within a defined period of suspicious activity identification, CTR filing for transactions above threshold amounts. These timelines are meaningless if the log timestamps cannot be trusted.** Timestamped with UTC precision
- **Every log entry identifies the human or system actor that created it. Not a generic 'system' or 'admin' identifier. A specific user ID, compliance officer ID, or automated process identifier that can be linked to a specific person at a specific point in time.** Actor identification
- **The compliance log is not accessible for deletion or modification by any user, including technical administrators. It is retained for a minimum of five years after the last relevant transaction. Access for read is controlled and itself logged.** Access-controlled and retained

The practical implementation of this requirement does not require exotic technology. A cloud-hosted, append-only logging database, AWS CloudTrail, Google Cloud Logging, or a dedicated compliance logging service, with access controls and a five-year retention policy satisfies the requirement. The cost is negligible. The regulatory exposure of not having it is significant.

Architecture Decision Four: The Regulatory Reporting Pipeline

The fourth architecture decision is the one most directly tied to operational compliance: whether your system can generate regulatory reports in the formats that regulators require, without a manual data extraction exercise that takes days and introduces transcription errors.

Nigerian VASPs have four primary reporting obligations that require systematic data extraction: STR filing with the NFIU (event-triggered), CTR filing with the NFIU (transaction-threshold-triggered), the PEP Register submission (monthly), and the Annual Testing for adequacy of AML/CFT Compliance (annually). Each has a specific format — the NFIU's goAML portal has defined data schemas for STR and CTR submissions. Each has a defined timeline.

A reporting pipeline is not a reporting button. It is the infrastructure that continuously extracts, validates, and formats compliance data against these schemas, so that when a reportable event occurs, the report can be generated and filed within the required timeline without a manual effort that risks missing the deadline.

The compliance programme that requires a data analyst to spend three days extracting data every time a report is due is not a compliance programme. It is a compliance aspiration with a recurring data problem.

The minimum viable reporting pipeline for a Nigerian VASP consists of: a configured connection between the transaction monitoring system and the goAML portal's submission interface; automated generation of PEP register extracts in the NFIU's required format; a monthly reporting checklist that triggers automatically and is owned by the compliance officer; and a documented exception process for the rare cases where automated extraction fails.

The Architecture Audit

Before your platform serves its first customer, conduct an architecture audit against the four dimensions described in this chapter. The audit is not a compliance exercise — it is an engineering exercise. Its output is a prioritised list of the gaps between your current

architecture and a compliance-first architecture, with implementation timelines and owners for each gap.

The gaps that can be closed before launch should be closed. The gaps that require more development time should be documented, with a completion timeline, and disclosed to the Commission in your ARIP application as known gaps with a remediation plan. Regulators respond better to a founder who says ‘this component is not yet built, here is when it will be’ than to a founder who says it is built when it is not.

The Engineering Investment Calculation

Building the compliance-first architecture described in this chapter adds approximately two to four weeks of engineering time to a product build. Retrofitting these four components onto a product that was built without them takes, on average, four to eight months — and requires rebuilding significant portions of the data model, the transaction processing layer, and the logging infrastructure. The two-to-four week investment is not a compliance cost. It is the most efficient engineering decision the founding team will ever make.



CHAPTER Nineteen

When Things Go Wrong: Responding to Regulatory Action

“The difference between a regulatory matter that resolves in three months and one that consumes three years is almost always determined in the first seventy-two hours.”

— Chimezie Chuta

This chapter is the one you hope you never need.

It is also the one that, if your business operates long enough in a regulated market, you will eventually need, because regulatory contact is not a function of wrongdoing. It is a function of operating in a supervised market. The exchange that is doing everything right still receives periodic information requests. The custody platform with the cleanest compliance programme still faces occasional NFIU queries about specific transactions. The most well-governed VASP on the ARIP register still has its quarterly reports reviewed and its operational practices assessed.

Regulatory contact becomes a regulatory crisis not because of the contact itself, but because of how the first seventy-two hours are handled. This chapter gives you the framework for handling them correctly.

The Three Mistakes That Turn Administrative Matters Into Crises

From your answers to the questions that shaped this chapter, three specific failure modes recur when Nigerian digital asset founders receive a regulatory notice. Each of them transforms a manageable administrative matter into something categorically more serious. And each of them is entirely preventable.

Mistake One: The Wrong Lawyer at the Wrong Moment

The instinct to call a lawyer when you receive a regulatory notice is correct. The question is which lawyer, and most founders get this wrong in a way that creates damage that the right lawyer must subsequently spend months undoing.

The corporate lawyer who handled your CAC registration knows Nigerian company law. The solicitor who reviewed your commercial contracts knows contract law. Neither of them knows how SEC Nigeria's enforcement process actually works, what the Commission's standard escalation sequence looks like, what language in an initial response signals cooperation versus confrontation to the reviewing officer, or what informal engagement is possible before a formal response is filed.

The wrong lawyer's first instinct is to write a formal, legalistic response that establishes the company's legal position, asserts its rights, and requests an extension of the response deadline. This response, however well-intentioned, arrives at the Commission's offices as a signal of confrontation. It triggers a more formal review process than might otherwise have occurred. It closes informal dialogue options that were available before the letter arrived. And it typically delays a resolution that a more collaborative initial response would have accelerated.

The regulatory notice that could have been resolved with a phone call and a four-page response memo becomes a six-month formal inquiry when it is answered with a twelve-page letter from a lawyer the Commission has never heard of, asserting positions the Commission did not ask about.

The right response is to identify, immediately, a practitioner who has specific experience in SEC Nigeria digital asset enforcement matters, or, if the notice is from the CBN or NFIU, in CBN or NFIU regulatory matters respectively. This practitioner's first action should be not to write a response but to make a phone call: to the relevant department, to establish the nature of the inquiry, the seriousness with which it is being treated internally, and the timeline for resolution that the Commission is working with. This conversation — which is available to someone with the right relationships and entirely unavailable to a cold-calling generalist lawyer, determines the appropriate tone and content of the written response.

Mistake Two: The Internal Communication Cascade

The second mistake is initiating an internal communication cascade, informing investors, co-founders, board members, senior staff, and in some cases advisors and partners, before the situation has been assessed and its significance understood.

The psychology is understandable. A regulatory notice feels like an existential event, and the instinct is to bring your key stakeholders into awareness immediately. But the practical effect of this communication, in most cases, is to create a set of secondary problems that are more damaging than the original regulatory inquiry.

Investors who learn about a regulatory notice before the founder has assessed it will form their own preliminary assessment, almost always more alarming than the reality — and may make decisions (withdrawing from a funding round, consulting their own lawyers, discussing it with other portfolio company founders) that become independently consequential. Board members who learn about it through informal channels rather than a considered briefing will have questions the founder cannot yet answer, creating a governance crisis on top of a regulatory one. Staff who learn about it through rumour will have conversations with each other, with partners, and potentially with the press that cannot be recalled.

The discipline required in the first twenty-four hours is to contain the information to the absolute minimum group necessary to begin the assessment: the founding CEO, the company's most senior compliance resource, and, as soon as identified, the specialist regulatory practitioner. No broader communication until the assessment is complete and the response strategy is determined.

The Confidentiality Obligation

The MLPPA 2022's tipping-off prohibition — which criminalises informing a customer that an STR has been filed about them — is one dimension of a broader principle: regulatory matters should not be communicated beyond those who need to know, particularly before the regulator has made its own communications. A founder who discusses a pending SEC enforcement matter publicly, or who discloses it to third parties who are not parties to it, risks creating both legal liability and regulatory complications that did not exist in the original matter.

Mistake Three: Fixing the Problem Before Responding to the Regulator

The third and most consequential mistake is the decision to go dark, to stop communicating with the regulator while you fix the underlying problem that the notice identified, and to resurface weeks or months later with a solution that you hope will make the original inquiry irrelevant.

This approach is based on a logical fallacy: that a regulator who asked about a compliance gap will be satisfied by evidence that the gap has been closed, if the evidence arrives after the response deadline has passed without any communication.

What actually happens is: the regulator's administrative matter becomes an enforcement matter, because the failure to respond within the stipulated deadline is itself a regulatory breach, separate from and additional to whatever gave rise to the original inquiry. The Commission's internal file now contains not one compliance concern but two: the original matter and the non-response. The informal resolution options that were available in the first two weeks are no longer available. The reviewing officer, who may have been disposed toward a collaborative resolution initially, is now managing a case that has escalated to enforcement status.

The correct approach is to respond within the deadline, acknowledging the inquiry and providing whatever information is immediately available, while simultaneously beginning the work of addressing the underlying issue. The response does not need to be a complete solution. It needs to demonstrate engagement, acknowledge the Commission's concern, provide a timeline for full remediation, and establish the basis for a continuing dialogue.

The 72-Hour Response Framework

The first seventy-two hours after a regulatory notice arrives determine the trajectory of everything that follows. Here is the framework for using them correctly:

0–6 Hours

Read, assess, do not react

Read the notice carefully. Identify: which regulator sent it, which department, what it is asking for, what the response deadline is, and what the maximum escalation risk is if you do nothing. Do not call your board. Do not call your investors. Do not draft a response. Assess.

6–12 Hours

Identify your specialist practitioner

Contact a practitioner with specific, demonstrable experience in matters from the relevant regulator. Not your general corporate lawyer. Ask specifically: have you handled SEC Nigeria digital asset enforcement inquiries before? CBN VASP matters? NFIU compliance reviews? If the answer is no, find someone whose answer is yes.

12–24 Hours

Informal assessment call

Your specialist practitioner makes an informal contact with the relevant department to understand the nature and status of the inquiry. This is a relationship call, not a legal one. Its purpose is intelligence: how serious is this internally? What prompted it? Is there a specific transaction or practice that triggered it? What does the Commission expect in the response?

24–48 Hours

Internal assessment and response strategy

With the intelligence from the informal contact, assess the underlying issue honestly. Is the Commission's concern valid? What is the actual compliance gap, if any? What can be remediated quickly and what requires more time? Determine your response strategy: acknowledgment only, partial response with remediation timeline, or substantive full response.

48–72 Hours

Acknowledgment filing if deadline permits

If the response deadline is within seven days, file an acknowledgment response that: confirms receipt of the notice, identifies your company and its regulatory status, confirms the name and contact of your designated specialist practitioner, and provides a specific date for the substantive response. This communication preserves goodwill and stops the clock on the escalation risk while you prepare the substantive response.

Day 4–7**Substantive response**

File your substantive response. Address every specific question in the notice. Acknowledge any compliance gap honestly but constructively, not defensively. Provide a specific, credible remediation timeline for any gap identified. Close with a clear request for a meeting to discuss the matter further if appropriate. Do not assert legal positions. Do not deny facts that are documented. Do not promise remediation that you cannot deliver in the stated timeframe.

When the Matter Escalates: Account Freezes and Formal Enforcement

The framework above addresses the most common form of regulatory contact: an administrative inquiry or information request. More serious regulatory actions, account freezes, formal enforcement notices, licence suspension, or EFCC involvement, require immediate specialist legal counsel and a different operational posture.

Three principles apply in all escalated regulatory matters:

- 1. Segregate client funds immediately** — If your platform holds client funds and you receive any indication of pending enforcement action, immediately verify the segregation of those funds from operational funds and document that segregation. Client fund protection is your first and highest obligation in any enforcement scenario. It also demonstrates good faith to the regulator — a company that protects its clients' assets under regulatory pressure is treated differently from one that does not.
- 2. Appoint specialist external counsel immediately** — Escalated enforcement matters require a specialist in Nigerian capital markets or financial services enforcement law. This counsel should have an existing relationship with the relevant regulatory institution. They are not retained to fight the regulator. They are retained to negotiate the most orderly and client-protective resolution of the matter.
- 3. Communicate with the regulator, not around them** — Every material development in the enforcement matter should be communicated to the regulator first or simultaneously — not disclosed to investors, press, or partners before the regulator is aware. A company that maintains transparent communication with the regulator during an enforcement matter is consistently treated with more latitude than one that manages its public communications first and its regulatory communications second.

The Recovery Arc: Getting Back to Good Standing

Every regulatory crisis that resolves correctly produces, at its conclusion, a company that is in better regulatory standing than it was before the matter arose. This is not optimism, it is a structural observation about how Nigerian regulatory relationships work.

A company that receives a regulatory inquiry, responds promptly and honestly, acknowledges any compliance gaps, remediates them within the stated timeline, and maintains transparent communication throughout the process has demonstrated, under real conditions, the compliance culture and institutional trustworthiness that regulators most value. The file that the Commission closes at the end of the matter contains not just a record of the compliance gap but a record of how it was addressed. That record is the foundation of the next regulatory interaction.

Emeka's story from Chapter One ends here, in a way. The nine months he spent navigating the SEC Nigeria engagement produced not just a compliant platform but a compliance culture, a set of practices, relationships, and institutional instincts that the pre-letter version of his company did not have. The letter that felt like the end of his project was, in retrospect, the beginning of the version of his company that could actually sustain itself.

Regulatory crises do not end businesses that are genuinely building something valuable. They reveal whether the compliance infrastructure is real or performed. The businesses that are revealed to be genuinely compliant emerge from the crisis in better standing than they entered it.

That is the last lesson of Part Four, and the one I most want founders to carry into Part Five: the practice of compliance is not a cost of doing business in a regulated market. It is the foundation of the business itself. The founders who understand this do not dread regulatory contact. They are simply prepared for it, and readiness, in regulated markets, is the closest thing to invulnerability that exists.



Part Five

The Future

Where This Is All Going and How to Stay Ahead of It

Every chapter in this book to this point has been grounded in the present: in the regulations that exist today, the institutions that are active now, the compliance obligations that are currently in force. Part Five moves deliberately into the future, not to speculate, but to give you the analytical tools to see it clearly before it arrives.

Three chapters. Each one addresses a different time horizon.

Chapter Twenty looks at programmable money and the eNaira, a technology that is already here, whose implications are still being worked out, and whose most important consequences for founders are different from what the public narrative suggests. Chapter Twenty-One looks at pan-African digital trade and the long-arc question of continental regulatory convergence; what is real, what is overstated, and where the builder's opportunity actually lies. Chapter Twenty-Two is the chapter that earns its place in every edition of this book, regardless of how much the specific regulatory landscape changes: a framework for reasoning about rules that have not yet been written, that gives you the analytical capability to navigate regulatory evolution without a guide.

Part Five does not end the book with an answer. It ends it with a capability. The regulations described in this book will change. The institutions will evolve. The markets will shift. What will not change, what no regulatory reform can obsolete, is the ability to read the signals early, reason from first principles, and build in a way that is always one step ahead of the framework.

That is what Part Five is about.

CHAPTER Twenty

CBDCs, the eNaira, and What Programmable Money Means for Your Business

“The most important lesson the eNaira teaches is not about the eNaira. It is about what happens when a technology outruns the institution trying to deploy it.”

— Chimezie Chuta

In November 2025, at the Cedi@60 International Currency Conference in Accra, Musa Itopa Jimoha — the Director of Payment Systems at the Central Bank of Nigeria, the same official who signed the 2021 circular that the market called a crypto ban, the man I called the morning that circular arrived, stood at a podium and said, plainly and on the record, that the eNaira was not a “rosy story.”

He described how Nigerians were not interested in the eNaira. He noted that the CBN had not been prepared to function as a retail bank. He acknowledged that the market had already been providing solutions that the eNaira was designed to enable. And he announced that the CBN was shifting its CBDC focus from retail to wholesale, from a product for ordinary Nigerians to an infrastructure for inter-institutional settlement.

This admission, by a senior CBN official at an international conference, is not a story of failure. It is one of the most instructive episodes in the history of African digital finance. And its implications for founders building in this market are precisely the opposite of what the surface reading suggests.

The eNaira: What the Numbers Actually Say

By the end of 2024, the eNaira represented approximately 0.36 percent of total currency in circulation in Nigeria. Despite more than three years of operation, 98.5 percent of registered wallets had never been used. Of the roughly 900,000 wallets opened, fewer than one in twenty showed any meaningful transaction activity. The CBN waived transaction fees to stimulate adoption and then reinstated them. It expanded its agent network to

7,740 grassroots operators. It linked the eNaira to social cash transfer programmes as a use-case anchor. None of it moved the adoption needle in any sustained way.

The public narrative that follows from these numbers is straightforward: the eNaira failed. Nigerians did not want it. The CBN should not have tried. The project was a political initiative dressed in technological clothing, rushed to launch because Nigeria wanted to be first in Africa, without adequate preparation for the product design challenge of persuading a cash-dependent population to trust a new digital instrument they did not understand and had no particular reason to use.

All of this is partly true. But it misses the three things about the eNaira that actually matter to founders.

What the eNaira Actually Taught the CBN

The first and most consequential output of the eNaira project is not the product itself. It is the institutional knowledge that the product's failure was generated inside the Central Bank of Nigeria.

The CBN spent four years trying to build a retail digital currency product that Nigerians would voluntarily adopt. In doing so, it confronted, for the first time, from the inside, the specific product design challenges of digital financial services for the Nigerian market: the trust deficit in formal financial institutions, the resilience and familiarity of cash, the inadequacy of the existing distribution infrastructure for digital financial products, the gap between a feature that sounds compelling in a policy document and a product that people actually choose to use.

This is knowledge that the CBN did not have before the eNaira, and that no amount of research or consultation could have substituted for. It is the knowledge that Musa Itopa was acknowledging at the Accra conference: we tried to be a retail bank, and we were not ready for it.

The CBN's eNaira experience is Nigeria's most expensive and most valuable product research study. It produced a generation of central bank officials who

now understand, from direct experience, why digital financial products for ordinary Nigerians are difficult to build. That understanding will shape every regulatory decision the Bank makes about private sector digital payment products for the next decade.

For founders, this means one specific thing: the CBN's approach to regulating private stablecoins, digital wallets, and payment products is now informed by a four-year experience of building one itself. The officials who will review your product's licence application, who will assess your distribution strategy, who will evaluate your user onboarding design, now have a practitioner's understanding of how hard the problem is that your product is trying to solve. That understanding creates both more sympathy for the challenge and more sophistication in the scrutiny.

The Wholesale Pivot: What It Means for the Market

Musa Itopa's announcement of the CBN's shift to a wholesale CBDC focus is the most strategically significant CBDC development in Nigeria since the eNaira's launch. Its implications are largely undiscussed in the market.

A wholesale CBDC is not a consumer product. It is infrastructure for financial institutions, a digital form of reserves that banks and payment system operators use for inter-institutional settlement, rather than a wallet that ordinary Nigerians carry on their phones. It is the plumbing of the financial system rather than a tap in someone's kitchen.

The CBN's pivot to wholesale signals three things. First: the Bank has accepted that displacing private payment solutions at the retail level is not a goal it can achieve through CBDC alone. Second: it is focusing instead on the infrastructure layer, where its sovereign mandate is unambiguous and where the efficiency gains are real; inter-bank settlement, cross-border payment infrastructure, and government-to-institution payment flows. Third: it is opening, by this pivot, the retail digital payment market to private sector innovation in a way that the eNaira's competitive framing had implicitly closed.

The Wholesale CBDC Opportunity

A wholesale CBDC infrastructure, once operational, creates new capabilities for private sector financial products: programmable government disbursements that private platforms can help distribute, atomic settlement between banks and VASPs that reduces counterparty risk, and a digital monetary backbone on which stablecoin and tokenised asset products can be anchored with sovereign backing. The founders who understand the wholesale CBDC roadmap are building products that integrate with it rather than compete with it.

Programmable Money: The Real Opportunity

The most transformative application of programmable money in Nigeria is not a consumer savings product. It is not a retail payment wallet. It is not even a remittance channel, though that is where much of the current commercial attention is focused.

The most transformative near-term application of programmable money in Nigeria is government efficiency.

Nigeria's federal government distributes hundreds of billions of naira annually through conditional social transfer programmes, agricultural subsidy schemes, infrastructure payment systems, and salary disbursements to millions of civil servants across thirty-six states. The leakage, delay, and corruption embedded in these distribution systems is one of the most documented and least solved problems in Nigerian public finance. A programmable payment infrastructure that releases funds conditionally, only when a beneficiary receives verified goods, only when an MDA vendor completes a specified deliverable, only when a farmer produces evidence of planting, addresses this problem at its architectural root.

The CBN's own guidelines for 2024-2025 explicitly commit to enabling eNaira wallets for government-to-MDA payments and beneficiary disbursements. The NIBSS-Zone blockchain partnership, announced in August 2024, brings distributed ledger technology into Nigeria's core payment infrastructure for real-time, decentralised POS transactions. These are not theoretical developments. They are live infrastructure investments that will create commercial opportunities for the private sector within the next three to five years.

Four specific programmable money opportunities for Nigerian founders:

- 1. Conditional disbursement APIs** — Building the interface layer between government MDA payment systems and programme beneficiaries, the smart contract or API infrastructure that releases funds when specified conditions are verified. This is a B2G product with a massive addressable market and no adequate incumbent solution. “Chats” by Convexity deserves honorable mentions here for already setting the stage for that type of innovation.
- 2. Agricultural finance automation** — Programmable payment products for smallholder farmers, disbursing input finance (fertiliser, seed) as conditional payments that release against verified purchase receipts, collecting repayment automatically against commodity sale proceeds. This category alone represents a multi-billion naira market that traditional lending cannot serve at scale.
- 3. Trade finance programmability** — Smart contract escrow for intra-African trade; releasing payment to a Lagos exporter when a verified delivery confirmation arrives from an Accra importer, without the 7-20 percent cost and 3-5 day delay of traditional correspondent banking. PAPSS provides the settlement rail; programmable money provides the conditional release logic.
- 4. Tokenised remittance infrastructure** — Building the programmable settlement layer on top of the eNaira’s international interoperability capability, enabling diaspora remittances to arrive as programmable naira that beneficiaries can access, spend, or convert within a controlled, auditable system that the CBN can observe and the NFIU can monitor.

Each of these opportunities shares a common architecture: they use programmable money as a mechanism for introducing conditionality, verifiability, and auditability into payment flows that currently lack all three. They are not competing with the eNaira. They are building on the institutional infrastructure the eNaira created, and on the regulatory sophistication the CBN developed in the process of building it.

The Design Principle That Survives Every CBDC Evolution

Regardless of how the eNaira evolves, whether it is redesigned, expanded, contracted, or eventually superseded, one design principle for private sector digital money products emerges from the Nigerian CBDC experience with clarity.

The products that succeed in the Nigerian digital money market are the ones that make the naira more useful, not the ones that make the naira less necessary. Every private digital currency product that has thrived in Nigeria, the mobile money platforms, the stablecoin savings products, the P2P payment tools, has done so by solving a specific problem with the naira’s existing distribution, storage, or accessibility, not by replacing the naira with something else.

The CBN's most deeply held institutional concern, monetary sovereignty, the integrity of the naira as the unit of account for Nigerian economic life, is not a regulatory obstacle to be navigated around. It is a design parameter to be built within. The founders who design digital money products that make the CBN's monetary policy more effective, that extend the naira's reach, and that make the financial system more legible to supervisors will have the most durable products in the most important market in Africa.



CHAPTER Twenty-One

AfCFTA, Cross-Border Digital Trade & the Coming Pan-African Regulatory Convergence

“Pan-African integration is not a destination. It is a direction. The founders who build in the direction of integration, before its structures are complete, are the ones who will own the infrastructures when they are.”

— Chimezie Chuta

The African Continental Free Trade Area is, on paper, the largest free trade area in the world by number of participating countries, fifty-four member states representing 1.4 billion people and a combined GDP of approximately three trillion dollars. Its Digital Trade Protocol, currently in the ratification process, will establish common frameworks for cross-border digital payments, data flows, e-commerce, and, potentially, digital financial services that cut across the individual regulatory architectures of all member states.

The optimistic narrative about AfCFTA frames it as a near-term unlock for pan-African digital business: a single market, approaching fast, that will dissolve the multi-jurisdiction compliance complexity that currently makes scaling across Africa so expensive and so slow.

This chapter is an honest examination of how much of that narrative is true, how much is premature, and where the genuine opportunity sits for founders building today.

What AfCFTA Is and What It Is Not

AfCFTA is a trade agreement between governments. It creates obligations for member states to reduce tariffs, harmonise standards, and cooperate on trade facilitation. What it does not do, and what no trade agreement can do by itself, is create a single regulatory framework for digital assets, establish mutual recognition of digital financial services licences, or resolve the jurisdictional complexity that currently faces any company operating in multiple African markets.

The Digital Trade Protocol is an important step in the direction of regulatory harmonisation, but its ratification and implementation will take years, and its actual effect on the operating environment for digital financial services businesses will depend on how each member state translates its obligations into domestic law. The Protocol's most consequential provisions, on mobile money interoperability, cross-border e-KYC authentication, and PAPSS integration mandates, are mandates on governments, not permissions for businesses. They create the framework within which businesses can eventually operate more fluidly. They do not create that fluidity immediately.

The founders who are waiting for AfCFTA to resolve their multi-jurisdiction compliance complexity will wait indefinitely. The founders who are building multi-jurisdiction compliance infrastructure now, in advance of the framework, will be the ones who can take advantage of it fastest when it arrives.

The Infrastructure Gap: The Real Barrier

The second important correction to the optimistic AfCFTA narrative is about what the actual barrier to pan-African digital commerce is. It is not primarily regulation.

Cross-border payments through traditional channels currently cost between seven and twenty percent of the transaction value and take three to five days to clear. These costs are not primarily the product of regulatory complexity. They are the product of infrastructure fragmentation: the absence of direct settlement mechanisms between African currencies, the reliance on correspondent banking routes through New York or London, and the inadequate interoperability between the continent's payment systems.

A Nigerian company trying to pay a Ghanaian supplier in cedis, or to receive payment from a Kenyan customer in shillings, faces a series of infrastructure bottlenecks that no regulatory harmonisation effort directly addresses. The naira must be converted to dollars, routed through an international correspondent bank, converted to cedis, and settled through the Ghanaian banking system, incurring conversion fees, counterparty risk, and settlement delay at every step. The AfCFTA Digital Trade Protocol mandates PAPSS

integration and mobile money interoperability as solutions to this problem. But mandating the solution and building it are different things.

PAPSS is real, and it is growing. As of November 2025, PAPSS connects sixteen African countries, fourteen payment switches, and more than 150 commercial banks, including twenty-two Nigerian banks. In April 2025, the CBN significantly relaxed PAPSS transaction documentation requirements, enabling transactions up to USD 2,000 for individuals and USD 5,000 for corporations with only basic KYC. PAPSS is projected to save five billion dollars annually in transaction costs once fully operational across the continent. These are meaningful milestones.

But PAPSS was designed for bank-to-bank settlement in African currencies. The majority of actual cross-border value flow in African digital assets currently moves through stablecoins and P2P rails that PAPSS was not built for. A business that receives payment from a Lagos customer in USDT and needs to pay a Nairobi supplier in shillings is not well served by PAPSS, because their payment flow never enters the African banking system in the first place. The infrastructure gap is not just about PAPSS. It is about the gap between where value actually flows in pan-African digital commerce and the institutional infrastructure that was designed to facilitate it.

The Size Paradox: Why Nigeria's Advantage Can Become a Liability

The third important correction is the most challenging for Nigerian founders to hear: Nigeria's size advantage in African digital commerce means nothing if its regulatory complexity continues to make it harder to build in than smaller, more regulatory-coherent markets.

Rwanda has consistently attracted more technology investment relative to its GDP than Nigeria over the past decade. Mauritius has become the regulatory domicile of choice for African digital asset businesses seeking international credibility. Kenya's Capital Markets Authority sandbox has been operational and internationally benchmarked since before the ARIP framework existed. These are not large economies. But they have made deliberate, consistent choices to make themselves easy to build in: clear rules, responsive regulators,

predictable timelines, and the institutional culture of treating builders as partners in economic development rather than subjects of administrative oversight.

Nigeria has made enormous progress in the last three years. ISA 2025 is a genuinely landmark piece of legislation. The ARIP framework, the CBN's VASP guidelines, and the FATF grey list exit are real achievements. But the founder who wants to build a pan-African digital asset business and is choosing their primary jurisdiction of incorporation and operation is still asking: is Nigeria's regulatory environment worth its complexity?

The answer is increasingly yes, because Nigeria's market size, consumer sophistication, and talent pool are irreplaceable advantages that no smaller market can substitute. But the margin is narrower than Nigeria's size suggests it should be, and the gap will close further if the framework's implementation becomes more predictable, the regulator's response times improve, and the dual-regulator complexity between the CBN and SEC is progressively resolved.

Nigeria's Competitive Imperative

Nigeria's size is a gravitational force in African digital commerce, but gravity is not enough on its own. Mauritius, Rwanda, and Kenya are not competing with Nigeria's market. They are competing with Nigeria's regulatory environment. The founders, investors, and ecosystem builders who most loudly advocate for regulatory improvement in Nigeria are not doing so from naivety about the political constraints the regulators operate under. They are doing so because they understand that every Nigerian founder who incorporates in Mauritius, because the process is simpler, is a tax on the Nigerian economy that the regulatory reform dividend could eliminate.

Where the Genuine Opportunity Lies

Having corrected the optimistic narrative, it is important to be clear about what is genuinely real in the pan-African digital trade story, because the opportunity is substantial.

Africa's digital economy is valued at approximately 180 billion dollars in 2025 and is projected to reach 712 billion dollars by 2030. Africa's e-commerce users are projected to reach 500 million in 2025, processing over 500 billion dollars in transactions, with 75

percent of those transactions occurring on smartphones. The cross-border payment market is expected to triple from 329 billion dollars in 2025 to 1 trillion dollars by 2035. These are not speculative projections. They are the compounded effect of demographic trends, a young, digitally-native, increasingly connected population, which is already visible in current transaction data.

The founders who will capture the largest share of this opportunity are building in three specific areas that AfCFTA's trajectory favours:

- 1. Payment infrastructure for intra-African commerce** — The gap between where value flows — in stablecoins, P2P rails, and mobile money, and where institutional settlement infrastructure exists is an engineering problem that private sector founders can solve. Building the bridges between PAPSS, mobile money systems, stablecoin rails, and the VASP-to-bank interfaces that allow cross-border commerce to settle reliably and cheaply is the most durable infrastructure investment in African digital finance.
- 2. Multi-jurisdiction compliance infrastructure** — The complexity of operating in multiple African regulatory environments simultaneously is a genuine barrier, but it is a soluble one, and the founders who solve it for themselves can sell the solution to others. A compliance platform that manages Nigerian NFIU obligations, Ghanaian FIC requirements, Kenyan KRA reporting, and South African FSCA monitoring from a single interface is a product that every African VASP with cross-border ambitions will eventually need.
- 3. Identity and trust infrastructure** — Cross-border commerce requires cross-border trust, the ability for a Lagos merchant to verify that an Accra customer is who they say they are, and vice versa. The AfCFTA Digital Trade Protocol's cross-border e-KYC provisions are a mandate to create this infrastructure. The private sector founders who build it, before the government mandate creates demand pressure, will have a first-mover advantage in the continental identity market that no incumbent financial institution currently occupies.

The pan-African regulatory convergence is coming. It will not arrive on the timeline that AfCFTA's optimists have projected. The Digital Trade Protocol will take longer to ratify, longer to implement, and longer to translate into operating reality than any announcement suggests. But the direction is fixed, and the founders who build in the direction of convergence, designing products for multiple jurisdictions, building compliance infrastructure that scales across regulatory frameworks, and positioning themselves as the bridge between where the market is and where the framework will

eventually be, will be the ones who own the infrastructure when convergence eventually arrives.



CHAPTER Twenty-Two

Building the Mental Model: How to Navigate Regulations That Don't Exist Yet

"The most valuable regulatory skill is not compliance. It is foresight. The regulator who writes the rules tomorrow is responding to the market signals that are visible today."

— Chimezie Chuta

This is the last chapter of the book, and in some ways the most important.

Every specific regulation described in the preceding twenty-one chapters will change. Some of the changes will be incremental, amended rules, revised capital requirements, updated NFIU guidelines. Some will be more fundamental, new legislation, new regulatory mandates, new institutions. The ISA 2025, which this book treats as the current foundation of Nigerian digital asset regulation, will itself eventually be amended or superseded. The Digital Asset Rules, whose specifics have been detailed throughout, will be revised again. The market will generate new products that no existing framework anticipated, and the regulators will respond.

A book that gives you only rules is a book that begins to expire on the day it is published. The chapters you have read to this point have given you the current rules, the current institutions, and the current frameworks. This chapter gives you something different: a way of thinking about regulatory development that does not expire, that remains useful when the specific rules have changed, when new institutions have been created, and when the products you are building do not yet have a regulatory category.

The Three Signals That Precede Every Nigerian Regulation

After nearly a decade of watching Nigerian regulatory frameworks develop, from inside policy rooms, from industry bodies, from the market itself, I have observed three signals that reliably precede the formalisation of a new regulatory requirement. They are not infallible. They are not perfectly timed. But they are consistent enough, across enough

cases, to constitute a genuine early warning system for founders who know how to read them.

Signal One: The Conference Circuit

When a concern is raised by senior regulatory officials at multiple different events; conferences, industry forums, central bank workshops, international policy meetings, over a period of six to twelve months, that concern is almost always in active internal policy development. The framework that will address it will arrive within twelve to twenty-four months of the concern becoming a consistent conference-circuit theme.

This signal is reliable for a specific institutional reason: Nigerian regulatory officials do not typically discuss matters publicly that are not already in some stage of internal consideration. A CBN director who raises stablecoin dollarisation risk at three consecutive fintech conferences is not theorising. They are preparing the market for a framework that is already being drafted.

The practical application: track what senior regulatory officials are saying in public appearances. Not the press releases, not the formal publications, those come after the framework is already fixed. The conference remarks, the panel discussions, the Q&A sessions at industry events. These are where the concerns that will become regulations are first articulated in forms that allow response.

I have seen this signal produce regulatory frameworks across multiple cycles. The concerns about untraceable P2P transactions that the CBN was articulating in 2019 and 2020 produced the 2021 circular. The concerns about investor protection in token sales that SEC officials were raising at industry events in 2021 produced the 2022 Digital Asset Rules. The concerns about stablecoin dollarisation risk that the CBN has been raising in public forums since 2023 produced the joint CBN-SEC stablecoin working group in 2025. The signal-to-framework timeline varies, but the signal itself is consistent.

Signal Two: The International Standard-Setter Publication

When FATF, the BIS, or the IMF publishes guidance on a specific risk category, a targeted update, a working paper, a policy recommendation, Nigerian regulators begin internal

framework development within six to eighteen months. This timeline is not coincidental. It is the product of a compliance obligation: Nigeria's FATF membership and GIABA participation create peer review expectations that turn international guidance into domestic regulatory pressure.

The mechanism is direct: the FATF issues guidance on a virtual asset risk. GIABA's mutual evaluation process will eventually assess Nigeria's implementation of that guidance. The CBN and NFIU, aware of this evaluation timeline, begin developing the domestic framework that addresses the guidance before the evaluation arrives. The framework emerges not because Nigerian regulators identified the risk independently, but because the international evaluation cycle created a compliance deadline.

Signal Type	Source	Lead Time	Founder Action
Conference signal	CBN, SEC, NFIU senior officials at multiple forums	<i>12–24 months</i>	Track the concern, design for it, engage the working group when formed
FATF guidance	Annual Targeted Update, revised Recommendations	<i>6–18 months</i>	Implement aligned controls now; frame your product as part of the solution
BIS publication	Working papers, Innovation Hub outputs	<i>12–36 months</i>	Monitor for wholesale CBDC and stablecoin design implications
IMF Technical Assistance report on Nigeria	Country-specific TA reports	<i>12–24 months</i>	These are the most direct signal of CBN/SEC framework priorities
Working group formation	SEC, CBN, NITDA working group announcement	<i>18–30 months</i>	Engage immediately, the convening signals a committed intention to act
Enforcement action without framework	CBN circulars, SEC enforcement notices	<i>6–12 months</i>	The enforcement pattern is the draft framework; design to its logic now

Signal Three: The Working Group Formation

When a regulator convenes a working group or industry consultation on a topic that previously had no formal engagement structure, the framework is coming within twenty-four to thirty months, regardless of what the consultation produces. The convening itself signals institutional commitment to act.

This signal is the most reliable of the three because it requires the regulator to have already made an internal decision: not just that the topic merits attention, but that it merits

the resource investment of a formal consultation process. Regulators do not convene working groups on topics they have decided not to regulate. The working group is the regulator's public declaration that it is going to do something; the question the working group addresses is only what.

The practical implication is direct: when a working group is announced, engage with it immediately and substantively. Not to lobby for outcomes that favour your specific business model, but to contribute technical knowledge that helps the framework be well-designed. The founders who sit in the working group rooms when the framework is being shaped have the advantage of knowing exactly what the Commission was trying to achieve when it wrote each provision, and therefore understand how to satisfy its intent in ways that go beyond technical compliance.

The CBN-SEC joint stablecoin working group announced in October 2025 is a live example of this signal. It was announced. The framework is coming. The founders who engaged with its process before its report was published, through industry body submissions, direct requests to present, and written technical input, will have shaped it. The founders who waited for the published report will implement it. The difference between these two groups, in terms of the product architecture implications of the framework, will be material.

The First Principles Framework

Beyond the three signals, there is a deeper analytical capacity that this book has been building throughout: the ability to reason from first principles about what a regulator will eventually require, even before the specific framework exists.

Every Nigerian regulatory framework for digital financial products is ultimately an attempt to satisfy four foundational concerns. These concerns do not change. They are as present in the 1958 CBN Act as they are in the ISA 2025. They will be as present in whatever legislation follows ISA 2025 as they are today. Understanding them is what allows you to anticipate regulatory requirements before they are written down.

- 1. The legibility concern** — Regulators must be able to see, understand, and assess the activities they are supervising. Any product that makes financial activity opaque, that obscures who is transacting, in

what amount, with what counterparty, for what purpose, will eventually trigger a regulatory response. The 2021 CBN circular was a legibility response. The Travel Rule is a legibility response. The NFIU's goAML registration requirement is a legibility response. Build legibility into your product from the outset: clear transaction records, clean identity trails, auditable flows. Not as a compliance requirement, but as a product design principle.

- 2. The accountability concern** — When something goes wrong, a platform failure, a fraud, a consumer loss, a money laundering incident, there must be an identifiable human or legal entity that can be held responsible. The DeFi regulatory challenge is fundamentally an accountability challenge: no central operator, no responsible party, no enforcement point. Any product architecture that systematically obscures or eliminates accountability will attract regulatory attention proportional to its scale. Build identifiable accountability at every layer of your product.
- 3. The systemic stability concern** — The CBN's mandate is monetary stability. The NDIC's mandate is depositor protection and system resilience. Any product that, at scale, could create systemic risk, that could amplify financial instability, reduce monetary policy effectiveness, or create contagion risk across the financial system, will be regulated in proportion to its scale potential. Stablecoins concern the CBN not because they are new but because, at scale, they could substitute for naira in ways that compromise monetary sovereignty. Design your products with an honest assessment of their systemic risk at scale, and engage with regulators about that assessment proactively.
- 4. The consumer protection concern** — The SEC's mandate is investor protection. The FCCPC's mandate is consumer protection. Any product that creates conditions for consumer harm, information asymmetry, opaque risk, inadequate disclosure, difficult redemption, or fraudulent promotion, will eventually attract the attention of one or both of these institutions. The FCCPC's 2025 digital lending crackdown, the SEC's Finfluencer provisions, and the investor protection framework in ISA 2025 are all expressions of this concern. Design products that treat consumer protection as a feature, not a compliance overhead.

When you encounter a new product category, a new market, or a new technology that has no existing Nigerian regulatory framework, apply these four lenses. Ask: does this product create legibility problems for supervisors? Does it create accountability gaps? Does it create systemic stability risks at scale? Does it create consumer protection concerns? The answers will tell you where the regulatory attention will eventually focus, how urgently, and from which institution. They will not tell you exactly what the framework will say. But they will tell you what it will be about.

The Foresight Practice: Building Your Regulatory Intelligence System

The signals described in this chapter are only useful if you are in a position to receive them. That requires a deliberate, regular practice of regulatory intelligence gathering that most founders do not maintain.

Here is the minimum practice:

- Monthly scan of CBN, SEC Nigeria, NFIU, and NITDA websites for new publications, circulars, and consultation papers.
- Quarterly reading of the FATF Targeted Update on Virtual Assets, the single most predictive document for Nigerian digital asset regulatory development.
- Active participation in at least one industry body (BNUG, FintechNGR, BICON) that has direct engagement with Nigerian regulatory working groups.
- Attendance at two to four industry conferences per year where senior regulatory officials speak, with deliberate attention to the themes they raise in their remarks.
- Maintenance of a simple log: new regulatory signals observed, their source, their apparent concern, and the product or compliance implication for your business.

This practice requires approximately four to six hours per month. It produces a rolling picture of the regulatory landscape that is worth considerably more than the cost of maintaining it.

The Closing Thought

I want to end this book where it began: with Emeka, in his office in Yaba, looking at a letter he was not prepared for.

Emeka's story is not a story about bad luck or regulatory aggression. It is a story about a founder who was building something genuinely valuable, in a regulatory environment he had not invested in understanding, and who paid the price that founders pay when the gap between those two things closes suddenly rather than gradually.

The book you have just read exists because that story is more common than it should be in Nigeria's digital asset ecosystem, and because the information that would have prevented

it was available, if it had been assembled in one place, in plain language, written for the founder rather than the lawyer.

What I hope this book has done is give you what Emeka needed before the letter arrived: a working map of the regulatory terrain, a practical understanding of the compliance infrastructure that the terrain requires, a set of tools for engaging the institutions that govern it, and a mental model that will keep working for you when the specific details of the terrain have changed.

*The regulated market does not belong to the founder who knows the most rules.
It belongs to the founder who understands the most deeply why the rules exist,
and who has built something that the regulators are glad to see in their market.*

Nigeria's digital financial future is genuinely extraordinary in its potential. The demographic foundation, a young, connected, financially underserved population, is irreplaceable. The policy foundation, ISA 2025, the ARIP framework, the FATF grey list exit, and the CBN-SEC joint stablecoin work are more solid than ever before. The talent foundation, the engineers, the product builders, the policy advocates, the community organisers who have built Nigeria's blockchain ecosystem from scratch over the past decade, are formidable.

What the market has lacked, and what this book has tried to supply, is the knowledge infrastructure: the clear, honest, insider-informed account of how the regulatory system works, what it requires, and how to build within it without being broken by it.

You have that now.

Build something worthy of it.



Appendix A

The 90-Day Regulatory Readiness Checklist

This checklist is sequenced for a Nigerian digital asset company at any stage from idea to post-ARIP. Work through it in order. Items in each phase depend on items in the phase before. Assign a named owner to every item. Set a completion date. Review weekly.

The checklist assumes you are building for SEC Nigeria registration as your primary regulatory objective, with NFIU compliance and CBN engagement as parallel workstreams. Adjust the sequencing if your product requires CBN payment system authorisation as a first step.

PHASE 1 · WEEKS 1–2: Foundation & Assessment

A1 Determine your regulatory category

Map every function your product performs against the four VASP categories: DAX (exchange), DAOP (offering platform), DAC (custodian), DAI (intermediary). List every function, and assign each to a category. If you map to more than one category, you need more than one registration. Do not proceed until this mapping is complete. Every other decision depends on it.

A2 Identify all applicable regulators

Using the Product-to-Regulator Matrix (Appendix C), identify every regulator your product engages. For most VASPs: SEC Nigeria (mandatory), NFIU (mandatory), CBN (mandatory if naira on/off-ramp or payment product). Assign a relationship owner for each regulator.

A3 Conduct a corporate structure gap analysis

Compare your current structure against SEC Nigeria's requirements: Nigerian CAC incorporation ✓; minimum paid-up capital at required level ✓; Nigerian CEO/MD resident in Nigeria ✓; 60% Nigerian board members ✓; Nigerian office address ✓. Document every gap with a remediation plan.

A4 Identify your compliance officer

Appoint a compliance officer or MLRO with specific AML/CFT experience in financial services or digital assets. This person must: understand the MLPPA 2022, know how to use the NFIU goAML portal, have authority to file STRs independently. If no qualified person exists internally, begin search immediately. Do not apply for ARIP without this role filled.

A5 Conduct Business-Wide Risk Assessment (BWRA)

Document your platform's specific ML/TF risks across four dimensions: products and services offered, customer types and geographies, delivery channels, and jurisdictions of operation. This is not a generic

template. It must reflect your specific business. The NFIU examines it. Assign the compliance officer as author. Complete within two weeks.

PHASE 2 · WEEKS 3 –4: Compliance Infrastructure

A6 Register on NFIU goAML portal

Register as a reporting entity on the NFIU's goAML portal. Required documents: CAC Certificate of Incorporation, industry regulator licence (or ARIP application confirmation), evidence of compliance officer appointment, letter of introduction. This registration is separate from your SEC application and must be completed independently. URL: goaml.nfiu.gov.ng

A7 Build your KYC tiering framework

Document your three-tier KYC framework: Tier 0 (basic mobile onboarding, NIN verification, daily limit #50,000), Tier 1 (NIN + BVN + address, daily limit #200,000), Tier 2 (enhanced, source of funds, higher limits). Map each tier to transaction limits, product access, and ongoing monitoring requirements. Ensure BVN and NIN verification APIs are integrated and tested.

A8 Implement transaction monitoring system

Configure a transaction monitoring system with documented alert thresholds. Minimum alert types: large cash transactions (individuals #5M+, corporates #10M+), unusual transaction patterns vs. declared customer profile, transactions involving high-risk jurisdictions, rapid fund movement, structuring patterns. Assign daily alert review to a named compliance team member. Test with synthetic transactions before go-live.

A9 Implement sanctions and PEP screening

Deploy screening against: UN Security Council consolidated list, OFAC SDN list, EU consolidated sanctions list, NFIU domestic designated persons and entities list. Screen at onboarding and weekly on all active customers. Log all screening runs with timestamps and outcomes. Configure automated re-screening alerts for new list additions.

A10 Establish STR and CTR filing capability

Set up your STR and CTR filing workflow on the NFIU goAML portal. File a test STR with synthetic data to confirm the process works end-to-end before you have real customers. Document your internal STR escalation path: who identifies suspicious activity → who investigates → who authorises filing → who submits. STRs must be filed immediately upon identifying suspicion. CTRs required for cash transactions above #5M (individuals) or #10M (corporates).

A11 Establish record retention infrastructure

All KYC documents, transaction records, and compliance investigation records must be retained for minimum five years post-relationship end. Implement append-only, access-controlled logging for all compliance actions. Store in a cloud system with geographic redundancy and defined retention policies. Document the retention architecture and appoint a records custodian.

PHASE 3 · WEEKS 5 –8: ARIP Application Preparation

A12 Draft your white paper

Write the ARIP white paper to the SEC's assessed standard (not the minimum formal requirement). Must include: technical architecture and blockchain infrastructure; token economics and rights if tokens are issued; AML/CFT framework summary; investor/user risk factors; team qualifications; legal classification of your product and the basis for that classification. Engage a specialist with digital asset securities experience to review. Do not submit until it honestly addresses the classification question.

A13 Obtain legal opinion on token/product classification

Commission a written legal opinion from a qualified practitioner with demonstrable ISA 2025 and SEC Digital Asset Rules experience. The opinion must address: whether your product constitutes a security under ISA 2025; which VASP registration category applies; and any additional regulatory requirements (CBN, NFIU, NCC). This document accompanies your initial assessment filing.

A14 Verify and document minimum capital

Confirm your paid-up capital meets the SEC requirement for your registration category. As of June 2025: exchanges and custodians #2 billion (to be met by 30 June 2027 for existing operators; new applicants should plan for this level). Capital must be in the company's account for minimum three months before application, with a clean audit trail of source of funds. Obtain audited confirmation from your external auditors.

A15 Conduct informal SEC pre-screening

Before submitting formally, request an informal pre-screening conversation with the SEC's Digital Assets Unit. Prepare: one-page product description, proposed regulatory category, summary of your compliance infrastructure. The purpose is to identify structural issues before the formal submission costs are incurred. This step is not officially documented but materially improves application outcomes.

A16 Submit ARIP Initial Assessment

Submit the Initial Assessment Form via the SEC ePortal at home.sec.gov/ng. Pay the non-refundable assessment fee (\$200,000). (There's a rumor that this amount has been increased to \$1.5M. DYOR). Include: completed assessment form, draft white paper, legal classification opinion, CAC documents, evidence of minimum capital. Await SEC eligibility notification (within 30 days under the rules).

PHASE 4 · WEEKS 9 –12 / THE AIP PERIOD: Operational Readiness

A17 Submit ARIP formal application

Upon eligibility notification, submit the full ARIP application through an accredited solicitor or adviser. Pay the non-refundable processing fee (\$2,000,000). Upon approval, receive your Approval-in-Principle (AIP) valid for up to 12 months. The AIP is the beginning of regulated operations, not the end of the compliance journey.

A18 Engage the CBN if product requires it

If your product involves naira on/off-ramps, stablecoin payment functions, or payment system infrastructure: initiate engagement with the CBN's Payment System Management Department. Use the engagement framework in Chapter 16. Your SEC AIP is the credential that makes this conversation possible. Do not approach the CBN before you have initiated the ARIP process.

A19 Establish your AIP-period compliance cadence

During the 12-month AIP period: file daily transaction monitoring reviews, weekly PEP and sanctions re-screening, monthly PEP register submission to NFIU via goAML, quarterly compliance training for all staff, quarterly reports to SEC as required, annual BWRA review. Appoint a compliance calendar owner. Treat the AIP period as a live regulatory examination, because it is.

A20 Prepare full registration application

At the 10-month mark of your AIP, begin preparing the full SEC registration application. This is filed via the SEC ePortal and requires: evidence of 12 months of AIP-period compliance, audited accounts confirming maintained minimum capital, compliance officer appointment confirmation, updated BWRA, and any additional documentation specified in your AIP conditions. Target submission at month 11.

Checklist Review Cadence

This checklist is most effective when reviewed weekly in a 30-minute compliance team meeting. Assign RAG (Red/Amber/Green) status to each item. Red items are presented to the CEO at every board update. The compliance officer owns the checklist. The CEO owns the consequence of it being wrong.

Appendix B

Africa Regulatory Contact & Resource Directory

This directory provides official contact and resource information for the primary regulatory institutions relevant to Nigerian and African digital asset businesses. All URLs and contacts are current as of May 2026. Always verify on the institution's official website before submitting applications or correspondence.

Primary Nigerian Regulators

Securities and Exchange Commission Nigeria (SEC)

sec.gov.ng · home.sec.gov.ng (ePortal)

Primary regulator for digital assets and VASPs under ISA 2025. ARIP applications, Digital Asset Rules, investor protection. The SEC ePortal (home.sec.gov.ng) is the submission platform for ARIP initial assessments, applications, and AIP-period reporting.

T: (+234) 09-462-3600 · E: info@sec.gov.ng

Central Bank of Nigeria (CBN)

cbn.gov.ng

Apex monetary authority. Payment Systems Management Department oversees payment product authorisations and VASP banking access guidelines. Financial Policy & Regulation Department handles monetary policy and stablecoin-adjacent product considerations.

T: (+234) 0800-225-5226 · E: info@cbn.gov.ng

Nigerian Financial Intelligence Unit (NFIU)

nfiu.gov.ng · goaml.nfiu.gov.ng (goAML portal)

Financial intelligence unit. Mandatory registration on goAML portal for all VASPs as reporting entities. STR, CTR, PEP register, and annual testing submissions via goAML. December 2024 guidelines are the current AML/CFT compliance standard for VASPs.

T: (+234) 09-461-0000 · E: info@nfiu.gov.ng

NITDA — National Information Technology Development Agency

nitda.gov.ng

Administers National Blockchain Policy (2023), Nigeria Data Protection Regulation (NDPR), and National AI Strategy (2025). Primary engagement point for blockchain ecosystem policy, data protection compliance, and AI governance questions.

T: (+234) 09-291-5000 · E: info@nitda.gov.ng

Corporate Affairs Commission (CAC)

cac.gov.ng

Company registration, Beneficial Ownership Register (PSC register). All VASP applicants must be fully CAC-registered. The Beneficial Ownership Register (introduced as part of Nigeria's FATF reform programme) requires annual updates.

T: (+234) 09-461-8000 · E: info@cac.gov.ng

EFCC — Economic and Financial Crimes Commissionefcc.gov.ng

Investigates and prosecutes financial crimes involving digital assets. Not a licensing authority. Compliance with NFIU AML obligations and SEC registration is the primary protection against EFCC scrutiny.

T: (+234) 09-904-5096 · E: info@efcc.gov.ng

NAICOM — National Insurance Commissionnaicom.gov.ng

Relevant for fidelity bond requirements in VASP registration and for founders building insurance-adjacent blockchain products. SEC Nigeria's VASP rules require fidelity bonds from NAICOM-approved insurers.

T: (+234) 09-870-3006 · E: info@naicom.gov.ng

Key Legal & Regulatory Frameworks — Official Download Links

Document	Source
Investments and Securities Act 2025 (ISA 2025)	sec.gov.ng/investments-and-securities-act-2025
SEC Digital Asset Rules (amended June 2025)	sec.gov.ng/our-mandate/regulation/rules-and-regulations
ARIP Framework & Checklist	home.sec.gov.ng (ARIP resources section)
CBN Guidelines on VASP Banking (2023)	cbn.gov.ng/Out/2023/PSM/CBN%20VASP%20Guidelines.pdf
NFIU AML/CFT Compliance Framework for VASPs	nfiu.gov.ng/guidelines
MLPPA 2022 (Money Laundering Prevention & Prohibition Act)	nfiu.gov.ng/laws
Nigeria Data Protection Act 2023 (NDPA)	ndpc.gov.ng
National Blockchain Policy 2023	nitda.gov.ng/blockchain-policy
National AI Strategy 2025	ncair.nitda.gov.ng
FATF Recommendation 15 (virtual assets)	fatf-gafi.org/Recommendations
FATF Annual Targeted Update on Virtual Assets	fatf-gafi.org (published each June)
CBN Monetary Policy & VASP Guidelines (2024–2025)	cbn.gov.ng/AboutCBN/Reforms.html

Regional & International Bodies

GIABA — Inter-Governmental Action Group Against Money Laundering in West Africa

giaba.org

FATF-style regional body for West Africa. Conducts mutual evaluations of member states including Nigeria. Publications and mutual evaluation reports available on website. Key reference for understanding Nigeria's AML/CFT obligations.

E: info@giaba.org

AfCFTA Secretariat

afcfta.au.int

Official source for AfCFTA Digital Trade Protocol progress, ratification status, and member state implementation guidance. Monitor for digital trade protocol developments.

E: info@afcfta.au.int

PAPSS — Pan-African Payment and Settlement System

papss.com

Cross-border payment infrastructure for Africa. As of May 2026: 16 countries, 14 payment switches, 150+ commercial banks including 22 in Nigeria. CBN relaxed PAPSS documentation requirements in April 2025 to basic KYC for transactions under USD 2,000 (individuals) and USD 5,000 (corporates).

E: info@papss.com

Industry Bodies & Associations

Blockchain Nigeria User Group (BNUG), aka, Blockchain Experts Association of Nigeria (BEAN)

<https://blockchainexperts.ng/>

Nigeria's largest Web3 innovation community (25,000+ members). Primary industry voice in national blockchain policy dialogue. Working group participation, regulatory consultation submissions, ecosystem events and training.

E: info@blockchainnigeria.org

Fintech Association of Nigeria (FintechNGR)

fintechng.org

Primary fintech industry body with established relationships across CBN, SEC Nigeria, and NITDA. Domain expert for digital assets policy. Key channel for regulatory consultation engagement.

E: info@fintechng.org

Blockchain Industry Coordinating Committee of Nigeria (BICCON)

<http://biccon.com.ng/>

Professional association for blockchain practitioners. Board member training, certification, and policy advocacy.

E: info@bean.org.ng

Appendix C

Product-to-Regulator Mapping Matrix

This matrix maps digital asset product categories to their primary Nigerian regulatory touchpoints. Use it at the beginning of every new product initiative, before you write a line of code or draft a single policy document. The matrix reflects the regulatory position as of May 2026 under ISA 2025 and the SEC's June 2025 Digital Asset Rules.

Product / Activity	SEC	CBN	NFIU	NITDA	EFCC	NCC	Key Note
Digital Asset Exchange (CEX / P2P)	PRIMARY(DAX)	SECONDARY(naira rails)	PRIMARY(AML)	MONITOR(data)	—	—	DAX + DAC if holding client assets. Naira pair delisting rules apply.
Decentralised Exchange (DEX)	SECONDARY(emerging)	—	MONITOR	MONITOR	—	—	No DEX-specific framework. VASP rules apply if identifiable operator.
Digital Asset Custodian	PRIMARY(DAC)	—	PRIMARY(AML)	MONITOR	—	—	Cold storage ratio required. Fidelity bond from NAICOM insurer.
Token/Digital Asset Offering (ICO/IEO)	PRIMARY(DAOP)	—	PRIMARY(AML)	MONITOR	—	—	All offerings to Nigerians require DAOP registration. Foreign issuers included.
Naira-Pegged Stablecoin Issuance	PRIMARY(DAOP/DAC)	PRIMARY(payment)	PRIMARY(AML)	MONITOR	—	—	Joint CBN–SEC stablecoin WG framework pending (expected 2026). Engage both now.
Dollar-Pegged Stablecoin (USDT equiv.)	PRIMARY(DAX/DAOP)	SECONDARY(FX rules)	PRIMARY(AML)	MONITOR	—	—	FX management concern triggered if naira conversion offered.
Stablecoin Payment / Remittance Service	SECONDARY	PRIMARY(IMTS/PSP)	PRIMARY(AML)	MONITOR	—	MONITOR(mobile)	IMTS Guidelines (Jan 2024) apply. PSP licence likely required.
Tokenised Real Estate (fractional)	PRIMARY(DAOP)	—	PRIMARY(AML)	MONITOR	—	—	Land Use Act title risk. SPV structure mandatory. ISA 2025 s.357.
Tokenised Securities / Bonds	PRIMARY(DAOP/DAX)	—	PRIMARY(AML)	MONITOR	—	—	Debt Management Office (DMO) notification for tokenised FGN securities.
DeFi Lending / Yield Protocol	SECONDARY(emerging)	—	PRIMARY(AML)	MONITOR	—	—	Collective investment scheme risk if client funds pooled.

DAO-Governed Platform	SECONDARY	—	SECONDARY	—	MONITOR	—	No DAO legal personality in Nigeria. Liability falls on identifiable founders.
NFTs with Investment Characteristics	PRIMARY(DAOP)	—	PRIMARY(AML)	MONITOR	—	—	Economic return NFTs are securities under ISA 2025.
Blockchain Identity / KYC Product	MONITOR	—	MONITOR	PRIMARY(NDPA)	—	—	NDPA 2023 consent and data localisation requirements apply.
AI Credit Scoring (alt. data)	MONITOR	PRIMARY(CBN sandbox)	MONITOR	PRIMARY(NDPA +AI)	MONITOR(FC CPC)	—	CBN sandbox evaluates explainability. FCCPC 2025 lending rules apply.
AI-Assisted AML / Compliance Tool	MONITOR	SECONDARY	PRIMARY	MONITOR	—	—	Regulator-friendly category. NFIU SupTech cooperation possible.
Crypto Mining Operation (commercial)	PRIMARY(ISA 2025)	—	PRIMARY	—	—	MONITOR(power)	NTAA 2025 tax obligations. Mining-as-a-service = VASP activity.
USSD / Mobile Wallet (naira-linked)	MONITOR	PRIMARY(CBN)	PRIMARY	MONITOR	—	PRIMARY(USSD)	NCC USSD licence and CBN mobile money framework both apply.
Cross-Border Payment (PAPSS-linked)	MONITOR	PRIMARY(CBN/PAPSS)	PRIMARY	MONITOR	—	—	CBN April 2025 relaxed KYC: basic docs for txns < USD 2,000/month.
Robo-Advisory / AI Investment Advice	PRIMARY(DAI)	—	SECONDARY	SECONDARY	—	—	Investment advisory licence (DAI). Suitability obligations apply.
Finfluencer / Token Promotion	PRIMARY(SEC Rules)	—	—	—	MONITOR	—	SEC 2024 amended Rules define and regulate Finfluencer activities.

Key to matrix:**PRIMARY** — Direct regulatory mandate. Engagement and (usually) registration required.**SECONDARY** — Indirect mandate or emerging jurisdiction. Monitor closely; likely requires engagement.**MONITOR** — Regulatory interest exists. Track for developments; no current registration requirement.

— — Not currently applicable.

Matrix Currency

This matrix reflects the regulatory position as of May 2026. The Nigerian digital asset regulatory landscape is actively evolving. Review this matrix whenever: (1) SEC Nigeria issues amended Digital Asset Rules; (2) CBN issues new VASP guidelines; (3) NFIU issues updated AML/CFT compliance standards; (4) a new product category is added to your platform. Check sec.gov.ng, cbn.gov.ng, and nfiu.gov.ng monthly for updates.

Glossary of Key Terms & Acronyms

A plain-language reference covering blockchain technology, digital asset regulation, AML/CFT compliance, and the regulatory frameworks of Nigeria, Ghana, Kenya, South Africa & Mauritius

HOW TO USE THIS GLOSSARY

This glossary contains over 160 entries covering four categories of vocabulary used throughout this book:

- **Foundational blockchain & technical terms** — Blockchain, wallet, smart contract, consensus mechanism — the building blocks every founder must understand.
- **Regulatory & compliance terms** — AML, CFT, KYC, FATF, Travel Rule, VASP — the language of financial oversight that your business must speak fluently.
- **Nigerian institutional & legislative terms** — CBN, SEC Nigeria, NFIU, ISA 2025, MLPPA, ARIP — the specific laws, agencies, and frameworks that govern your business in Nigeria.
- **Regional comparative frameworks** — Key terms specific to Ghana (VASP Act 2025), Kenya (VASP Act 2025), South Africa (CASP/FSCA), and Mauritius (VAITOS) — for founders building across African markets.

Entries with a shaded blue note contain jurisdiction-specific guidance, primarily for Nigeria. Cross-references are provided at the end of each entry. All definitions reflect the regulatory position as of May 2026.

A

Address (Blockchain)

A unique alphanumeric identifier on a blockchain network — the equivalent of a bank account number — used to send and receive digital assets. Every blockchain address is derived from a cryptographic key pair and is publicly visible on the ledger. Owning an address means owning the private key that controls it.

See also: Private Key, Public Key, Wallet

AfCFTA (*African Continental Free Trade Area*)

A continent-wide free trade agreement signed by 54 of the 55 African Union member states, aiming to create a single continental market for goods and services. Its digital trade protocols, still under negotiation, are expected to include provisions for cross-border digital payments, e-commerce, and data flows that will directly shape how digital asset businesses operate across African borders.

Nigeria ratified AfCFTA in 2019. The AfCFTA Secretariat's digital trade work is expected to intersect with Nigeria's CBN payment frameworks, SEC digital asset rules, and the PAPSS cross-border settlement system.

See also: PAPSS, Cross-Border Payment

Airdrop

The distribution of free tokens or digital assets to a specified group of wallet addresses, typically used for marketing, community building, or rewarding early adopters. While often perceived as free money, airdrops carry compliance implications: recipients may owe tax on their fair market value at the time of receipt, and airdrop promoters may trigger securities regulations depending on how the tokens are classified.

SEC Nigeria's amended Digital Assets Rules (2024) explicitly define and regulate 'airdrop' activities, signalling regulatory sophistication around token distribution mechanics. Tax treatment of airdrops in Nigeria falls under the Finance Act 2023.

See also: Token, Digital Asset, Securities

AIP (*Approval-in-Principle*)

A preliminary authorisation issued by a regulator — in Nigeria, by the Securities and Exchange Commission — confirming that an applicant has met the initial criteria for a licence, but must still satisfy remaining conditions before a full licence is granted. An AIP is time-limited (typically up to 12 months under SEC Nigeria's ARIP framework) and allows conditional operation during the regularisation phase.

Under SEC Nigeria's VASP licensing process, an AIP is granted after a successful ARIP application. The VASP may begin controlled operations under AIP before transitioning to full registration.

See also: *ARIP, VASP, SEC Nigeria*

AML (*Anti-Money Laundering*)

A set of laws, regulations, and procedures designed to detect, prevent, and report the conversion of illegally obtained funds into apparently legitimate assets. AML frameworks require financial institutions and VASPs to implement KYC procedures, monitor transactions, file suspicious activity reports, and maintain records. The global AML standard-setter is FATF.

Nigeria's primary AML legislation is the Money Laundering (Prevention and Prohibition) Act 2022 (MLPPA). The NFIU coordinates Nigeria's AML reporting framework. VASPs are explicitly classified as financial institutions under the MLPPA 2022 and must comply with all AML obligations.

See also: *CFT, CPF, KYC, FATF, NFIU, MLPPA*

AMM (*Automated Market Maker*)

A type of decentralised exchange protocol that uses mathematical formulas — rather than traditional order books — to determine asset prices and facilitate trades. Liquidity providers deposit pairs of tokens into liquidity pools, and the AMM algorithm automatically prices trades based on the ratio of assets in the pool. Uniswap, Curve, and PancakeSwap are prominent AMMs.

See also: *DEX, Liquidity Pool, DeFi*

ARIP (*Accelerated Regulatory Incubation Programme*)

A pre-licensing regulatory programme introduced by the Securities and Exchange Commission of Nigeria to onboard virtual asset service providers and digital investment service providers into the Nigerian capital market on a structured, provisional basis. ARIP allows applicants to operate under regulatory oversight while completing the requirements for full SEC registration. It replaces and accelerates the earlier Regulatory Incubation (RI) programme.

ARIP is the mandatory first step for any VASP seeking to operate legally in Nigeria. Applicants must submit an initial assessment form and draft white paper. Successful applicants receive an AIP, valid for up to 12 months, before applying for full SEC registration. Registration fees currently stand at ₦50 million.

See also: *AIP, VASP, SEC Nigeria, DAX, DAOP, DAC*

Atomic Swap

A smart-contract-based mechanism that allows the direct exchange of one cryptocurrency for another across different blockchains without the need for a centralised intermediary. The 'atomic' quality means the

transaction either completes in full for both parties or does not execute at all — eliminating counterparty risk. Relevant to cross-border digital asset settlement in Africa.

See also: *Smart Contract, DEX, Cross-Border Payment*

B

BOFIA (*Banks and Other Financial Institutions Act*)

Nigeria's primary legislation governing banks and other financial institutions, administered by the Central Bank of Nigeria. BOFIA 2020 (which repealed the 1991 version) grants the CBN broad supervisory powers over deposit-taking institutions. While not specifically a digital asset law, BOFIA is relevant to fintechs that interface with the banking system — particularly those holding client funds, operating payment infrastructure, or seeking CBN licences.

Any fintech or VASP that provides services involving the banking system — including naira settlement, escrow, or payment processing — will be subject to CBN oversight under BOFIA in addition to any SEC registration requirements.

See also: *CBN, MLPPA, Payment Service*

Blockchain

A distributed digital ledger that records transactions across a network of computers in a way that makes the records tamper-evident and difficult to alter retrospectively. Each batch of transactions is grouped into a 'block' and cryptographically linked to the previous block, forming a 'chain'. Blockchains can be public (open to anyone), private (permissioned), or consortium (controlled by a group of organisations). The underlying technology behind Bitcoin, Ethereum, and most digital assets.

Nigeria's National Blockchain Policy (2023), developed under NITDA with the involvement of the Blockchain Policy Steering Committee, establishes the government's strategic approach to blockchain adoption across government services, financial inclusion, and economic development. It does not create a licensing regime (that is handled by SEC), but establishes principles for responsible adoption.

See also: *Distributed Ledger Technology, Smart Contract, Consensus Mechanism*

Bridge (Blockchain)

A protocol that enables the transfer of tokens or data between two different blockchain networks. Bridges are critical infrastructure for interoperability — they allow assets native to one chain (e.g. Ethereum) to be used on another (e.g. Binance Smart Chain). Bridges are also a significant security risk: they have been exploited for some of the largest thefts in crypto history.

See also: *Layer 1, Layer 2, Interoperability*

BSA (*Bank Secrecy Act*)

The United States' primary AML legislation, requiring financial institutions to assist government agencies in detecting and preventing money laundering. Mentioned in this book for comparative reference: the BSA is the model on which many AML frameworks worldwide — including Nigeria's MLPPA — have been partly based. VASPs serving US customers are subject to BSA obligations regardless of where they are incorporated.

See also: *AML, MLPPA, FinCEN*

C

CAC (*Corporate Affairs Commission*)

Nigeria's national agency responsible for the registration, regulation, and supervision of all companies and business names. Any VASP or fintech seeking SEC registration in Nigeria must first be incorporated at the CAC. The CAC is also relevant to DAO legal structure questions, as Nigerian law does not yet recognise DAOs as distinct legal entities.

SEC Nigeria requires all VASP applicants to be fully CAC-registered with a clear corporate structure, Nigerian office, and CEO/MD resident in Nigeria before submitting an ARIP application.

See also: *SEC Nigeria, ARIP, VASP*

Capital Gains Tax (Digital Assets)

Tax levied on profits made from the disposal of digital assets. Nigeria's Finance Act 2023 amended the Capital Gains Tax Act to classify digital assets as chargeable assets, meaning any profit from selling, exchanging, or otherwise disposing of digital assets is subject to capital gains tax. This was a significant clarification of the tax treatment of crypto gains in Nigeria.

Nigerian founders should be aware that profits from token sales, NFT disposals, and crypto-to-fiat conversions are potentially subject to CGT under the Finance Act 2023. The Nigeria Tax Administration Act (NTAA) 2025 introduced enhanced reporting and penalty provisions for non-compliant VASPs.

See also: *VASP, ISA 2025, NTAA*

CASP (*Crypto Asset Service Provider*)

The term used in South Africa (and in the EU's MiCA regulation) to describe businesses providing services related to crypto assets — equivalent to the VASP designation used in Nigeria, Kenya, Ghana, and by FATF. South Africa's Financial Sector Conduct Authority (FSCA) began licensing CASPs from June 2023, making South Africa one of the first African countries to operationalise a formal VASP/CASP licensing regime.

South Africa (selective coverage): The FSCA is the primary regulator for CASPs in South Africa. Firms providing crypto asset services were required to apply for CASP authorisation by November 2023. The Financial Intelligence Centre (FIC) oversees AML/CFT obligations for CASPs under the Financial Intelligence Centre Act.

See also: *VASP, FSCA, FIC (South Africa), MiCA*

CBN (*Central Bank of Nigeria*)

Nigeria's apex monetary authority, responsible for monetary policy, financial system stability, and the regulation of banks and payment systems under BOFIA 2020. The CBN's relationship with digital assets has evolved significantly: its 2021 circular restricted banks from servicing crypto transactions, but subsequent policy shifts (including the 2023 relaxation for licensed entities) now allow banks to work with SEC-licensed VASPs. The CBN regulates the eNaira (Nigeria's CBDC) and oversees payment service providers.

Founders should understand that the CBN and SEC Nigeria have overlapping but distinct jurisdiction over digital assets: SEC regulates digital assets as securities (investment, trading, custody), while the CBN regulates the payment rails, monetary aspects, and stablecoin implications. Any product that touches both dimensions — such as a stablecoin payment product — may require engagement with both regulators.

See also: *SEC Nigeria, eNaira, BOFIA, Stablecoin, VASP*

CBDC (*Central Bank Digital Currency*)

A digital form of a country's sovereign currency, issued and backed directly by the central bank. Unlike cryptocurrencies, CBDCs are centralised, government-controlled, and carry the same legal tender status as physical currency. CBDCs can be retail (accessible to the general public) or wholesale (restricted to financial institutions for interbank settlements).

Nigeria launched the eNaira — Africa's first CBDC — in October 2021, issued by the CBN. The eNaira operates on a permissioned blockchain and is designed to expand financial inclusion and facilitate remittances. Adoption has been slower than anticipated, and the CBN has issued several revised guidelines to expand use cases.

See also: *eNaira, Stablecoin, Digital Currency*

CDD (*Customer Due Diligence*)

The process by which regulated entities — including VASPs — verify the identity of their customers, understand the nature and purpose of the customer relationship, and assess the risk of financial crime. CDD is a foundational AML requirement. It encompasses identity verification, source of funds checks, and ongoing monitoring. Enhanced Due Diligence (EDD) applies to higher-risk customers such as PEPs.

Under Nigeria's MLPPA 2022, all financial institutions, including VASPs, must conduct CDD on their customers before and during the business relationship. Failure to conduct adequate CDD is one of the most common AML compliance deficiencies identified in VASP supervisory reviews.

See also: *KYC, EDD, AML, PEP, MLPPA*

CEX (*Centralised Exchange*)

A digital asset trading platform operated by a central company that acts as an intermediary between buyers and sellers — holding custody of user funds, maintaining an order book, and facilitating trades. CEXs are subject to licensing and regulatory oversight in most jurisdictions. Examples include Binance, Coinbase, and Nigerian platforms such as Quidax and Busha (the first two to receive SEC ARIP approval).

Nigerian CEXs operating as Digital Asset Exchanges (DAX) must be registered with SEC Nigeria. Local CEXs (Quidax, Busha) received their first ARIP-stage approvals in late 2024. Foreign CEXs targeting Nigerian users are now subject to SEC Nigeria's foreign VASP rules under the amended 2024 Digital Asset Rules.

See also: *DAX, DEX, VASP, ARIP*

CFT (*Countering the Financing of Terrorism*)

Legal and regulatory measures designed to prevent terrorists and terrorist organisations from raising, moving, and using funds to support violent activities. CFT obligations for financial institutions and VASPs include customer screening against terrorism designation lists, suspicious transaction monitoring, and reporting to financial intelligence units. Paired with AML as 'AML/CFT' in most regulatory frameworks.

Nigeria's CFT regime is governed by the Terrorism (Prevention and Prohibition) Act 2022 and the Money Laundering (Prevention and Prohibition) Act 2022. VASPs must comply with both statutes. The NFIU coordinates intelligence relating to terrorism financing.

See also: *AML, CPF, NFIU, MLPPA, PEP*

Chain Analysis / Blockchain Analytics

The practice of analysing blockchain transaction data to trace the movement of digital assets, identify patterns, attribute addresses to known entities, and detect illicit activity. Blockchain analytics tools — such as those provided by Chainalysis, Elliptic, and TRM Labs — are used by regulators, law enforcement, and compliance teams to monitor on-chain activity.

The CBN and NFIU are developing supervisory capabilities in blockchain analytics as part of the AML/CFT Supervision Pilot for VASPs. Founders should assume that their platforms will eventually be subject to on-chain supervisory monitoring by Nigerian authorities.

See also: *AML, On-Chain, NFIU, Suspicious Transaction Report*

Cold Wallet / Cold Storage

A method of storing digital assets in which the private keys are kept entirely offline — on hardware devices, paper, or air-gapped computers — and therefore inaccessible to internet-based attacks. Cold storage is the gold standard for securing large holdings of digital assets and is required by SEC Nigeria's Digital Asset Custodian (DAC) rules for a significant portion of client assets.

SEC Nigeria's rules on Digital Asset Custodians require VASPs providing custody services to maintain specified portions of client assets in cold storage as a security and solvency safeguard.

See also: Hot Wallet, DAC, Private Key

Compliance Programme

The suite of policies, procedures, controls, and personnel that a regulated entity maintains to ensure it meets its legal and regulatory obligations. A robust compliance programme for a VASP includes AML/CFT policies, KYC/KYB procedures, transaction monitoring, sanctions screening, staff training, independent audit, and a designated compliance officer.

SEC Nigeria expects all registered VASPs to have a documented compliance programme in place at the time of full registration. The quality of the compliance programme is assessed during the ARIP and registration review process.

See also: AML, KYC, Sanctions Screening, VASP

Consensus Mechanism

The process by which nodes in a blockchain network agree on the validity of transactions and the state of the ledger. The two dominant mechanisms are Proof of Work (PoW), which requires computational effort to validate transactions (used by Bitcoin), and Proof of Stake (PoS), which requires validators to lock up ('stake') tokens as collateral (used by Ethereum post-Merge). The choice of consensus mechanism affects energy use, speed, security, and decentralisation.

See also: Blockchain, Node, Staking

CPF (Counter-Proliferation Financing)

Measures to prevent the financing of the development, acquisition, or transfer of weapons of mass destruction. CPF was added to the AML/CFT framework as a distinct obligation following FATF's 2012 Recommendations revision. Financial institutions and VASPs are required to screen customers and transactions against UN Security Council proliferation-related sanctions lists.

Nigeria's AML/CFT/CPF Supervision Pilot for VASPs, launched by the CBN, explicitly includes CPF as a supervisory dimension — reflecting the full FATF framework. All registered VASPs must have proliferation financing risk assessments and screening procedures in place.

See also: *AML, CFT, FATF, Sanctions Screening, NFIU*

Crypto-Dollarisation

The phenomenon whereby residents of a country with a volatile domestic currency substitute that currency with US dollar-denominated stablecoins (such as USDT or USDC) for savings, commerce, or cross-border payments — without formally adopting the US dollar as legal tender. Crypto-dollarisation poses a significant monetary sovereignty risk because it effectively reduces the demand for the domestic currency and constrains the central bank's ability to conduct monetary policy.

Nigeria has experienced significant crypto-dollarisation driven by naira devaluation, FX scarcity, and high inflation. This is a central concern for the CBN's approach to stablecoin regulation — the Bank must balance the legitimate demand for stable-value instruments against the risk that widespread USDT adoption undermines monetary sovereignty.

See also: *Stablecoin, Monetary Sovereignty, CBN, CBDC*

Custodial Wallet

A digital asset wallet where a third party (the custodian) holds and manages the private keys on behalf of the user. When you hold digital assets on a centralised exchange, you have a custodial wallet — you trust the exchange to safeguard your assets. The risk is counterparty risk: if the custodian is hacked, insolvent, or fraudulent, the user's assets may be lost.

SEC Nigeria's Digital Asset Custodian (DAC) registration category specifically governs entities that provide custodial wallet services. DACs must meet minimum capital requirements, maintain cold storage ratios, and carry fidelity bonds covering 25% of minimum capital.

See also: *DAC, Non-Custodial Wallet, Private Key, Cold Wallet*

D

DAC (*Digital Asset Custodian*)

A regulatory classification under SEC Nigeria's Digital Asset Rules for entities that hold and safeguard digital assets on behalf of clients. DACs must be separately registered with SEC Nigeria, meet capital requirements, maintain prescribed cold storage ratios, and carry fidelity bonds. Providing custodial services in Nigeria without DAC registration is a regulatory offence.

The minimum capital requirement for a DAC under SEC Nigeria's 2024 amended rules is significant (specific figures are published in the Rules). DACs must ensure 60% of board members are of Nigerian origin and that the CEO is resident in Nigeria.

See also: Custodial Wallet, Cold Wallet, VASP, ARIP

DAO (*Decentralised Autonomous Organisation*)

An organisation governed by smart contracts and encoded rules on a blockchain, rather than by traditional legal structures or human management hierarchies. DAO members typically vote on proposals using governance tokens, with outcomes automatically executed by smart contracts. DAOs present significant legal challenges: most jurisdictions — including Nigeria — do not yet recognise DAOs as legal entities, creating liability and contract enforcement gaps.

DAOs operating in Nigeria or targeting Nigerian participants have no specific legal recognition under current law. The Companies and Allied Matters Act (CAMA) and CAC registration requirements technically apply to any business entity operating in Nigeria. Founders structuring DAOs for African markets should obtain legal advice on liability, contractual capacity, and regulatory status.

See also: Smart Contract, Governance Token, SEC Nigeria

DAOP (*Digital Asset Offering Platform*)

A regulatory classification under SEC Nigeria's Digital Asset Rules for platforms that facilitate the public offering of digital assets — roughly equivalent to an investment platform or primary issuance venue. DAOPs must be registered with SEC Nigeria and comply with investor protection rules applicable to public offerings.

Any platform facilitating the sale of tokens to Nigerian investors — whether structured as an ICO, IEO, or token sale — may be classified as a DAOP and require registration with SEC Nigeria.

See also: DAX, DAC, VASP, ICO, SEC Nigeria

DAX (*Digital Asset Exchange*)

A regulatory classification under SEC Nigeria's Digital Asset Rules for platforms that facilitate the secondary market trading of digital assets — the equivalent of a securities exchange but for digital assets. DAXs must be registered with SEC Nigeria and comply with market integrity, custody, and AML rules. Quidax and Busha are the first Nigerian exchanges to receive ARIP-stage DAX approval.

DAX registration requires significant minimum capital, Nigerian incorporation, local management, fidelity bonds, and compliance infrastructure. Foreign exchanges targeting Nigerian users without a local DAX licence risk regulatory action under the amended 2024 SEC rules.

See also: CEX, DAOP, DAC, ARIP

dApp (*Decentralised Application*)

A software application that runs on a blockchain or peer-to-peer network rather than on a central server. dApps use smart contracts for their backend logic and are typically open-source, auditable, and censorship-resistant. Examples include decentralised exchanges, lending protocols, and NFT marketplaces. The regulatory treatment of dApps is complex: because they have no central operator, applying traditional licensing requirements is difficult.

See also: *Smart Contract, DeFi, DAO*

DeFi (*Decentralised Finance*)

A broad term for financial services — including lending, borrowing, trading, derivatives, and asset management — delivered through smart contracts on blockchains, without centralised intermediaries such as banks or brokers. DeFi protocols are typically non-custodial, permissionless, and globally accessible. They pose significant regulatory challenges: there is often no identifiable legal entity to hold responsible, KYC is generally absent, and users interact directly with code.

FATF has issued guidance indicating that DeFi protocols that retain some degree of control or benefit from operations may still constitute VASPs and be subject to AML/CFT obligations. Nigerian regulators have not yet issued specific DeFi guidance, but founders building DeFi products targeting Nigerian users should prepare for regulatory scrutiny as the SEC's sophistication in this area develops.

See also: *Smart Contract, AMM, Liquidity Pool, VASP, FATF*

De-Risking

The practice by which financial institutions — particularly correspondent banks — terminate or restrict business relationships with entire categories of customers or jurisdictions to avoid perceived regulatory or reputational risk, rather than managing those risks on a case-by-case basis. De-risking has significantly impacted African countries' access to international correspondent banking, contributing to the appeal of blockchain-based cross-border payment alternatives.

Nigeria and other West African jurisdictions have experienced de-risking by international banks, which has reduced correspondent banking access and driven demand for P2P, stablecoin, and blockchain-based remittance solutions. The AfCFTA digital trade framework and PAPSS are partly intended to address the structural gaps created by de-risking.

See also: *Correspondent Banking, PAPSS, Cross-Border Payment*

DEX (*Decentralised Exchange*)

A digital asset trading platform that operates through smart contracts on a blockchain, without a central company managing user funds or the order book. Users trade directly from their own wallets, maintaining

custody of their assets throughout. DEXs are generally more resistant to censorship and hacking than CEXs, but offer less regulatory protection and can be harder to use.

The regulatory treatment of DEXs in Nigeria is still evolving. Because DEXs typically have no Nigerian-incorporated entity, they fall into a grey area under SEC Nigeria's current framework. Founders building DEX products should anticipate that the amended Digital Asset Rules will eventually capture DEX-adjacent services.

See also: *AMM, CEX, DeFi, VASP*

Digital Asset

A broad term encompassing any asset that exists in digital form and has value, including cryptocurrencies, tokens, NFTs, stablecoins, and CBDCs. Nigeria's ISA 2025 defines digital assets as a subset of 'virtual assets' and classifies them as securities under SEC Nigeria's jurisdiction. The terms 'digital asset', 'virtual asset', and 'crypto asset' are often used interchangeably, though different jurisdictions may draw technical distinctions.

Under Nigeria's ISA 2025 (Section 357), digital assets are formally recognised as securities, ending years of regulatory ambiguity. This classification subjects all digital asset service providers to SEC Nigeria's oversight and investor protection framework.

See also: *Virtual Asset, Crypto Asset, ISA 2025, SEC Nigeria*

Digital Asset Custodian

See DAC.

See also: *DAC*

Digital Identity

A set of attributes that uniquely identifies an individual or entity in a digital environment. Blockchain-based digital identity systems allow individuals to control their own identity data without relying on centralised authorities — relevant to financial inclusion in Africa, where large portions of the population lack government-issued ID. Self-Sovereign Identity (SSI) is a specific blockchain-based approach to digital identity.

Nigeria's National Identity Management Commission (NIMC) manages the national identity database and issues the National Identification Number (NIN). KYC requirements for Nigerian VASPs typically require NIN verification as a foundational identity check. The CBN's regulatory framework for digital finance incorporates BVN (Bank Verification Number) and NIN as core identity anchors.

See also: *KYC, CDD, Self-Sovereign Identity, NIN, BVN*

Distributed Ledger Technology (DLT)

A broader category of technology that encompasses blockchains and other systems in which data is recorded, shared, and synchronised across multiple locations or nodes without a central administrator. All blockchains are distributed ledgers, but not all distributed ledgers are blockchains. DLT is the umbrella term often used in regulatory documents to avoid being prescriptive about the specific technology stack.

Nigeria's ISA 2025 uses 'distributed ledger technology' as a defined term in its description of digital asset systems, following FATF's approach of being technology-neutral in regulatory definitions.

See also: *Blockchain, Node, Smart Contract*

Dollarisation

See Crypto-Dollarisation.

See also: *Crypto-Dollarisation, Stablecoin, Monetary Sovereignty*

E

EDD (*Enhanced Due Diligence*)

A higher level of customer due diligence applied to customers or transactions that present elevated money laundering or terrorist financing risks. EDD typically involves more detailed identity verification, source of wealth and funds investigations, senior management approval, and enhanced ongoing monitoring. EDD is mandatory for Politically Exposed Persons (PEPs), high-risk jurisdictions, and complex or unusual transactions.

Under Nigeria's MLPPA 2022 and the NFIU's AML/CFT compliance framework for VASPs, EDD must be applied to all PEPs and their associates, as well as to transactions from or to high-risk jurisdictions on the FATF grey or black lists.

See also: *CDD, KYC, PEP, AML, FATF*

EFCC (*Economic and Financial Crimes Commission*)

Nigeria's primary law enforcement agency responsible for investigating and prosecuting financial crimes including money laundering, advance fee fraud (419), and corruption. The EFCC operates under the Economic and Financial Crimes Commission Act and works closely with the NFIU on financial intelligence matters. Digital asset transactions have increasingly been a focus of EFCC investigations.

VASPs and fintech operators in Nigeria should be aware of the EFCC's broad investigative powers. The EFCC can freeze accounts, seize assets, and prosecute individuals at any stage of a business — not just at the company level. Compliance with AML obligations is the strongest protection against EFCC scrutiny.

See also: *NFIU, AML, MLPPA, ICPC*

Egmont Group

An international network of financial intelligence units (FIUs) that facilitates the secure sharing of financial intelligence across jurisdictions. Membership in the Egmont Group enables Nigeria's NFIU to receive and share financial intelligence with FIUs in other countries — critical for investigating cross-border financial crime involving digital assets.

Nigeria's NFIU is a member of the Egmont Group, enabling cross-border financial intelligence cooperation relevant to digital asset crime investigations.

See also: *NFIU, AML, FIU*

eNaira

Nigeria's Central Bank Digital Currency (CBDC), launched by the CBN in October 2021 — making Nigeria the first African country to issue a CBDC. The eNaira is a digital representation of the naira, backed 1:1 by the CBN, and operates on a permissioned blockchain infrastructure. It is intended to complement cash, expand financial inclusion, and facilitate cheaper remittances. Adoption has been limited and the CBN has revised its eNaira guidelines multiple times.

The eNaira is distinct from privately issued stablecoins: it is sovereign money, issued by the state, with the same legal tender status as physical naira. Founders building payment products should understand how the eNaira infrastructure can interact with (or compete with) their products.

See also: *CBDC, Stablecoin, CBN, Digital Currency*

ERC-20

The most widely used technical standard for fungible tokens on the Ethereum blockchain. ERC-20 defines a common set of rules that all Ethereum-based tokens must follow — enabling interoperability between wallets, exchanges, and DeFi protocols. Most stablecoins (USDT, USDC), governance tokens, and utility tokens issued on Ethereum are ERC-20 tokens.

See also: *ERC-721, Token, Ethereum, Smart Contract*

ERC-721

The technical standard for non-fungible tokens (NFTs) on the Ethereum blockchain. Unlike ERC-20 tokens (which are interchangeable), each ERC-721 token is unique and cannot be exchanged on a like-for-like basis. ERC-721 is the standard underlying most digital art, collectibles, and gaming assets in the NFT market.

See also: *NFT, ERC-20, Token*

EVM *(Ethereum Virtual Machine)*

The computation engine embedded in the Ethereum blockchain that executes smart contracts. The EVM is a sandboxed environment in which smart contract code runs deterministically — meaning it produces the same output on every node in the network. Many other blockchains have built EVM-compatible environments, meaning Ethereum smart contracts can be deployed on chains such as Polygon, BNB Chain, and Avalanche.

See also: *Smart Contract, Ethereum, Solidity*

F**FATF** *(Financial Action Task Force)*

An intergovernmental body established in 1989 that sets international standards for combating money laundering, terrorist financing, and proliferation financing. FATF's 40 Recommendations are the global benchmark for AML/CFT frameworks. Its Recommendation 15 (updated 2019) extends AML/CFT obligations to virtual assets and VASPs. Countries that fail to implement FATF standards may be placed on the 'grey list' (enhanced monitoring) or 'black list' (call for action), with serious consequences for banking access and investment flows.

Nigeria is a member of GIABA (the FATF-style regional body for West Africa). Nigeria was placed on the FATF grey list in 2023 and has been working to exit it through legislative reforms and supervisory actions, including the VASP supervision pilot and passage of the MLPPA 2022 and BOFIA 2020. Nigeria is identified by FATF as a jurisdiction with materially important VASP activity.

See also: *AML, CFT, Recommendation 15, Travel Rule, GIABA, NFIU*

FCCPA *(Financial Crimes Commission and Proceeds Act)*

Nigerian legislation that consolidates provisions relating to the identification, tracing, freezing, and recovery of proceeds of crime. Relevant to digital asset businesses because virtual assets are expressly included as assets that can be seized and forfeited under proceeds of crime provisions.

See also: *EFCC, AML, MLPPA*

Fidelity Bond

An insurance instrument that protects a company against losses caused by employee dishonesty, fraud, or theft. SEC Nigeria requires all registered VASPs to maintain a fidelity bond covering at least 25% of their minimum capital requirement — a consumer and investor protection measure.

The fidelity bond requirement applies to all VASP registration categories under the SEC Digital Asset Rules (DAX, DAOP, DAC, DAI). It must be current at all times and is reviewed as part of ongoing compliance.

See also: DAX, DAC, VASP, SEC Nigeria

FIC (*Financial Intelligence Centre*)

The financial intelligence unit of South Africa (and separately, of Ghana). South Africa's FIC administers the Financial Intelligence Centre Act (FICA) and oversees AML/CFT compliance for accountable institutions including, since 2023, registered CASPs. Ghana's Financial Intelligence Centre performs a similar function under Ghanaian AML law.

South Africa (selective coverage): The FIC is responsible for receiving and analysing suspicious transaction reports from South African CASPs and coordinating financial intelligence with law enforcement. Ghana: The FIC administers AML obligations for VASPs under the Anti-Money Laundering Act and works with the Bank of Ghana on VASP oversight.

See also: CASP, AML, FSCA, STR

Finfluencer

A social media influencer who promotes financial products or services — including digital assets — to their online audience, typically in exchange for payment. Finfluencers have been a significant channel for promoting token launches, exchanges, and investment schemes in Nigeria, sometimes without adequate disclosure of commercial relationships or risks.

SEC Nigeria's amended 2024 Digital Asset Rules explicitly define and regulate 'Finfluencers', requiring disclosure of commercial relationships and bringing promotional activities for digital asset products within SEC's oversight. Founders using influencer marketing for token or product launches should ensure their influencer arrangements comply with these rules.

See also: ICO, Token, SEC Nigeria, Digital Asset

FIU (*Financial Intelligence Unit*)

A national agency responsible for receiving, analysing, and disseminating financial intelligence — including suspicious transaction reports — to law enforcement and regulatory agencies. Every FATF member state must have an FIU. Nigeria's FIU is the NFIU.

Nigeria: The NFIU is the designated FIU under the Money Laundering Act. VASPs must file Suspicious Transaction Reports (STRs) and Currency Transaction Reports (CTRs) with the NFIU.

See also: NFIU, AML, STR, Egmont Group

FSB (*Financial Stability Board*)

An international body that monitors and makes recommendations about the global financial system. The FSB has published crypto-asset regulatory frameworks and high-level recommendations for stablecoin oversight that inform how central banks and financial regulators worldwide — including the CBN — approach digital asset policy.

See also: *BIS, IMF, Stablecoin, CBDC*

FSCA (*Financial Sector Conduct Authority*)

South Africa's market conduct regulator, responsible for licensing and supervising financial services providers. The FSCA began licensing crypto asset service providers (CASPs) in 2023, making South Africa one of the first African countries to have an operational CASP licensing regime in practice.

South Africa (selective coverage): CASPs must be authorised by the FSCA under the Financial Advisory and Intermediary Services (FAIS) Act. The FSCA and FIC jointly oversee CASPs — FSCA for market conduct, FIC for AML/CFT.

See also: *CASP, FIC, South Africa*

FSC Mauritius (*Financial Services Commission (Mauritius)*)

The primary financial regulator in Mauritius, responsible for licensing and supervising non-bank financial institutions including virtual asset service providers under the VAITOS Act 2021. Mauritius was one of the first jurisdictions globally — and the first in Africa — to enact a comprehensive framework for digital assets and initial token offerings.

Mauritius (selective coverage): The FSC issues VASP licences across categories including broker-dealer, custodian, wallet provider, and marketplace. Mauritius issued additional guidance on stablecoins in 2025 and is developing a stablecoin regulatory framework. Its regime is considered one of the more mature and internationally compliant on the continent.

See also: *VAITOS, VASP, Mauritius*

Fungible Token

A token that is interchangeable with other tokens of the same type and denomination — like cash or gold. One unit of a fungible token is identical to any other unit of the same token. Bitcoin and USDT are fungible tokens: any one bitcoin is worth and interchangeable with any other bitcoin. Contrast with NFTs, which are non-fungible (each is unique).

See also: *NFT, ERC-20, Token*

G

Gas Fee

The fee paid to blockchain validators (or miners) to process and include a transaction in a block. On the Ethereum network, gas fees are denominated in Gwei (a small denomination of ETH) and fluctuate based on network congestion. High gas fees during periods of peak demand can make small transactions economically unviable — a significant barrier to blockchain financial inclusion use cases in Africa.

See also: Ethereum, Layer 2, Transaction

GIABA *(Inter-Governmental Action Group Against Money Laundering in West Africa)*

The FATF-style regional body (FSRB) for West Africa, with Nigeria as a founding member. GIABA conducts mutual evaluations of member states' AML/CFT frameworks and provides technical assistance. Nigeria's mutual evaluation results — and its grey list status — are directly influenced by GIABA assessments.

GIABA's mutual evaluation of Nigeria identified deficiencies in Nigeria's AML/CFT framework that contributed to the 2023 grey listing. The reforms Nigeria has undertaken — including the MLPPA 2022, the VASP supervision pilot, and the ARIP framework — are partly aimed at satisfying GIABA and FATF assessment criteria.

See also: FATF, NFIU, AML, CFT

Governance Token

A type of token that grants its holder voting rights on decisions affecting a blockchain protocol or DAO — such as fee structures, protocol upgrades, treasury allocations, or rule changes. Governance tokens may have financial value (traded on exchanges) but are primarily instruments of decentralised decision-making. Their classification as securities is an active regulatory question.

Governance tokens that carry economic benefits (revenue sharing, fee distributions) are likely to be classified as securities under Nigeria's ISA 2025 and may require SEC Nigeria registration. Founders issuing governance tokens should obtain legal opinions on their classification before launch.

See also: DAO, Token, Security Token, ISA 2025

Grey Listing (FATF)

Formal placement of a jurisdiction on the FATF 'Jurisdictions Under Increased Monitoring' list (commonly called the grey list), indicating that the jurisdiction has committed to resolve identified deficiencies in its AML/CFT framework within agreed timeframes. Grey listing can trigger heightened due diligence requirements from international banks and investors, increasing the cost of correspondent banking and foreign investment.

Nigeria was placed on the FATF grey list in 2023. This contributed to increased scrutiny of Nigerian transactions by international banks and accelerated Nigeria's legislative reforms including the MLPPA 2022 and the VASP supervision framework.

See also: *FATF, GIABA, De-Risking, AML*

H

Hard Fork

A fundamental, backwards-incompatible change to a blockchain's protocol rules that causes a permanent divergence — effectively splitting the original blockchain into two separate chains. Hard forks can occur as planned upgrades (e.g. Ethereum's transition to Proof of Stake) or as contentious community splits. Tokens created by hard forks raise novel tax and legal questions.

See also: *Soft Fork, Blockchain, Consensus Mechanism*

Hash / Hash Function

A mathematical function that converts any input of arbitrary size into a fixed-size output (the 'hash' or 'digest'). Hash functions are fundamental to blockchain security: each block contains the hash of the previous block (creating the 'chain'), and transactions are identified by their hash. The same input always produces the same hash, but it is computationally infeasible to reverse the process.

See also: *Blockchain, Mining, Digital Signature*

Hot Wallet

A digital asset wallet that is connected to the internet, allowing instant access to funds and fast transaction processing. Hot wallets are convenient but vulnerable to hacking and cyber-theft. SEC Nigeria's DAC rules require custodians to limit the proportion of client assets held in hot wallets and maintain significant holdings in cold storage.

See also: *Cold Wallet, DAC, Custodial Wallet*

I

ICO (*Initial Coin Offering*)

A fundraising mechanism in which a company or project sells newly created tokens to investors in exchange for established cryptocurrencies (typically Ethereum or Bitcoin) or fiat currency. ICOs were the dominant crypto fundraising mechanism in 2017-2018 and raised billions globally before regulatory crackdowns. Many ICOs were later found to have issued tokens that qualified as securities without appropriate registration.

Nigeria's SEC issued a statement in 2017 warning the public about ICO risks. Under the ISA 2025, all digital asset offerings targeting Nigerians — including structures that may previously have been described as ICOs — require SEC Nigeria registration as DAOPs and must comply with investor protection rules.

See also: DAOP, Security Token, ISA 2025, SEC Nigeria

ICPC (*Independent Corrupt Practices and Other Related Offences Commission*)

Nigeria's anti-corruption agency, responsible for investigating and prosecuting corruption, bribery, and related offences. Relevant to digital asset businesses because corrupt practices involving digital assets — including the use of crypto to pay or receive bribes — fall within ICPC's remit.

See also: EFCC, NFIU, AML

Innovation Sandbox

A controlled regulatory environment that allows companies to test innovative financial products and services with real customers, under regulatory oversight and with relaxed application of certain rules, for a defined period. Sandboxes allow regulators to understand new technologies before writing permanent rules, and allow businesses to test viability before committing to full compliance infrastructure.

Nigeria operates regulatory sandboxes through both the CBN (for payment and financial services innovation) and SEC Nigeria (the ARIP programme, which functions as a regulatory incubator for digital asset businesses). The SEC sandbox has already produced Nigeria's first provisional VASP licences. Founders should view sandbox entry as a competitive advantage, not merely a compliance pathway.

See also: ARIP, Regulatory Sandbox, CBN, SEC Nigeria

Interoperability

The ability of different blockchain networks, protocols, or systems to communicate, exchange data, and transfer value with each other seamlessly. Interoperability is a major technical challenge in blockchain: most chains operate in isolation, requiring bridges or cross-chain protocols. In the African context, payment interoperability — the ability to send money across different mobile money and banking systems — is a core objective of initiatives such as PAPSS.

See also: Bridge, PAPSS, Layer 1, Layer 2

IPFS (*InterPlanetary File System*)

A peer-to-peer protocol for storing and accessing files in a distributed manner, rather than relying on centralised servers. IPFS is commonly used to store the media files associated with NFTs (images, videos), with only the content-addressed hash stored on-chain. This avoids storing large files on the blockchain while preserving a verifiable link to the content.

See also: NFT, Decentralised Storage

ISA 2025 (*Investments and Securities Act 2025*)

Nigeria's comprehensive capital markets legislation, signed into law in 2025, which replaced the Investments and Securities Act 2007. ISA 2025 is the most significant legislative development in Nigerian digital asset regulation to date: it formally classifies digital assets (including cryptocurrencies and NFTs) as securities under Nigerian law, establishes SEC Nigeria as the apex regulator for all digital asset activities, and provides the statutory basis for VASP licensing, the ARIP programme, and investor protection measures for digital asset holders.

ISA 2025 ends the regulatory uncertainty that surrounded digital assets in Nigeria for years. Under Section 357, virtual assets are securities. The Second Schedule specifically recognises DLT-based tokens and products as investments. All VASPs — including those that previously operated under the ARIP framework — must now comply with ISA 2025 and the revised SEC Digital Asset Rules.

See also: SEC Nigeria, VASP, DAX, DAOP, DAC, ARIP, Digital Asset

K

Kenya VASP Act 2025 (*Virtual Asset Service Providers Act, Kenya*)

Kenya's dedicated digital asset legislation, which came into force in October 2025 following a nationwide consultation process. The Act introduces a licensing regime for VASPs, establishes dual regulatory oversight between the Central Bank of Kenya (for payment-related VASPs including wallet providers, stablecoin issuers, and payment processors) and the Capital Markets Authority (for exchanges, investment advisers, and tokenisation platforms), and introduces AML/CFT obligations for all licensed VASPs.

Kenya (selective coverage): The Act was partly driven by an IMF technical assistance report that identified Kenya's regulatory gap as an AML risk, and by Kenya's FATF grey listing concerns. Kenya now requires VASPs to be physically present in the country.

See also: VASP, Capital Markets Authority (Kenya), AML/CFT

KYB (*Know Your Business*)

The business-entity equivalent of KYC: the process of verifying the identity, ownership structure, beneficial ownership, and legitimacy of a business customer before establishing a financial relationship. KYB is particularly important for VASPs that serve corporate or institutional clients. It includes verifying corporate registration, understanding ultimate beneficial owners, and assessing the business's source of funds.

Nigerian VASPs must conduct KYB on business customers as part of their CDD obligations under the MLPPA 2022. Beneficial ownership verification — identifying the natural persons who ultimately own or control a business — is a specific NFIU requirement.

See also: *KYC, CDD, AML, Beneficial Ownership*

KYC (*Know Your Customer*)

The process by which regulated entities verify the identity of their customers before establishing a business relationship or executing transactions above specified thresholds. KYC typically includes collecting and verifying government-issued identification, address, date of birth, and conducting screening against sanctions and PEP lists.

Nigerian VASPs must implement tiered KYC as required by the NFIU AML/CFT compliance framework and the MLPPA 2022. Minimum KYC requirements include BVN (Bank Verification Number) and NIN (National Identification Number) verification for Nigerian individuals. SEC Nigeria's rules also require KYC before onboarding customers to VASP platforms.

See also: *CDD, EDD, AML, BVN, NIN, PEP, MLPPA*

L

Layer 1 (L1)

The base blockchain protocol — the foundational layer on which everything else is built. Bitcoin, Ethereum, Solana, and BNB Chain are Layer 1 blockchains. Each L1 has its own consensus mechanism, native token, and rules. L1 limitations (speed, cost, capacity) have driven the development of Layer 2 solutions.

See also: *Layer 2, Blockchain, Consensus Mechanism*

Layer 2 (L2)

A secondary network or protocol built on top of a Layer 1 blockchain to improve its speed, reduce costs, or increase throughput, while inheriting the security of the base chain. Examples include the Lightning Network (Bitcoin), Optimism, Arbitrum, and Polygon (Ethereum). L2 solutions are important for Africa-focused use cases where transaction fees must be minimal.

See also: *Layer 1, Rollup, Sidechain*

Liquidity

The ease with which an asset can be bought or sold in a market without significantly affecting its price. In the context of digital assets, liquidity refers to the trading volume and depth of buy and sell orders on an exchange. Low liquidity means large trades can cause sharp price movements. Liquidity is a key concern for market integrity regulation.

See also: Market Maker, DEX, AMM, CEX

Liquidity Pool

A smart contract that holds reserves of two or more tokens, used by automated market makers (AMMs) to facilitate trading. Liquidity providers deposit token pairs into the pool and receive LP tokens representing their share. They earn a portion of trading fees as compensation. Liquidity pools are the foundational infrastructure of DeFi exchanges.

See also: AMM, DeFi, DEX, Yield Farming

M

Market Maker

An entity that provides liquidity to a market by continuously quoting buy and sell prices for an asset, facilitating trading even when there is no immediate counterparty. Market makers are compensated by the bid-ask spread. In regulated markets, market making requires authorisation; in DeFi, AMM protocols replace traditional market makers.

See also: AMM, Liquidity, CEX, DEX

Mauritius VAITOS Act *(Virtual Asset and Initial Token Offering Services Act, Mauritius)*

Mauritius's comprehensive digital asset legislation, enacted in 2021 — one of the earliest dedicated VASP regulatory frameworks on the continent. The Act is administered by the FSC Mauritius and covers VASP licensing across multiple categories including broker-dealer, custodian, wallet provider, and marketplace. The regime is notable for its strong AML/CTF requirements and international compliance orientation.

Mauritius (selective coverage): Mauritius issued additional stablecoin guidance in 2025 and is developing a more comprehensive stablecoin framework. Mauritius is increasingly used by African founders as a regulatory base for digital asset businesses seeking international credibility.

See also: FSC Mauritius, VASP, Stablecoin

MiCA *(Markets in Crypto-Assets Regulation)*

The European Union's comprehensive regulatory framework for crypto assets, which came into force in 2024. MiCA establishes licensing requirements for crypto asset service providers (CASPs), issuers of asset-referenced tokens (ARTs), and issuers of e-money tokens (EMTs) across the 27 EU member states. It is referenced in this book as a comparative benchmark: African founders targeting European markets, or working with European investors and partners, must understand MiCA's requirements.

MiCA is not directly applicable in Nigeria or other African jurisdictions, but it sets the global standard that African frameworks are increasingly benchmarked against. African VASPs serving EU customers may be subject to MiCA regardless of where they are incorporated.

See also: *CASP, Stablecoin, VASP*

Mining

The process of validating and recording new transactions on a Proof of Work blockchain (such as Bitcoin) by solving complex mathematical puzzles. Miners who successfully validate a block receive new cryptocurrency as a reward (the block reward) plus transaction fees. Mining requires significant computational hardware and electricity. It is distinct from 'staking', which validates transactions on Proof of Stake blockchains.

Operating a commercial mining operation in Nigeria that offers mining services to others may constitute VASP activity under the ISA 2025, requiring SEC Nigeria registration. The NTAA 2025 introduces tax and penalty provisions relevant to mining businesses.

See also: *Proof of Work, Staking, Consensus Mechanism, VASP*

MLPPA (*Money Laundering (Prevention and Prohibition) Act*)

Nigeria's primary anti-money laundering legislation, enacted in 2022. The MLPPA 2022 repealed and replaced the Money Laundering (Prohibition) Act 2011. It significantly expanded the scope of AML obligations, explicitly classified VASPs as financial institutions subject to AML requirements, and updated Nigeria's framework to meet FATF standards. The NFIU operates under the MLPPA.

Every VASP operating in Nigeria is a 'financial institution' under the MLPPA 2022 and must comply with KYC, CDD, transaction monitoring, record-keeping, and suspicious transaction reporting obligations. Non-compliance can result in criminal prosecution, fines, and licence revocation.

See also: *AML, NFIU, KYC, STR, FATF, VASP*

Monetary Sovereignty

A country's ability to control its own monetary policy — including the supply of money, interest rates, and exchange rate — without undue external influence. Monetary sovereignty is threatened when a significant portion of the population adopts foreign-denominated assets (particularly stablecoins pegged to the US

dollar) for everyday transactions, effectively substituting the domestic currency with a foreign one beyond the central bank's control.

The CBN's cautious approach to stablecoins is substantially motivated by monetary sovereignty concerns. Nigeria's history of naira devaluation and FX scarcity makes crypto-dollarisation a real and measurable phenomenon. Founders building stablecoin products must be prepared to explain how their product addresses rather than exacerbates this concern.

See also: Stablecoin, Crypto-Dollarisation, CBN, CBDC, eNaira

Multisig (*Multi-Signature*)

A security mechanism that requires multiple private key holders to authorise a transaction before it can be executed. For example, a 2-of-3 multisig wallet requires any two of three designated key holders to sign a transaction. Multisig is widely used in DAO governance, institutional custody, and team treasury management to prevent single points of failure or theft.

See also: DAO, Wallet, Private Key

N

NFT (*Non-Fungible Token*)

A unique digital token recorded on a blockchain that represents ownership of a specific asset — such as digital art, music, real estate, game items, or identity credentials. Unlike fungible tokens (where each unit is identical), each NFT is distinct. NFTs derive their non-fungibility from unique identifiers encoded in their smart contracts.

NFTs are explicitly classified as digital assets under Nigeria's ISA 2025. Their issuance, trading, and custody are subject to SEC Nigeria oversight. The SEC's ARIP framework applies to platforms facilitating NFT transactions where those NFTs constitute securities (e.g., fractional NFTs representing investment interests).

See also: ERC-721, Token, Digital Asset, ISA 2025

NFIU (*Nigerian Financial Intelligence Unit*)

Nigeria's financial intelligence unit, established under the NFIU Act 2018. The NFIU receives and analyses suspicious transaction reports (STRs) and currency transaction reports (CTRs) from financial institutions including VASPs, disseminates financial intelligence to law enforcement agencies, and coordinates with international FIUs through the Egmont Group. The NFIU also issues AML/CFT compliance guidelines for VASPs.

All Nigerian VASPs must register with the NFIU and file STRs and CTRs in accordance with NFIU guidelines. The NFIU is distinct from the EFCC (which prosecutes) and the CBN/SEC (which licence and supervise): it is specifically a financial intelligence function.

See also: AML, STR, CTR, EFCC, MLPPA, Egmont Group

NIN (*National Identification Number*)

The unique identity number assigned to every Nigerian citizen and resident by the National Identity Management Commission (NIMC). The NIN is increasingly used as a foundational identity verification tool by financial institutions and VASPs in Nigeria, and is required for SIM card registration and certain banking services.

Nigerian VASP KYC procedures must incorporate NIN verification as a minimum identity requirement. SEC Nigeria and the CBN have both issued circulars making NIN linkage a requirement for account opening and financial services access.

See also: KYC, BVN, Digital Identity, CDD

NITDA (*National Information Technology Development Agency*)

Nigeria's primary government agency for IT policy, standards, and development, operating under the Federal Ministry of Communications, Innovation and Digital Economy. NITDA developed Nigeria's National Blockchain Policy (2023), which established the strategic framework for blockchain adoption across government and the private sector. The National Blockchain Policy Implementation Steering Committee — chaired by Chimezie Chuta — operates under NITDA's oversight.

NITDA's blockchain policy work is complementary to SEC Nigeria's regulatory framework: NITDA focuses on ecosystem development, adoption, and standards, while SEC focuses on investor protection, licensing, and market integrity.

See also: National Blockchain Policy, Blockchain, SEC Nigeria

Node

A computer that participates in a blockchain network by storing a copy of the ledger, validating transactions, and/or relaying data to other participants. Full nodes store the complete transaction history; light nodes store only block headers. In Proof of Stake networks, validators operate nodes and stake tokens to earn the right to validate blocks.

See also: Blockchain, Consensus Mechanism, Validator

Non-Custodial Wallet

A digital asset wallet where the user holds their own private keys — and therefore has sole control over their funds, without relying on a third party. Non-custodial wallets (such as MetaMask, Phantom, or hardware wallets) are the default in DeFi. They offer maximum security and sovereignty but place the full burden of key management on the user.

FATF's 2021 guidance on virtual assets specifically addressed 'unhosted wallets' (non-custodial wallets) as a potential AML risk, because transactions to/from unhosted wallets are harder to attribute to identified individuals. Nigerian VASPs must conduct enhanced monitoring of transactions involving non-custodial wallet counterparties.

See also: Custodial Wallet, Private Key, AML, FATF

Nostro/Vostro Account

Accounting terms for cross-border interbank accounts: a 'nostro' account is an account that a domestic bank holds at a foreign bank in the foreign currency; a 'vostro' account is an account that a foreign bank holds at a domestic bank in the domestic currency. These accounts are the plumbing of international correspondent banking — and their costs, inefficiencies, and withdrawal by de-risking banks is a major driver of blockchain-based cross-border payment adoption in Africa.

See also: Correspondent Banking, Cross-Border Payment, De-Risking, PAPSS

NTAA 2025 (Nigeria Tax Administration Act 2025)

Nigerian legislation signed into law in 2025 (effective 2026) that introduces strengthened tax administration, reporting requirements, and penalty provisions for VASPs and other digital asset businesses. Under the NTAA 2025, VASPs that fail to comply with reporting standards face initial fines of ₦10 million plus ₦1 million per month of continued non-compliance.

Founders operating VASPs in Nigeria should treat NTAA 2025 compliance — including transaction reporting and tax filing — as a distinct obligation from their SEC and NFIU compliance obligations.

See also: VASP, SEC Nigeria, Finance Act

0

Off-Ramp

The process of converting digital assets into fiat currency — such as converting Bitcoin or USDT into Nigerian naira — and withdrawing those funds to a bank account or mobile money wallet. Off-ramps are a critical piece of financial infrastructure for digital asset adoption. SEC Nigeria's 2024 amended Rules explicitly define 'off-ramp' services.

In Nigeria, off-ramp services connecting digital assets to the naira banking system require both SEC VASP registration (for the digital asset side) and compliance with CBN payment regulations (for the fiat side). This dual-regulator landscape is a key operational challenge for Nigerian VASPs.

See also: *On-Ramp, CEX, P2P, CBN, SEC Nigeria*

On-Chain

Transactions or data that are recorded directly on a blockchain ledger — permanently, transparently, and verifiably. On-chain transactions are visible to anyone with access to a blockchain explorer. Contrast with 'off-chain' transactions, which occur through separate systems and are later settled or referenced on-chain.

See also: *Blockchain, Chain Analysis, Off-Chain*

On-Ramp

The process of converting fiat currency into digital assets — such as converting naira into Bitcoin or USDT. On-ramps are the entry point into the digital asset economy for most new users. They typically involve KYC verification, bank transfer or card payment, and conversion at market rates. SEC Nigeria's 2024 amended Rules define 'on-ramp' as a regulated activity.

See also: *Off-Ramp, KYC, CEX, P2P*

Oracle

A service that provides external, real-world data to smart contracts on a blockchain. Because blockchains are isolated from external data sources, smart contracts cannot independently verify external information (such as asset prices, interest rates, or weather data). Oracles bridge this gap — but they also introduce a centralisation risk (the 'oracle problem'): if the oracle is compromised, the smart contracts that rely on it can be manipulated.

See also: *Smart Contract, DeFi, Chainlink*

OTC (*Over-the-Counter Trading*)

The trading of digital assets directly between two parties, outside of a formal exchange. OTC desks facilitate large trades (typically for institutional or high-net-worth clients) at negotiated prices, without moving the market as a large exchange order would. OTC trading in digital assets is common in Nigeria, and OTC desks require the same AML/CFT compliance as other VASPs.

OTC desks in Nigeria are within the scope of SEC Nigeria's VASP framework. Their activities — particularly large peer-to-peer transactions — are a focus of the NFIU's AML monitoring, as OTC trading has been used to facilitate the movement of illicit funds.

See also: *VASP, P2P, AML, CEX, DAX*

P

P2P Trading *(Peer-to-Peer Trading)*

The direct exchange of digital assets between two individuals, without using a centralised exchange platform as an intermediary. P2P platforms (such as Paxful and Remitano, which were dominant in Nigeria) match buyers and sellers, who then transact directly. P2P trading has been the dominant crypto trading method in Nigeria due to CBN restrictions on bank support for crypto exchanges. P2P markets are a significant AML risk because they may lack robust KYC.

Nigeria has one of the largest P2P crypto trading volumes in the world. The CBN's 2021 restrictions (since partially relaxed) accelerated P2P adoption. P2P platforms — even those that merely match parties without holding funds — are subject to VASP registration requirements under ISA 2025 and must implement AML/CFT controls.

See also: *CEX, DEX, OTC, AML, VASP*

PAPSS *(Pan-African Payment and Settlement System)*

A payment infrastructure developed by the African Export-Import Bank (Afreximbank) and the African Union, designed to enable instant cross-border payments in African currencies across the continent — eliminating the need for payments to be routed through correspondent banks outside Africa (often via New York or London). PAPSS is a key piece of AfCFTA digital trade infrastructure.

Nigeria's CBN is a member of PAPSS. As PAPSS matures, it has the potential to significantly reduce Nigeria's reliance on the correspondent banking system for intra-African trade payments — and to compete with stablecoin-based cross-border payment solutions.

See also: *AfCFTA, Cross-Border Payment, Correspondent Banking, CBN*

Payment Token

A type of digital token designed primarily for use as a medium of exchange — to pay for goods or services. Payment tokens are distinct from security tokens (investment instruments) and utility tokens (platform access). The regulatory treatment of payment tokens varies: some jurisdictions subject them to payment services regulation, others to securities law.

Under Nigeria's ISA 2025, all virtual assets are broadly classified as securities. The CBN retains separate jurisdiction over payment instruments. A payment token product in Nigeria may require both SEC registration and CBN payment service authorisation depending on its structure.

See also: *Security Token, Utility Token, Stablecoin, CBN, SEC Nigeria*

PEP (*Politically Exposed Person*)

An individual who holds or has held a prominent public position — such as a head of state, government minister, senior judicial official, military officer, senior executive of a state-owned enterprise, or senior official of an international organisation — and their immediate family members and close associates. PEPs are subject to Enhanced Due Diligence because their positions make them more vulnerable to involvement in bribery and corruption.

Nigerian VASPs must screen all customers against PEP lists and apply EDD to any PEP customer or associate. Given Nigeria's large public sector, PEP exposure is a significant compliance consideration for Nigerian digital asset platforms.

See also: *EDD, KYC, CDD, AML, Sanctions Screening*

Private Key

A secret cryptographic code — a long string of letters and numbers — that gives its holder sole authority to authorise transactions from the corresponding blockchain address. The private key is the ultimate proof of ownership in a blockchain system: whoever holds the private key controls the assets at the associated address. If lost, access to those assets is permanently forfeited; if stolen, assets can be irrecoverably transferred.

See also: *Public Key, Wallet, Seed Phrase, Address*

Programmable Money

Money that has conditions, rules, or logic encoded directly into it — so that it can only be spent, transferred, or accessed when specified conditions are met. Smart contracts enable programmable money: for example, a smart contract could release payment only upon verified delivery of goods, or distribute royalties automatically whenever a digital asset is resold. CBDCs and tokenised currencies are increasingly designed with programmable features.

The CBN and eNaira team have explored programmable payment features such as conditional disbursements for social transfers. Founders building payment automation, trade finance, or escrow products on blockchain rails should understand how programmable money creates new product possibilities that the traditional banking system cannot easily replicate.

See also: *Smart Contract, CBDC, eNaira, Stablecoin*

Proof of Stake (PoS)

A blockchain consensus mechanism in which validators are selected to create new blocks based on the amount of cryptocurrency they have 'staked' (locked up) as collateral. PoS is significantly more

energy-efficient than Proof of Work. Ethereum adopted PoS in 2022 ('The Merge'). Validators who behave dishonestly risk having their staked tokens 'slashed' (partially destroyed).

See also: Consensus Mechanism, Staking, Validator

Proof of Work (PoW)

The original blockchain consensus mechanism, used by Bitcoin, in which participants (miners) compete to solve computationally intensive mathematical puzzles to earn the right to add the next block to the chain. PoW is highly energy-intensive but battle-tested in security. The energy consumption of PoW mining has been a point of regulatory scrutiny globally.

See also: Mining, Consensus Mechanism, Blockchain

Public Key

A cryptographic code derived from the private key that can be shared publicly and used to verify digital signatures or derive a blockchain address. The public key is analogous to a bank account number — others can use it to send assets to you, but it does not grant access to your funds.

See also: Private Key, Address, Wallet

R

Recommendation 15 (FATF)

The FATF Recommendation, updated in 2019, that extended AML/CFT obligations to virtual assets and virtual asset service providers. Recommendation 15 requires countries to regulate and supervise VASPs for AML/CFT purposes, apply FATF standards to their activities, and implement the Travel Rule for virtual asset transfers. As of 2025, only 21% of assessed jurisdictions are fully compliant with R.15.

Nigeria is identified by FATF as a jurisdiction with materially important VASP activity, meaning its implementation of R.15 is subject to ongoing monitoring. Nigeria's ARIP framework, VASP supervision pilot, and MLPPA 2022 are all partly aimed at achieving R.15 compliance.

See also: FATF, Travel Rule, AML, VASP, GIABA

Regulatory Capital

The minimum amount of capital that a regulated entity must hold to absorb potential losses and protect customers — determined by the regulator as a condition of licensing. All VASP categories in Nigeria have prescribed minimum capital requirements under SEC Nigeria's rules, with amounts varying by licence type (DAX, DAOP, DAC, DAI).

SEC Nigeria's minimum capital requirements for VASPs (as set in the 2024 amended Rules) are substantial: founders must factor capitalisation requirements into their funding strategy from an early stage, as they cannot apply for SEC registration without the requisite paid-up capital.

See also: SEC Nigeria, VASP, DAX, DAOP, DAC, Fidelity Bond

Regulatory Sandbox

See Innovation Sandbox.

See also: Innovation Sandbox, ARIP, CBN, SEC Nigeria

Remittance

Money transferred by a person in one country to recipients in another, typically by migrant workers sending funds home. Remittances are one of the largest sources of foreign exchange for many African countries. Nigeria is consistently among the top remittance recipients in Africa, with inflows of over USD 20 billion annually. Digital assets and stablecoins are increasingly used for remittances due to lower costs compared to traditional wire transfers.

The CBN regulates international remittances under the Foreign Exchange (Monitoring and Miscellaneous Provisions) Act and associated regulations. VASPs facilitating crypto-based remittances into Nigeria must comply with both SEC digital asset rules and CBN FX regulations.

See also: Cross-Border Payment, Stablecoin, PAPSS, CBN

Risk-Based Approach (RBA)

The principle — central to FATF's AML/CFT framework — that regulated entities should direct their compliance resources proportionally toward higher-risk customers, products, channels, and geographies, rather than applying blanket measures uniformly. A risk-based approach requires conducting a Business-Wide Risk Assessment (BWRA) and customer-level risk assessments.

The NFIU and SEC Nigeria both expect VASPs to operate a risk-based AML/CFT programme. This means not all customers are treated identically: lower-risk customers may be subject to simplified due diligence, while higher-risk customers (PEPs, those from high-risk jurisdictions, unusual transaction patterns) must receive enhanced scrutiny.

See also: AML, CDD, EDD, KYC, NFIU

Rollup

A Layer 2 scaling solution that processes transactions off the main chain (off-chain) but posts compressed transaction data back to the Layer 1 blockchain for security and finality. Optimistic rollups and ZK-rollups are

the two main types. Rollups significantly reduce transaction costs and increase throughput while inheriting Ethereum's security — making them important for low-cost financial applications in Africa.

See also: Layer 2, Zero-Knowledge Proof, Ethereum

RWA (*Real-World Asset Tokenisation*)

The process of creating a digital token on a blockchain that represents ownership of or rights to a physical or traditional financial asset — such as real estate, gold, government bonds, invoices, or equity. RWA tokenisation enables fractional ownership, 24/7 trading, automated compliance, and programmable distributions for assets that previously required expensive intermediaries.

Nigeria's ISA 2025 creates the legal foundation for RWA tokenisation under SEC Nigeria's oversight. Tokenised securities — including tokenised bonds, equity, or real estate — are securities and require registration. The SEC has flagged RWA tokenisation as a priority area for its regulatory development.

See also: Tokenisation, Security Token, ISA 2025, SEC Nigeria

S

SAR (*Suspicious Activity Report*)

A report filed by a financial institution or VASP with the relevant financial intelligence unit when it identifies a transaction or pattern of activity that it suspects — based on reasonable grounds — may involve money laundering, terrorist financing, or other financial crime. In Nigeria, these are referred to as Suspicious Transaction Reports (STRs) and are filed with the NFIU.

See also: STR, NFIU, AML, MLPPA

Sanctions Screening

The process of checking customers, transactions, and counterparties against official lists of sanctioned individuals, entities, and jurisdictions — including UN Security Council lists, OFAC (US Treasury) lists, EU sanctions lists, and Nigeria's own designated persons and entities list. VASPs must screen at onboarding and on an ongoing basis.

Nigerian VASPs must screen against both international sanctions lists (UN, OFAC) and Nigeria's domestic terrorism financing designation lists maintained by the NFIU. Failure to screen and identify a sanctioned individual or entity is a serious regulatory and criminal offence.

See also: AML, CFT, CPF, NFIU, PEP

SEC Nigeria (*Securities and Exchange Commission Nigeria*)

Nigeria's apex capital markets regulator, established under the Investments and Securities Act. SEC Nigeria is responsible for regulating the Nigerian capital market, protecting investors, and maintaining market integrity. Following ISA 2025, SEC Nigeria is the primary regulator for all digital asset activities in Nigeria — including VASP licensing, digital asset offerings, exchanges, and custodians.

SEC Nigeria's Digital Asset Rules (2022, amended 2024, further amendments effective June 2025) are the primary operational framework for VASP licensing. The ARIP programme is SEC Nigeria's main tool for onboarding digital asset businesses. Founders must understand the distinction between SEC Nigeria's jurisdiction (securities and investment activities) and the CBN's jurisdiction (payment, banking, monetary policy).

See also: ISA 2025, ARIP, VASP, DAX, DAOP, DAC, CBN

Security Token

A digital token that represents an investment contract — i.e., a financial security — such as equity in a company, a debt instrument, a share of revenue, or a fractional interest in a real asset. Security tokens are the digital equivalent of traditional securities and are subject to full securities regulation wherever they are issued or traded.

Under Nigeria's ISA 2025, all virtual assets are classified as securities. Tokens that carry investment characteristics (profit participation, dividend rights, capital appreciation) will be treated as security tokens subject to SEC Nigeria's full regulatory framework.

See also: ISA 2025, Utility Token, Governance Token, RWA, ICO

Seed Phrase

A human-readable sequence of 12 or 24 random words generated when a non-custodial wallet is created. The seed phrase is the master backup of the wallet's private keys: anyone who holds the seed phrase can recover the wallet and all its assets on any compatible device. Seed phrases must be written down and stored securely offline — they should never be shared, photographed, or stored digitally.

See also: Private Key, Non-Custodial Wallet, Cold Wallet

Smart Contract

Self-executing code deployed on a blockchain that automatically enforces the terms of an agreement when predefined conditions are met — without the need for intermediaries. Smart contracts are immutable (cannot be altered once deployed) and transparent (their code is publicly visible). They are the foundational building blocks of DeFi, DAOs, NFTs, and tokenisation. Bugs in smart contract code can result in significant financial losses and cannot be easily reversed.

Smart contracts do not currently have a specific legal recognition under Nigerian contract law — they are not recognised as legally binding agreements in themselves. Founders using smart contracts in products for Nigerian markets should ensure that underlying legal agreements (in traditional contract form) complement the smart contract logic, to provide enforceability in Nigerian courts.

See also: Blockchain, DeFi, DAO, Ethereum, EVM

Soft Fork

A backwards-compatible upgrade to a blockchain's protocol rules, such that nodes that do not upgrade can still participate in the network (though they may not take advantage of new features). Soft forks are less disruptive than hard forks and do not create a split chain.

See also: Hard Fork, Blockchain, Consensus Mechanism

Solidity

The primary programming language used to write smart contracts for the Ethereum blockchain and EVM-compatible networks. Solidity is a statically-typed, curly-bracket language designed specifically for writing contract logic that runs on the EVM. Most DeFi protocols, ERC-20 tokens, and NFT contracts are written in Solidity.

See also: Smart Contract, EVM, Ethereum

South Africa CASP Framework

South Africa's regulatory framework for crypto asset service providers, administered by the FSCA. South Africa was one of the first African jurisdictions to operationalise VASP licensing: the FSCA began accepting CASP authorisation applications in June 2023, with a deadline for existing businesses to apply by November 2023. CASPs must also comply with FIC (AML/CFT) obligations.

South Africa (selective coverage): South Africa's CASP framework is an important benchmark for other African jurisdictions. It demonstrates that a major African economy can implement operational VASP licensing — and provides a comparative model for Nigerian founders who may also serve South African customers.

See also: CASP, FSCA, FIC, VASP

Stablecoin

A type of digital asset designed to maintain a stable value by being pegged to a reference asset — typically a fiat currency (such as the US dollar), a commodity (such as gold), or a basket of assets. Fiat-backed stablecoins (USDT, USDC) are the most widely used and maintain their peg by holding reserves of the underlying fiat currency. Algorithmic stablecoins attempt to maintain their peg through supply and demand mechanisms rather than reserves — and have been involved in catastrophic collapses (notably TerraUSD in 2022).

Stablecoins are not regulated by standalone Nigerian legislation. Under ISA 2025, they are classified as virtual assets and fall under SEC Nigeria's framework. The CBN retains separate interest in stablecoins from a monetary sovereignty and payment system perspective. Nigeria's SEC 2024 amended Rules explicitly define 'stablecoin' for the first time in Nigerian regulation. FATF's 2025 targeted update identified the increasing criminal use of stablecoins as a major AML risk.

See also: *CBDC, eNaira, Crypto-Dollarisation, Monetary Sovereignty, CBN, SEC Nigeria*

Staking

The process of locking up cryptocurrency as collateral in a Proof of Stake blockchain to participate in transaction validation and earn rewards. Staking is analogous to earning interest on a deposit. Liquid staking protocols allow stakers to maintain liquidity by issuing derivative tokens representing their staked position. The regulatory treatment of staking rewards (as income, capital gains, or investment returns) varies by jurisdiction.

Staking services offered to Nigerian investors are likely to constitute investment activity under ISA 2025 and require SEC Nigeria oversight. Platforms offering staking yields to Nigerian users should assess whether they constitute unlicensed collective investment schemes.

See also: *Proof of Stake, DeFi, SEC Nigeria, Yield Farming*

STR (*Suspicious Transaction Report*)

The formal report filed by a Nigerian financial institution or VASP with the NFIU when it identifies a transaction or pattern of customer behaviour that gives reasonable grounds for suspicion of money laundering, terrorist financing, or related financial crime. Filing an STR is mandatory under the MLPPA 2022; tipping off the customer about the report is a criminal offence.

Nigerian VASPs must have clear internal procedures for identifying and escalating suspicious activity, and must file STRs with the NFIU within prescribed timeframes. The NFIU also requires the filing of Currency Transaction Reports (CTRs) for cash transactions above specified thresholds.

See also: *AML, NFIU, MLPPA, SAR*

SupTech (*Supervisory Technology*)

The use of technology — including AI, machine learning, blockchain analytics, and data automation — by financial regulators and supervisors to enhance their monitoring, inspection, and enforcement capabilities. SupTech tools allow regulators to process large volumes of transaction data, identify anomalies, and monitor market integrity more efficiently than traditional manual processes.

The CBN's VASP supervision pilot incorporates elements of SupTech, including the use of transaction data and blockchain analytics to monitor VASPs. As Nigerian regulatory capacity develops, founders should anticipate a future in which on-chain and off-chain activity is subject to real-time regulatory monitoring.

See also: *Blockchain Analytics, AML, CBN, SEC Nigeria*

T

Token

A unit of value recorded on a blockchain. Unlike 'coins' (which are native to their own blockchain, such as Bitcoin or Ether), tokens are built on top of existing blockchains using smart contracts (such as ERC-20 tokens on Ethereum). Tokens can represent financial assets, access rights, governance rights, or proof of ownership — and are classified by regulators as utility tokens, security tokens, payment tokens, or governance tokens depending on their function.

Nigeria's ISA 2025 and SEC Digital Asset Rules classify virtually all tokens as virtual assets/digital assets and subject them to SEC Nigeria oversight. Founders must obtain a legal opinion on the classification of their token before any public offering, as misclassification can result in unlicensed securities offering charges.

See also: *ERC-20, Security Token, Utility Token, Governance Token, ISA 2025*

Tokenisation

The process of representing ownership rights in an asset — whether financial (shares, bonds, invoices) or physical (real estate, commodities, art) — as a digital token on a blockchain. Tokenisation enables fractional ownership, programmable compliance, automated settlement, and 24/7 tradability for assets that traditionally required expensive intermediaries and slow processes.

ISA 2025 provides the legal foundation for securities tokenisation in Nigeria under SEC Nigeria's oversight. The SEC has signalled tokenised bonds, equity, and real estate as priority areas. Founders building RWA tokenisation products should expect SEC registration requirements for both the token issuance (as a DAOP) and the trading platform (as a DAX).

See also: *RWA, Security Token, ISA 2025, SEC Nigeria, DeFi*

Travel Rule (FATF)

A requirement under FATF Recommendation 15 that virtual asset service providers must collect, verify, and transmit specified information about the originators and beneficiaries of virtual asset transfers above a threshold of USD/EUR 1,000. The Travel Rule is intended to prevent VASPs from being used to move illicit

funds anonymously. Its implementation presents technical challenges because VASPs must securely share personal data with counterparty VASPs — infrastructure that is still developing globally.

As of 2025, Nigeria has not yet fully operationalised Travel Rule compliance for VASPs. However, the NFIU and CBN's VASP supervision pilot are expected to include Travel Rule implementation requirements. Nigerian VASPs — particularly those with international transaction flows — should begin building Travel Rule compliance infrastructure now.

See also: FATF, Recommendation 15, AML, VASP, NFIU

TradFi (*Traditional Finance*)

A colloquial term used in the crypto and Web3 community to refer to the conventional financial system — including banks, insurance companies, stock exchanges, brokerages, and payment networks. TradFi is contrasted with DeFi (decentralised finance) and used to describe incumbent financial institutions navigating the transition to digital asset infrastructure.

See also: DeFi, CEX, Stablecoin, Web3

U

Utility Token

A digital token that grants its holder access to a specific product or service within a defined platform or ecosystem — rather than representing an investment interest. Utility tokens are the digital equivalent of pre-paid vouchers or software licences. However, the line between utility tokens and security tokens is actively contested: regulators often find that tokens marketed as 'utility' in practice function as investments.

SEC Nigeria takes a functional approach to token classification: regardless of what a token is called, if it has the economic characteristics of a security (investment of money in a common enterprise with expectation of profit from others' efforts), it will be treated as a security token. Founders should not rely on labelling a token 'utility' to avoid SEC Nigeria oversight.

See also: Security Token, Governance Token, ICO, ISA 2025

V

VAITOS (*Virtual Asset and Initial Token Offering Services Act (Mauritius)*)

See Mauritius VAITOS Act.

See also: Mauritius VAITOS Act, FSC Mauritius, VASP

Validator

A participant in a Proof of Stake blockchain network who locks up (stakes) tokens as collateral and is selected to validate and propose new blocks of transactions. Validators earn staking rewards for honest participation and risk having their staked tokens 'slashed' for malicious or negligent behaviour.

See also: Proof of Stake, Staking, Consensus Mechanism, Node

VASP (Virtual Asset Service Provider)

A business or individual that, as a commercial activity, conducts one or more of the following for or on behalf of another person: (1) exchange between virtual assets and fiat currencies; (2) exchange between one or more forms of virtual assets; (3) transfer of virtual assets; (4) safekeeping or administration of virtual assets or instruments enabling control over virtual assets; or (5) participation in or provision of financial services related to an issuer's offer or sale of virtual assets. This is the FATF definition, which Nigeria has adopted.

Under Nigeria's ISA 2025 and SEC Digital Asset Rules, all VASPs operating in Nigeria or targeting Nigerian investors must be registered with SEC Nigeria through the ARIP process. VASPs are classified into four categories: Digital Asset Exchange (DAX), Digital Asset Offering Platform (DAOP), Digital Asset Custodian (DAC), and Digital Asset Intermediary (DAI).

See also: ISA 2025, SEC Nigeria, ARIP, DAX, DAOP, DAC, FATF, AML

Virtual Asset

FATF's terminology for a digital representation of value that can be digitally traded, transferred, or used for payment or investment purposes. Nigeria's ISA 2025 adopts this definition, classifying virtual assets as securities. The terms 'virtual asset', 'digital asset', and 'crypto asset' are largely synonymous in the Nigerian regulatory context.

See also: Digital Asset, VASP, ISA 2025, FATF

W

Wallet

Software or hardware that stores the private keys needed to access and transact digital assets on a blockchain. A wallet does not 'store' digital assets in the way a physical wallet stores cash — the assets are

always on the blockchain. The wallet stores the cryptographic keys that prove ownership and authorise transactions. Wallets can be custodial (managed by a third party) or non-custodial (managed by the user).

Nigerian VASP rules distinguish between custodial wallets (subject to DAC regulation) and non-custodial wallets (subject to FATF's unhosted wallet guidance and NFIU monitoring requirements for transactions involving them).

See also: Private Key, Custodial Wallet, Non-Custodial Wallet, DAC

Web3

A conceptual evolution of the internet characterised by decentralisation, blockchain-based ownership, and user sovereignty over data and digital assets. Web3 envisions an internet where users own their identity and assets (via wallets and tokens), participate in governance (via DAOs), and interact with applications directly through smart contracts — rather than through centralised platforms that own user data and extract rents.

See also: Blockchain, dApp, DAO, DeFi, NFT

Y

Yield Farming

The practice of deploying digital assets across various DeFi protocols to earn the highest possible return — through trading fees, liquidity incentives, governance token rewards, or interest. Yield farming strategies can be simple (depositing into a lending protocol) or highly complex (deploying capital through multiple protocols simultaneously). The returns can be very high and the risks — including smart contract bugs, impermanent loss, and protocol insolvency — are correspondingly significant.

Yield farming products offered to Nigerian investors are likely to constitute collective investment scheme activity under ISA 2025 and require SEC Nigeria oversight, particularly if they involve pooling of client funds or promises of returns.

See also: DeFi, Liquidity Pool, Staking, AMM, SEC Nigeria

Z

Zero-Knowledge Proof (ZKP)

A cryptographic method by which one party (the prover) can demonstrate to another party (the verifier) that a statement is true — without revealing any information beyond the truth of the statement itself. ZKPs are transformative for privacy-preserving compliance: they can allow a user to prove they are over 18, pass KYC checks, or satisfy AML requirements without revealing their underlying personal data.

Zero-knowledge proofs have significant potential for privacy-preserving compliance in Africa — allowing individuals to prove identity or creditworthiness without surrendering full personal data to centralised institutions. This is relevant to both the financial inclusion agenda and the emerging data protection framework under Nigeria's NDPR.

See also: ZK-SNARK, Blockchain, KYC, Digital Identity

ZK-SNARK (*Zero-Knowledge Succinct Non-Interactive Argument of Knowledge*)

A specific and highly efficient type of zero-knowledge proof that allows verification of computations with minimal data exchange and no back-and-forth interaction between prover and verifier. ZK-SNARKs are the cryptographic technology underlying ZK-rollups — Layer 2 scaling solutions that dramatically reduce transaction costs while preserving Ethereum's security.

See also: Zero-Knowledge Proof, Rollup, Layer 2

Total entries: 140 terms across 23 alphabetical sections. · First Edition, 2026.

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Chimezie Chuta is a nationally recognised blockchain strategist, digital asset policy architect, and full-stack systems architect with nearly ten years of experience building technology infrastructure, shaping national policy, and developing Africa's blockchain and Web3 ecosystem from the ground up.

He currently serves as Chairman of the Federal Government of Nigeria's National Blockchain Policy Implementation Steering Committee under NITDA, and as a member of the Securities and Exchange Commission Nigeria's Blockchain and Virtual Asset Working Group — making him one of the few practitioners in Nigeria who has simultaneously

shaped the regulatory frameworks governing digital assets and built the products those frameworks govern.

Chimezie founded the Blockchain Nigeria User Group (BNUG) in 2016, building it from zero to over 25,000 members and establishing it as the country's foremost Web3 innovation community and industry voice in national policy dialogue. He convened Nigeria's first National Blockchain and Cryptocurrency Conference in 2017, secured the country's first corporate sponsorship for blockchain education (Humaniq, 2017), and has since convened over twenty national conferences, hackathons, bootcamps, and masterclasses, training more than one thousand practitioners across blockchain, DeFi, Web3, and digital innovation.

His market-facing career spans senior roles at the intersection of technology and African financial infrastructure. As Africa Regional Director at Paxful, he built and managed the company's pan-African market operations at a time when Nigeria was emerging as one of the world's largest peer-to-peer Bitcoin markets. As West Africa Advisor at Kinesis.money (2019–2024) and Advisor to the BANTU Blockchain Foundation, he provided strategic guidance on regulatory navigation, market entry, and digital asset infrastructure across the continent. As a Venture Partner at Adaverse VC, he continues to support Web3 startup founders across Nigeria, Kenya, Ghana, and Uganda.

Chimezie is the CEO of Blockspace Technologies Limited, through which he delivers enterprise blockchain advisory, systems architecture, and AI-enabled product design for financial institutions, telecoms companies, and technology businesses across Nigeria and West Africa. His enterprise advisory clients have included MTN, Stanbic IBTC, and leading Nigerian commercial banks.

He is the author of *The DeFi Handbook, Seizing Opportunities in Blockchain and Digital Currencies* (2017), and *The Building Blocks of Blockchain Founders*. His commentary and analysis have been featured by CNBC Africa, BBC World News, Al Jazeera, Channels TV, and Arise News. He has spoken at Binance Blockchain Week, Africa Tech Week, TechCabal, the UN Africa Digital Transformation Forum, and the Africa Fintech Festival.

This is his fourth book.

Working with Chimezie

Advisory, Speaking & Board Engagements

If this book has done its job, you are reading this section with a specific problem in mind. Below is a clear account of how to engage Chimezie's advisory work, and what each type of engagement looks like in practice.

Advisory Retainers

Chimezie works with a small number of digital asset companies, fintech firms, and enterprise institutions on a monthly retainer basis, providing ongoing strategic advisory on blockchain product development, regulatory navigation, and West African market positioning.

Speaking Engagements

Chimezie speaks at international conferences, corporate executive training programmes, government and regulatory capacity-building sessions, and university and research institutions on blockchain strategy, African digital finance policy, Web3 ecosystem development, and the regulatory landscape for digital assets.

He has delivered keynotes and panel appearances at Binance Blockchain Week, Africa Tech Week, TechCabal, the UN Africa Digital Transformation Forum, the Africa Fintech Festival, the Kanu Digital Summit, and numerous NITDA and SEC-hosted industry events. In 2023 he facilitated a blockchain and digital asset strategy training for senior CBN management, including director-level officials, in Kigali.

Speaking engagements available:

- Keynote addresses (45–60 minutes) on: The Future of African Digital Finance; Building in Regulated Markets; Nigeria's Digital Asset Policy Landscape; The Blockchain Opportunity for African Enterprises
- Executive and board-level training sessions (half-day to full-day) for financial institutions, telecoms, and regulators on blockchain, digital assets, DeFi, stablecoins, and AI-enabled financial products
- Panel moderation and expert commentary at industry conferences and regulatory forums
- Academic and research institution lectures at graduate and postgraduate level

To enquire about speaking engagements: email the subject line 'Speaking Enquiry' with the event name, date, location, anticipated audience size, and the topic or question you would like addressed. Responses within five business days.

(<https://advisory.blockspace.digital/>)

Board & Non-Executive Director Appointments

Chimezie accepts a small number of board and non-executive director appointments at digital asset companies, fintech firms, and blockchain-adjacent enterprises where his expertise in Nigerian regulatory strategy, digital asset markets, and West African ecosystem development creates genuine governance value.

Board appointments are evaluated on four criteria: the company is building something of genuine significance; the board appointment would materially strengthen its regulatory and market credibility; the time commitment is compatible with Chimezie's existing obligations; and the governance culture is one in which independent directors are expected and empowered to provide honest challenge.

To initiate a board appointment conversation: send a brief (one page maximum) company overview, the specific governance challenge or capability gap you are looking to address, and the proposed time commitment and meeting structure. Initial conversations are exploratory, no commitment is implied on either side until a formal offer has been made and accepted.

Contact Information

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<https://advisory.blockspace.digital/> Phone: +234 816 543 0776. Please include your name, company, and a one-sentence description of your enquiry in all initial contact. Responses are prioritised in the order of specificity: the more precisely you describe the problem, the faster and more useful the response.

Acknowledgements

This book was written from the inside of an ecosystem, and it could not have been written from anywhere else. The people whose knowledge, generosity, and patience made it possible are too numerous to name fully, but some must be named.

To the founders who trusted me with the real stories, the letters that arrived on Tuesday mornings, the investors who grew anxious, the lawyers who gave the wrong advice, the regulators who eventually became partners. You are in these pages, anonymised but recognisable to yourselves. I hope this book gives the next generation of founders a map they did not have.

To the regulatory officials across the CBN, SEC Nigeria, NITDA, NFIU, and NAICOM who have engaged with me over the years with genuine openness and patience, including those whose initial instinct was scepticism and who changed their view through dialogue. The quality of Nigeria's regulatory framework today is partly the product of your willingness to learn alongside the industry you were learning to govern. That is not a small thing.

To the team at the Blockchain Nigeria User Group, every coordinator, volunteer, event organiser, and community member who showed up over nine years to build something that most people said could not be built. BNUG is the reason this book has any authority at all.

To my colleagues at Adaverse VC, the Fintech Association of Nigeria, the Blockchain Experts Association of Nigeria, and the National Blockchain Policy Steering Committee, Blockchain Industry Coordinating Committee of Nigeria (BICCON), the work we have done together in rooms that the public never saw is the foundation of everything described in Part Two of this book.

To the team at Blockspace Technologies, who have tolerated my simultaneous career as a policy advocate, community builder, and now author without complaint, and who make the enterprise work that this work depends on.

To the founders across Nigeria, Ghana, Kenya, Uganda, and beyond who attended the conferences, the bootcamps, and the masterclasses — who asked the hard questions and did not accept easy answers. You taught me more than you know.

This book is dedicated to every African founder who is building something serious in a market that does not yet have the infrastructure to fully support it. The infrastructure is coming. Build anyway.

Chimezie Chuta

Lagos, Nigeria

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